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Late CE 7-Hour CORE: Top 10 Violations, Cybersecurity & Fraud, Social Media & Advertising Compliance, Fair Lending, Reverse Mortgages, ARMS, & Guideline Updates (16874)

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Chapter 1

Top 10 Violations: TILA Edition

Learning Objectives for Chapter 1

- ☐ Restate the role of the Multi-State Mortgage Committee (MMC).
- ☐ Understand the requirements under TRID.
- ☐ Describe the three tolerances under TRID.
- ☐ Define a change of circumstance.
- ☐ Identify the timelines for the CD and LE before and after consummation.
- ☐ Analyze the requirements for advertising under TILA.

The Multi-State Mortgage Committee (MMC)

The topics in this chapter are mandated to be covered by the Multi-State Mortgage Committee or MMC. The required CE topics for 2024 have been ranked from 1-10 by the Multi-State Mortgage Committee (MMC) and were derived from the 2020 3rd quarter examination reports. The top 10 ranked topics the MMC considers important information that every Mortgage Loan Originator must adhere to in order to prevent violations actionable by State Regulators. Furthermore, the final action taken per the examination resulted in additional audits, required written letters of explanation, implemented corrective action plans, refunds, and assessed penalties.

We will be presenting this out of order with other topics and violations that are related.

The Multi-State Mortgage Committee (MMC) is comprised of 10 appointed State Regulator members and one Conference of State Bank Supervisors (CSBS) member. Their role is to implement cooperative protocol between state agencies and the financial industry. For additional information Ref: CSBS-AARMR MMC Exam Manual

The role of the State Regulator's includes licensing and supervising of state-chartered banks and non-bank entities to include mortgage lenders. They ensure the financial services operate in a safe and sound manner. An examination is completed by State Regulators to determine if a financial institution is operating in compliance with state and federal laws. A review of a financial institution's loans and corporate records is conducted to decide whether the entities are effectively meeting the requirement to operate, monitor, and control risks associated with loan origination activities. Individual Mortgage Loan Originators are and will be held accountable by State Regulators for violations found during examinations.

All of the violations we are going to discuss in this chapter are required to be covered by the MMC. These violations are violations that are consistently being found on state examinations. The required topics are ranked from 1-10 in terms of the seriousness or prevalence of the violation itself. We may not talk about them in order to connect the various violations.

Why Does TRID Matter?

Mortgage professionals might be asking themselves – the disclosures and fee tolerances are not my problem, the processor or my closing department handles the Closing Disclosure, not me. Neither of those individuals has a license, their license number does not appear on the Closing Disclosure – the mortgage professional’s license number does. That means that as a mortgage professional, reviewing the Closing Disclosure should be a priority.

The TILA-RESPA Integrated Disclosure Rule, or TRID, was issued in 2013 and took effect in 2015 to simplify and clarify the disclosure process for consumers. TRID requires two disclosures: The Loan Estimate (LE) and the Closing Disclosure (CD). TRID doesn’t apply to:

- Reverse Mortgages
- HELOCs – Open-End Loans

To understand the big picture purpose of TRID there are 4 key points to remember:

TRID created new rules to determine what triggers the requirement for giving disclosures to the consumer. Lenders cannot wait once they receive these **6 key elements** of information. These are: (ALIENS) Property Address, Loan Amount, Borrower’s Income, Estimated Value of the Property, Name of the Borrower, Social Security Number (in order to obtain a credit report). These will be discussed later in this textbook.

Once you have these 6 key pieces of information, you must **accurately disclose the Fees and APR** on the loan. The mechanism for disclosing initially is the **Loan Estimate** or LE, 3 business days after taking an application, and prior to closing, the **Closing Disclosure** or CD must be delivered 3 business days prior to consummation.

The LE must contain a **good faith estimate** of credit costs and transaction terms, be in writing, and contain the information required under TRID. The LE must also be delivered or placed in the mail no later than seven business days before **consummation** of the transaction.

Violation # 2: Good Faith Determination of Estimates of Closing Costs

Citation Violation: "(i) General rule. An estimated closing cost disclosed pursuant to paragraph (e) of this section is in good faith if the charge paid by or imposed on the consumer does not exceed the amount originally disclosed under paragraph (e)(1)(i) of this section, except as otherwise provided in paragraphs (e)(3)(ii) through (iv) of this section.

Examination Findings: A loan was identified where there was a closing cost collected from the borrower that exceeded the estimated closing cost disclosed to the borrower in the Loan Estimate (LE). [12 C.F.R. §1026.19\(e\)\(3\)\(i\)](#)

The Closing Disclosure must disclose all the final terms and costs of the loan. Creditors are required to provide it **at least three business days before consummation**. **Consummation** occurs when the consumer becomes contractually obligated to the lender, and the loan is funded by the creditor; not when the consumer becomes contractually obligated to a seller on a real estate transaction.

TRID Tolerances & Change of Circumstance

The first violation that is on the list is a TRID violation related to fees being charged about the tolerance limits, here's the violation:

Violation # 1: Charged Fees Above Tolerance Limits

Citation Violation: An estimated closing cost is in good faith if it does not exceed the amount originally disclosed. A revised estimate may be used in the event of a valid changed circumstance if the revised fee is disclosed to the borrower within three business days of the change. Third-party fees the borrower cannot shop for are subject to a zero percent tolerance limit. In addition, recording fees may increase by no more than ten percent from the amount initially disclosed on the Loan Estimate (LE) without a valid changed circumstance. § 1026.19(e)(3) and (4)

Examination Findings: There was an increase in the appraisal fee and recording fee for a borrower without a valid changed circumstance. Further, it was a failure to disclose the final inspection fee and the state tax to the borrower within three business days. [12 C.F.R. §1026.19\(e\)\(3\) and \(4\)](#).

There are **three fee tolerance buckets** under TRID:

1. Zero tolerance fees
2. 10% cumulative tolerance fees
3. No-tolerance fees.

Why do we have these zero-tolerance fees? Because the borrower can't shop for them. Fees that are considered **zero-tolerance** include:

- Fees paid directly to the lender, mortgage broker, or an affiliate of either.
- Interest rate-dependent fees once the loan is locked.
- Fees paid for any unaffiliated third-party settlement service, required for the loan, if the lender **did not permit the consumer to shop** ("Cannot Shop"), for the third-party provider for a settlement service. This can include fees like credit report, appraisal report, flood determination fee, flood monitoring fees, and tax monitoring fees. *If the lender requires the use of a service provider, the lender should know what the fees will be.*
- Transfer taxes or tax stamps (This is found on Box E of Page 2 of the LE), but these can change only if the loan amount or sale price changes, and that, the loan amount change was a valid changed circumstance to begin with.

These fees cannot change from the beginning to the end of the transaction. If they do, this is a significant violation of TRID. Simply put, these fees should be known upfront and should not change, for any reason, throughout the loan origination process. Most of these fees appear in the loan costs in Sections A and B on Page 2 of the Loan Estimate.

Fees that are considered a **10%-tolerance fee** include:

- Recording fees.

- **Required** Charges for third-party services where:
 - The charge is not paid to the lender or the lender's affiliate, and
 - The consumer is permitted by the lender to shop for such third-party service, and
 - The consumer selects that service provider on the lender's "Written List of Settlement Service Providers" (SSPL). MLOs must provide one service provider for each required category.

SSPL explanation: All loans require the use of a title, settlement, escrow, or attorney company to conduct title searches and loan closings. Each lender must provide at least one recommendation for this settlement service. Whereas, if home inspection is not required for the loan, no recommendation for such inspection is needed on the SSPL. However, if an inspection is required, as in the case of many USDA loans, we would need such recommendation to be listed on the SSPL, but again, only one inspection company would need to be given.

Most of these fees are disclosed in Section C of the Loan Estimate. If a borrower selects someone who is on the lender's service provider list, that fee now falls into the 10% cumulative-fee tolerance. If the cumulative amount of all 10% tolerance fees paid by the consumer at consummation exceeds the 10% tolerance threshold, the lender is responsible for refunding the excess paid, to the consumer no later than 60 calendar days after consummation, unless the lender catches their error and corrects the CD prior to Consummation, so the borrower ends up not paying more than they are allowed. ***Although an individual fee in the 10% category may increase significantly, the focus isn't on the individual fee line item, it is on the cumulative total amount.***

When a borrower does select the use of a settlement service provider from the lender's settlement services provider list, these fees are disclosed on the CD in Section B, because the borrower chose not to shop ("Did Not Shop").

If a borrower does NOT choose a settlement service from the lender's list of settlement service providers, where the lender allows a borrower to shop for a service, and instead chooses another provider, it is not the lender's responsibility if the fee increases from what the lender originally disclosed in Section C of the LE. This will also then be disclosed on the CD in Section C.

Although not in Section C, other fees are included in the 10% cumulative tolerance, such as:

- **Recording fees** are fees assessed by a government authority to record the loan and title documents. Unlike transfer taxes, recording fees are not based on the sale price of the property or loan amount.
- **Lender's Title Insurance Policy** is a required insurance for the title of the property based on the loan amount. We'll discuss this in Chapter 5. Just note here that this falls into the 10% cumulative category if the borrower selects the title insurance company from the lenders List of Settlement Service Providers.

No-tolerance fees are allowed to change without any limitations (Unlimited, none). It is sometimes stated as "yes," they can change. While these other terms might be used to explain

this tolerance, please note, the CFPB's official name for this category is still "NO-Tolerance." These fees are generally items the lender has no control over in the transaction.

Fees considered **no-tolerance fees** include:

- Prepaid interest.
- Property insurance premiums.
- Amounts placed in escrow, impound or reserve or similar account, for property taxes and homeowner's insurance premiums.
- For services required by the lender, if the lender permits the consumer to shop, and the consumer selects a third-party service provider not on the lender's written list of service providers.
- Any fee for a company charge not required by the lender and chosen by the borrower. Examples of these include home inspection, survey, home warranty, etc.

No-tolerance means they can charge any amount from the beginning to the end of the transaction. Due to the word "No" being used by the CFPB for this tolerance category, be careful not to confuse the word "No" tolerance with "zero"-tolerance, as these are totally different tolerance categories.

If a lender allows a borrower to shop for a service, they will provide a list of service providers that they recommend the borrower use. If the borrower does not choose from one of those recommended providers and instead chooses another provider, it is not the lender's responsibility if the fee increases.

The written list of service providers must be separate from the LE and provided to the borrower within 3 business days after application. The LE and SSPL are typically given to the borrower together at the same time at initial disclosure delivery. The list must identify at least one available settlement service provider for each service and must state that the consumer can choose a different provider for that service.

The lender can also identify a written list of providers that the consumer is not permitted to shop, as long as those services are clearly and conspicuously distinguished from the services that the consumer is permitted to shop.

Valid Changed Circumstances

To help you understand this further, let's review the 3 Valid Changed Circumstances. You might think there are many more reasons than just three that allow you to change the initial fees quoted to the borrower, and you would be correct. These are the three **categories** that all your "Reasons" must fall into. If the reason for the change does not fall into one of these 3 categories, it is not considered a Valid Changed Circumstance, and thus cannot be changed.

The following are acceptable changed circumstances:

- An **extraordinary event** out of anyone's control (also known as an Act of God).
 - Example: A weather disaster like a hurricane or tornado
 - Death, a required third-party service provider (title company) goes out of business.

- Information specific to the consumer or the transaction that the lender relied upon when providing the disclosures that was **inaccurate or changed** after the disclosures were provided.
 - Example: The appraisal comes back lower than initially expected, and the borrower no longer qualifies for the original product. They do qualify for a different product with different charges; for example, now they need to have mortgage insurance, or it changes the LTV requiring a higher interest rate, etc.
 - The borrower's income is different from what was initially told you, after reviewing the borrower's supporting documentation. Remember, you **cannot** require supporting documentation prior to delivery of the initial LE or **delay the delivery of the LE waiting on supporting documentation**.
- **New information** specific to the consumer or transaction that the lender did not rely on when providing the disclosures.
 - Example: At the time of disclosure, there was an unknown tax lien on the property, and that disqualifies the borrower for a specific program, but still qualifies them for a different program with different charges.
 - Borrower obtains a new debt, or changes jobs, increasing the DTI that requires you to change programs, or increase the interest rate.
 - A reinspection fee on the property is required after receipt of the appraisal due to peeling paint on your FHA loan. This is because you did not have foreknowledge that the house had peeling paint or another defect until you received the appraisal back informing you of such defect.

Note, you must have Valid Changed Circumstance in order to change to a Zero or 10% fee tolerance category. If a changed circumstance occurs, it may cause one or more third-party charges subject to the 10% cumulative tolerance to increase, in which case the lender can rely on a new revised LE and reset the tolerances.

A lender may also provide and use a revised LE and reset tolerances if a changed circumstance affected the borrower's creditworthiness or the value of the property, which resulted in the consumer being ineligible for an estimated loan term/program/feature/product previously disclosed.

Let's understand what is meant by the word "reset". Let's say a \$1000 fee changes, for an allowable reason, and goes up to \$1100. This \$1100 is now the new tolerance threshold amount for that specific fee, if there were to be any other future valid changes specific to this fee and only this fee that would require it to change again.

Note, a valid changed circumstance in one area does not allow you to change a fee in another area, unrelated to the specific changed circumstance. For example, if the LTV increases due to a lower appraised value, this will typically require either an interest rate to increase or the borrower can pay additional fees to keep the rate at the current disclosed rate. Let's say the borrower chooses to pay the increased discount points (fees) to keep the rate the same, **does not allow you to change any other fee on the loan that is unrelated to that changed circumstance** (lower appraised value). This means if you're charging the borrower

\$1000 in origination fee, you have a \$500 underwriting fee, appraisal, credit, flood, or any other fee **unrelated** to this valid changed circumstance, **CANNOT be changed**.

Sometimes there may be multiple fees that can be changed with a single valid changed circumstance. For example, if the loan amount increase, this would change the title insurance premiums, tax stamps/transfer tax fees, if any, possibly the interest rate or fees related to LTV, or any other fee related to a loan qualifying feature that is based on the loan amount, for this specific valid changed circumstance. Additionally, No Tolerance fees, in this specific situation would also change, but do not require redisclosure within 3 days, because they ARE “No Tolerance”, which means “YES” these can change.

These would include prepaid interest because this is based on loan amount, and owner’s title insurance, just to give examples. However, if you are going to redisclose within 3 days anyway, for the Zero & 10% changes, if you had the additional numbers/information, these would also be updated on your revised LE.

A Zero Tolerance fee in most cases can never change. So, if the appraiser comes back and asks for more money for a rush fee or simply doesn’t agree to the amount of the initial charge you disclosed to the borrower, you CANNOT increase or change this initial fee that you disclosed to the borrower. The lender would have to cover the cost for the additional fee or find another appraiser willing to perform the appraisal for the fee you disclosed. Think of it this way, if the appraiser wants more money, is not a Valid Changed Circumstance. Just as if you would ask yourself, “the loan officer wants to make more money”, is obviously NOT a Valid Changed Circumstance. While we know this may sound exaggerated, it does help to understand the thought process behind the Zero Tolerance category and what makes a Valid Changed Circumstance.

Note, in the case of an Extraordinary Event beyond your control, let’s say a hurricane, after the initial appraisal has been completed, or in the case of New Information, the appraisal reveals peeling paint that needs to be repaired by the seller. The lender will require a reinspection of the property to ensure it is still habitable and that the repair is completed. In this case you **CAN** charge this reinspection fee because you did not have control over the hurricane or other nature disaster, and or you did not have knowledge of the peeling paint or any other property defect. Note, also, we are obtaining a separate invoice from the appraiser for this additional cost of the re-inspection. We are NOT CHANGING the initial fee disclosed to the consumer.

Let’s do one more example of an Extraordinary Event beyond your control. Let’s say the title company goes out of business. If the borrower had selected off your list this would be a 10% tolerance fee. This would allow you to recharge the borrower a new set of title fees from a different company, because you had no control over the title company going out of business.

The actual initial fee for a Zero Tolerance CANNOT change, but as you notice, in some cases, and with an additional invoice, a fee can be added, with a valid changed circumstance, and might in some cases be considered, “New Information”.

Note, Lender Credits to the borrower to pay the borrower’s closing costs CANNOT be reduced once disclosed.

However, there are a few cases where an actual zero-tolerance fee can be changed. Here are examples of most of them.

- 1) The borrower requests a change, which causes a zero-tolerance fee to increase. You **must get a letter from the borrower requesting** the change for the increased or additional fee change. The borrower requests a higher rate to cover their closing costs. The borrower requests an appraisal rush fee and agrees to pay this fee, but again, only with a letter from the borrower requesting to pay such fee.
- 2) The rate lock expires, and the borrower pays a lock extension fee because they have agreed to such when they **signed their Lock-in Agreement Disclosure**.
- 3) Something causes the rate or fees related to the rate to change after the rate is locked, such as the appraised value changing (LTV), or the borrower's credit score changing, or the borrower incurs a new debt, changes jobs, etc. Some of these changes might fall under **information that you relied upon that became inaccurate/changed**, while others would be considered **New Information**
- 4) Tax Transfer Fees, only if the loan amount or sale price increases, can this amount increase. Depending on the state, transfer taxes calculation will be based on the sale price of the property, or the amount of the loan obligation.

If you miss this fee or don't quote accurately, or even put these or any zero or 10% tolerance fee on the wrong line or section within the LE (Sections A/B/C/etc.) you CANNOT increase or in some cases even charge the fee.

You must remember where you put your fees on the LE and especially the CD, because these affect the APR. If you disclose an inaccurate APR, this is a violation of TILA, but since the LE or CD is inaccurate, this is also a violation of TRID, this may also be considered deceptive if done intentionally, which is then a violation of MAP, UDAAP, SAFE. It is possible to violate more than one law with the same action.

Fees can always go down; you can always choose to charge less. Also, if your origination fee is a percentage of the loan amount, and not a set dollar amount, then the origination fee may increase, if the loan amount increases, but note, the percentage is not changing, only the loan amount, whether requested by the borrower, new information, inaccurate information, or even an extraordinary event.

10% tolerance fees have just a small margin for changing. This amount is acceptable and does not need to be re-disclosed within 3 business days. Any fee over this 10% tolerance amount must have a Valid Changed Circumstance as described above, and redisclosed within 3 business days after discovering the change, in order to charge the borrower for any additional costs associated with the change.

Further, if a consumer requests revisions to the terms of the mortgage, the lender may use a revised LE to reset tolerances, because the borrower is requesting the change.

If the consumer requests revisions to the credit terms or settlement that affect items disclosed on the LE, this can cause an estimated charge to increase. Note, the lender must still provide the new revised LE no later than three business days after the date of the borrower's requested Changed Circumstance, or any new fees or charges for the requested change CANNOT be charged to the borrower.

Examples of acceptable triggers for a valid change of circumstances to reset Zero and 10% tolerances: (this is not an inclusive list)

1. Loan program change (e.g., 15-year to 30-year or Conv to FHA)
2. Appraised value change affecting LTV & interest rate.
3. Property repair required (e.g., FHA, peeling paint)
4. Adding required flood insurance (unforeseen)
5. Borrower requests to lock interest rate, or lock extension (Borrower signs)
6. Expiration of the original LE after 10 days
7. Construction loan settlement delays (>60-day rule)
8. Borrower's credit score changes (affects interest rate)
9. Borrower's income or employment changes (u/w approval)
10. Borrower incurs a new debt that changes DTI (u/w approval)
11. Borrower's assets change, which causes u/w approval to change.
12. Adding or removing borrowers on loan
13. Natural disaster that affects the property
14. Borrower requests any change.
15. Borrower does not select third-party service providers on lender's SSPL.

12 C.F.R. §1026.19(e)(3) and (4) •

Rate Lock & Late Payment

Violation # 5: Provided Inaccurate Loan Estimates

Citation Violation: The creditor is required to disclose certain information on the Loan Estimate (LE). For transactions in which the interest rate is locked for a specific period of time, the creditor must provide the date and time (including the applicable time zone) when that period ends. §1026.37(a)(13)(i).

Additionally, the lender is required to provide a statement detailing any charge that may be imposed for a late payment, stated as a dollar amount or percentage charge of the late payment amount, and the number of days that a payment must be late to trigger the late payment fee, labeled "Late Payment. §1026.37(m)(4)

Examination Findings: Loans were identified showing accurate information on the LE had failed to be disclosed. 12 C.F.R. §1026.37(a)(13)(i) and (m)(4) •

If the loan is locked at the time the LE is provided to the borrower, the rate lock information must be provided. Information must include the interest rate, any points being charged for that rate, and any lender credits. If the rate has not been locked at the time of the LE disclosure being sent to the borrower, this can be a validly changed circumstance if the unlocked rate changes during the loan process. However, if the loan is locked and the LE states the rate lock information, including the date and time (including the applicable time zone) the rate lock will expire, and the loan closes within that proposed timeline, the fees associated with the rate lock and loan cannot change.

Do you know where to find the late payment information? Let's look at the last page of the Loan Estimate.

Other Considerations	
Appraisal	We may order an appraisal to determine the property's value and charge you for this appraisal. We will promptly give you a copy of any appraisal, even if your loan does not close. You can pay for an additional appraisal for your own use at your own cost.
Assumption	If you sell or transfer this property to another person, we ☐ will allow, under certain conditions, this person to assume this loan on the original terms. ☒ will not allow assumption of this loan on the original terms.
Homeowner's Insurance	This loan requires homeowner's insurance on the property, which you may obtain from a company of your choice that we find acceptable.
Late Payment	If your payment is more than 15 days late, we will charge a late fee of 5% of the monthly principal and interest payment.
Refinance	Refinancing this loan will depend on your future financial situation, the property value, and market conditions. You may not be able to refinance this loan.
Servicing	We intend ☐ to service your loan. If so, you will make your payments to us. ☒ to transfer servicing of your loan.

This is a violation that you can look out for before you send your borrower their Loan Estimate. If you're working with a VA or FHA customer, always verify that it says 4% of the monthly principal and interest payment instead of 5% on that last page.

Usually, you can rely on your lenders, but it's your responsibility to look at these and make sure that they're compliant. For example, some lenders created a Lock and Shop program that allowed borrowers to lock in their loans before identifying a property to purchase. Depending on how the broker set up the program, it could easily violate disclosure or other laws.

When MEC staff asked various lenders offering these programs about the compliance concerns, not a single lender was willing to state they were compliant and stated it was the broker's responsibility to verify compliance with how they were offering the program.

[Copy of a Loan Estimate](#)

Charging Excessive Fees – Appraisal & Credit Fees

Violation #3: Unallowable Third-Party Fees

Citation Violation: 12 CFR Section 1026.19(f)(1)(i) of Regulation Z (TILA) states: "Mortgage loans – final disclosures. Scope. In a transaction subject to paragraph (e)(1)(i) of this section, the creditor shall provide the consumer with the disclosures required under §1026.38 reflecting the actual terms of the transaction." 12 CFR Section 1026.19(f)(3)(i) of Regulation Z (TILA) states: "Charges disclosed – Actual charge. The amount imposed upon the consumer for any settlement service shall not exceed the amount actually received by the settlement service provider for that service, except as otherwise provided in paragraph (f)(3)(ii) of this section. "Official Interpretation of §1026.19(f)(3)(i) of Regulation Z (TILA) states: "Requirements. Section 1026.19(f)(3)(i) provides the general rule that the amount imposed on the consumer for any settlement service shall not exceed the amount actually

received by the settlement service provider for that service. Except as otherwise provided in § 1026.19(f)(3)(ii), a creditor violates §1026.19(f)(3)(i) if the amount imposed upon the consumer exceeds the amount actually received by the service provider for that service."

Examination Findings: The consumers were charged an appraisal fee that had already been paid for by a prior lender. A residential appraisal report was utilized that had been ordered by another lender; however, the consumer was charged for the same appraisal at closing. Only the cost of third-party fees for services actually provided may be assessed to consumers.

Violation # 6: Collection of Excessive Fees •

Citation Violation: Regulation Z, 12 C.F.R. §1026.19(f)(3)(i), provides the general rule that the amount imposed on the consumer for any settlement service shall not exceed the amount actually received by the settlement service provider for that service.

Examination Findings: Loan files were identified where documentation was not provided to support the amount of the credit report fee charged to the consumer. 12 C.F.R. §1026.19(f)(3)(i) •

These are very straightforward types of violation. Never charge more for a third party than they are charging for the service. For example, if an appraisal is \$500, do not charge \$525 for no additional service. Another example is if a credit report costs the mortgage company \$75, do not charge \$90 for no additional services.

Another example of when this might happen is when over-disclosing a fee on the Loan Estimate. In theory, this is an ok practice, but the fee must be fixed on the final Closing Disclosure. For example, a mortgage professional over-discloses the appraisal fee because they think that the appraiser may have to go back out, or the loan may switch from Conventional to FHA and that requires a different appraisal, which inflated fee goes out on the Loan Estimate. Then none of those scenarios happen, and it's just a standard conventional appraisal, but you over-disclosed on the Loan Estimate by \$500. Now the appraisal fee must be fixed on the Closing Disclosure to reflect the actual cost of the appraisal. The lender cannot charge that excessive appraisal fee.

[12 C.F.R. §1026.19\(f\)\(1\)\(i\) and \(f\)\(3\)\(i\)](#)

Disclosure Timing

We have three violations that all have to deal with disclosure timing – specifically disclosure timing of the Closing Disclosure or CD. Before we look at those violations let's do a quick review of TRID timing requirements.

Initial Loan Estimate

- *Initial Disclosure – 3 days*
 - Lenders must ensure delivery or place in the mail no later than the third business day after receiving the consumer's application.
- *Must be delivered 7 days before consummation.*
 - The Loan Estimate must also be delivered or placed in the mail no later than the seventh business day before consummation of the transaction.
 - You can't close in less than seven days from delivery of the Loan Estimate

- LE expires after 10 business days.

Loan Estimate Timing Example

The lender is open for business Monday through Friday. The MLO submits an application completed on Thursday. By what date must the lender supply the LE? Friday, Monday, and Tuesday (3 LE business days). So, the lender must supply the LE by electronically or mail by the end of the day Tuesday.

Revised Loan Estimate

- *4 days*
 - A lender can revise an LE at any time before they provide the CD.
 - However, the lender must ensure that the consumer receives the final revised LE no later than four business days before closing (or consummation).

Final Loan Estimate

- *1 day prior to initial CD*

Closing Disclosure

- *3 days*
 - Lender ensures the consumer receives the Closing Disclosure no later than three business days before consummation of the loan.
- *3 days*
 - Loans may not be consummated less than three business days after the Closing Disclosure is received by the consumer.
- *3 days*
 - Changes made to the Closing Disclosure prior to loan consummation require a new Closing Disclosure form to be issued by the lender and, in a limited number of situations (including APR changes of more than 1/8 of a percent for irregular loans, a change in the loan product, or the addition of a prepayment penalty), a reset of the three-day waiting period.

Here are a few other terms to remember from TRID:

- Business day:
 - LE – Any day the lender is open to the public for substantially all its business functions.
 - CD – All calendar days except Sundays and legal holidays
- What constitutes an application?
 - Consumer's name
 - Consumer's income
 - Consumer Social Security number

- o A property address
- o An estimated value of the property
- o The mortgage loan amount sought.

Violation #4: Failed to Issue a Corrected CD and Refund with 60 days of Consummation.

Citation Violation: A lender shall refund any excess to the consumer no later than 60 days after consummation if the amounts paid at consummation exceed the amounts specified on the disclosure. The lender must deliver or place in the mail disclosures corrected to reflect the refund of such excess no later than 60 days after consummation. § 1026.19(f)(2)(v). o

Examination Findings: Loans were identified where the file did not contain adequate evidence to show that a corrected Closing Disclosure or refund was issued to the consumer within 60 days of consummation. Example: on a loan, two invoices are billed, one for \$900.00 and a second for \$200.00, for an initial appraisal and supplemental review, and the consumer is charged \$1,300.00 on the final Closing Disclosure without evidence of correction. Also, identified were loans where re-disclosure and refunds were provided more than 60 days past consummation [12 C.F.R. §1026.19\(f\)\(2\)\(v\)](#)

Violation # 7: Mortgage loans - Final Disclosures – Subsequent changes •

Citation Violation: "(v) Refunds related to the good faith analysis. If amounts paid by the consumer exceed the amounts specified under § 1026.19(e)(3)(i) or (ii), the creditor complies with §1026.19(e)(1)(i) if the creditor refunds the excess to the consumer no later than 60 days after consummation, and the creditor complies with § 1026.19(f)(1)(i) if the creditor delivers or places in the mail corrected disclosures that reflect such refund no later than 60 days after consummation".

Examination Findings: Loan files were identified where it showed the failure to provide the corrected Closing Disclosure (CD) and/or refund to the borrower within the 60-day timeframe after consummation. Additionally, it was noted that there was a failure to indicate whether the borrower received the dollar refund for the overpayment of recording fees. [12 C.F.R. §1026.19\(f\)\(2\)\(v\) •](#)

Violation # 9: Mortgage loans - final disclosures – Provision of disclosures – Timing

Citation Violation: "(A) In general. Except as provided in paragraphs (f)(1)(ii)(B), (f)(2)(i), (f)(2)(iii), (f)(2)(iv), and (f)(2)(v) of this section, the creditor shall ensure that the consumer receives the disclosures required under paragraph (f)(1)(i) of this section no later than three business days before consummation."

Examination Findings: Borrowers CD was not provided within three business days before consummation. [12 C.F.R. §1026.19\(f\)\(1\)\(ii\)\(A\)](#)

Closing Disclosures

In addition to violations related to the timing of Closing Disclosures, there was also a violation surrounding the disclosure of taxes and other government fees on the CD, let's take a look at the violation:

Violation # 10: Closing costs details; other costs – Taxes and other government fees.

Citation Violation: “(g)(1) Taxes and other government fees. Under the master heading “Closing Cost Details” disclosed pursuant to paragraph (f) of this section, with columns stating whether the charge was borrower-paid at or before closing, seller-paid at or before closing, or paid by others, all costs in connection with the transaction, other than those disclosed under paragraph (f) of this section, listed in a table with a heading disclosed as “Other Costs.” The table shall contain the items and amounts listed under five subheadings, described in paragraphs (g)(1) through (6) of this section. (1) Taxes and other government fees. Under the subheading “Taxes and Other Government Fees,” an itemization of each amount that is expected to be paid to State and local governments for taxes and government fees and the total of all such itemized amounts that are designated borrower-paid at or before closing, as follows: (i) On the first line: (A) Before the columns described in paragraph (g) of this section, the total amount of fees for recording deeds and, separately, the total amount of fees for recording security instruments; and (B) In the applicable column as described in paragraph (g) of this section, the total amounts paid for recording fees (including, but not limited to, the amounts in paragraph (g)(1)(i)(A) of this section); and (ii) On subsequent lines, in the applicable column as described in paragraph (g) of this section, an itemization of transfer taxes, with the name of the government entity assessing the transfer tax.”

Examination Findings: Identified loans where the recording fees were incorrectly disclosed as seller-paid at closing in the consumers’ final CD. In addition, there was a failure to disclose the transfer tax in the final CD provided to the borrowers. [12 C.F.R. §1026.38\(g\)\(1\)\(i\)\(ii\)](#)

Before we wrap up this chapter but talking about our last violation, that doesn’t have to do with TRID, here are a few tips & reminders for TRID:

- Initial LE Expires after 10 Business Days
- If Fail to Re-Disclose after 3 Days Cannot Charge the Borrower
- Not required to have complete 1003 to Issue LE (only 6 items)
- Saturday Rule* (initial 3 days for LE, initial 7 Day Waiting Period, New information & 10 Business Day LE Expiration)
- Cannot require supporting documentation until delivery of the LE.
- Cannot Collect Money w/o Intent to Proceed
- 0, 10%, No Tolerance Categories
- Must give Final LE (if any changes) 1 day Before issue Initial CD
- Last / Final LE must be 4 days before Consummation to allow CD 3 days before closing.
- The Last / Final LE & CD CANNOT be delivered the same day.
- CD 3 Business Days Before Consummation

- The borrower must have CD for 3 days, then close the next day (1,2,3, close)
- Begin Counting Day Mailed or Delivered (LE & CD)
- Once you issue a CD you CANNOT issue an LE for a Changed Circumstance
- Delivery of initial LE assumes you have received 6 items. If you issue LE prior to receipt of all 6 items, receipt of additional item is NOT a valid changed circumstance.

Advertising under TILA

We decided to put this violation at the end of our conversation because while it is a violation of the Truth in Lending Act, it does not involve TRID or initial or final disclosures in a transaction. This violation deals with: **Advertising**.

Violation # 8: TILA - 12 C.F.R. §1026.24(c)

Citation Violation: If an advertisement states a rate of finance charge, it shall state the rate as an “annual percentage rate,” using that term. If an advertisement is for credit secured by a dwelling, the advertisement shall not state any other rate, except that a simple annual rate that is applied to an unpaid balance may be stated in conjunction with, but not more conspicuously than, the annual percentage rate. § 1026.24(c).

Examination Findings: An advertisement was identified stating a rate of a finance charge without stating the annual percentage rate.

Truth in Lending Act (TILA) was the first of the federal advertising laws to be passed and has significant implications for how mortgage professionals can advertise. One of the most drastic compliance rules added to advertising came from TILA. TILA requires the APR to be included in all advertising if a triggering term exists. A lot of people believe that if you advertise the APR, then the interest rate does not need to be included, while accurate, we suggest that if you only have room for one rate, it must be the APR. The APR must also be disclosed if a trigger term appears in the advertisement. A trigger term is a phrase that represents the features of the loan scenario.

Some trigger terms are:

- 10% down payment
- \$1,000 down
- 80% financing
- Monthly payments less than \$500 on all loan plans
- Pay \$32.11 per \$1,000 borrowed.
- \$850 per month

If any trigger term exists in the advertisement, the ad must also disclose:

- The amount or percentage of any downpayment.
- The number of payments or period of repayment.
- The amount of any payment.

- The amount of any finance charge.

Some examples of terms that do not require the disclosure of the APR include:

- Easy monthly payments
- Low down payments
- Pay bi-weekly.
- Terms to fit any budget.
- Financing available
- FHA or VA loans available

If a mortgage company or professional advertises directly to a borrower, they are required to:

- Advertise only the specific terms the lender can truly offer.
- State the finance charge rate using the term Annual Percentage Rate or APR.
- Specify that the APR might increase after consummation of the loan; the ad must be specific on this detail, for example, on an adjustable-rate mortgage.
- Advertise the APR in conjunction with the simple annual or periodic rate. The APR must be advertised clearly and conspicuously as the other rate.

TILA “clear and conspicuous rule”

Regulation Z requires advertisements relating to credit to present certain information clearly and conspicuously. It includes requirements regarding the proper disclosure of the annual percentage rate and other loan features. If an advertisement for credit states specific credit terms, it must state only those terms that are or will be arranged or offered by the creditor.

Disclaimers can be used to avoid allegations of misrepresentation, but disclaimers must be “clear and conspicuous” and in close proximity to the applicable statement. Fine print at the bottom of a page is not a valid disclaimer. Accurate information in the text of an advertisement does not provide a remedy to a misleading headline, for instance.

Also included in TILA is the requirement that anything advertised must **actually be available**. If you are advertising a specific interest rate or program, that interest rate and the program must be available to a reasonable number of qualified borrowers.

Regulation Z states that if the advertiser provides information on a table or schedule located on a different page from the main advertisement, the main advertisement must refer to the page the table or schedule is on.

 12 CFR 1026.24; Regulation Z

Chapter 2

Cybersecurity & Fraud

Learning Objectives for Chapter 2

- ☐ Describe the purpose and requirements under GLBA.
- ☐ Understand what is considered Nonpublic Personal Information
- ☐ Relate what mortgage professionals can do to protect their borrower's information.
- ☐ Redefine the terms Internet of Things, Deepfakes & Ransomware
- ☐ Identify the pieces of the Bank Secrecy Act / Anti-Money Laundering
- ☐ Evaluate how cryptocurrency and blockchain affect the mortgage industry.

Gramm Leach Bliley Act

The Gramm-Leach-Bliley Act (GLB Act or GLBA), also known as the Financial Modernization Act of 1999, is a federal law that controls the way mortgage companies and professionals handle the nonpublic personal information obtained from their borrowers and applicants.

GLBA has three sections:

1. The Financial Privacy Rule: This section regulates the collection and disclosure of private financial information.
2. The Safeguards Rule: This section stipulates that financial institutions must implement security programs to protect such information.
3. The Pretexting provisions: This section prohibits the practice of pretexting.

Pretexting is defined as accessing private information using false pretenses.

GLBA also requires financial institutions to give customers written privacy policy notices that explain their information-sharing practices.

GLBA states that financial institutions, like mortgage companies, have an obligation to respect their customers' privacy and securely protect their sensitive personal information against unauthorized access.

GLBA

Nonpublic Personal Information

In part, GLBA's requirements exist to decrease the likelihood that a mortgage company will have a data breach and face the resulting fallout, including significant financial and legal penalties and damage to its reputation. Before we dive into the Safeguards Rule, let's talk about

nonpublic personal information and what is included in that definition. Nonpublic personal information (NPI or NPPI) is defined as any information that is not publicly available and that:

- A consumer provides a financial institution to obtain a financial product or service from the institution.
- Results from a transaction between the consumer and the institution involving a financial product or service; or
- A financial institution otherwise obtains about a consumer in connection with providing a financial product or service.

Information is publicly available if the mortgage company has a reasonable basis to believe that the information is lawfully made available to the general public from government records, widely distributed media, or legally required disclosures to the general public. Examples include information in a telephone book or a publicly recorded document, such as a mortgage or security interest filing.

Nonpublic personal information may include individual items of information as well as lists of information. For example, nonpublic personal information may include names, addresses, phone numbers, Social Security numbers, income, credit score, and information obtained through Internet collection devices (i.e., cookies).

[GLBA](#)

Biometric Data

According to the Department of Homeland Security, biometrics are “unique physical characteristics, such as fingerprints, which can be used for automated recognition.” Biometric data is not expressly called nonpublic personal information under GLBA, but because the definition is so expensive, it would generally include biometric data. For some states, that’s not enough. In 2022, many states have tried to or have passed privacy laws specific to biometric data. Most of these laws were based on the Illinois Biometric Information Privacy Act or BIPA. A few other states already have biometric privacy laws. Still, BIPA is different because it provides a private right of action where the information was involved in unauthorized exposure. The business failed to implement and maintain reasonable security procedures, they also failed to take specific steps after receiving a consumer complaint. Keep an eye out in your state!

How does biometric data even fit into the mortgage industry? Remote Online Notarization is just the first step. What is Remote Online Notarization, or RON? With remote notarization, a signer (your borrower!) personally appears before the Notary at the time of the notarization using audio-visual technology (think Google Meet or Zoom) instead of being physically present in the same room. Remote online notarization is also called webcam notarization, online notarization, or virtual notarization. Each state has its own RON requirements, so be aware of that the process we will describe might be different depending upon the state; currently, 43 states have passed remote notarization laws:

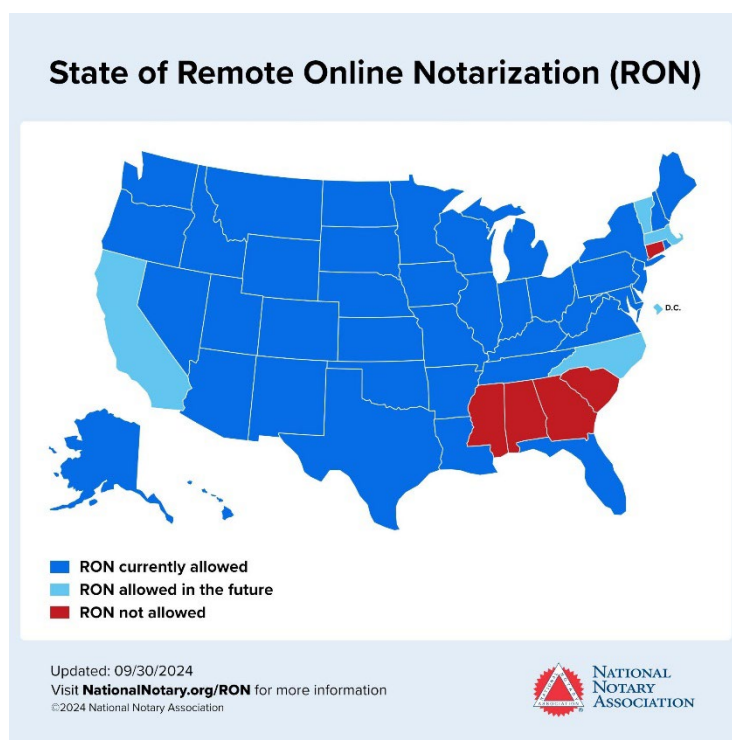


Figure credit: [National Notary Association: Remote Notarization: What You Need to Know](#)

So how does a RON work? Our friends at the National Notary Association provide a great step by step on how a RON works.

1. The signer contacts the Notary or a RON service provider to request a remote online notarization.

2. The signer's document is sent to the Notary so it can be signed and notarized. Typically, the document is uploaded in an electronic format such as PDF to the online technology platform used to perform the notarization.
3. The signer's identity is screened according to the requirements of the Notary's commissioning state. This may include answering questions based on the signer's personal and credit history (KBA), verifying the signer's identification documents online (credential analysis), the Notary remotely viewing the signer's ID during the notarization, or other RON identification methods set by statute.
4. During the remote online notarization, the Notary and the signer communicate online using audiovisual technology — for example, via webcam. The Notary and signer do not meet face to face.
5. Once the signer's identity has been verified and all other requirements for the notarization have been completed, both the signer and the Notary must sign the document and the Notary's seal attached. For electronic documents, this requires electronic signatures and an electronic version of the Notary's seal.
6. The Notary records any required information for the Notary's journal records. The Notary must typically also retain an audio and video recording of the notarization session.
7. The remotely notarized document is returned to the signer.

So, what does all of this have to do with biometrics? Things like knowledge-based authentication (KBA) can be easily faked or guessed. Identifications can also be forged or faked. Biometrics are much harder to steal and forge, though not impossible. Since KBAs and other forms of identification can be faked – that can open the door to fraudulent transactions.

From our friends at HousingWire:

Solving for Fraud, Biometrics are the Future of Mortgages

“Mission Impossible aside, there are aspects of each person that simply cannot be duplicated, at least not well enough to fool today’s modern authentication technologies. Facial recognition technology, for instance, has now advanced to the point that not only can the system determine whether the face on the screen belongs to the person who must electronically sign the document, but it can tell if the image on the screen is alive or a photograph.

This is an order of magnitude more effective than the best KBA process currently available. In fact, trying to stay ahead of fraudsters using public information will never work. Frankly, it’s a wonder it was ever adopted in the first place.

With modern biometric technology, anyone with a smartphone, tablet or desktop computer can look into a webcam and a lender on the other side of the country can know in an instant whether the person on screen is the actual person they intend to do business with.

This changes everything and makes it possible for the industry to move as quickly as we want without the fear of falling. Anything less will trip us up, cost us more money and alienate everyone we hope to partner with or serve.”

[Department of Homeland Security: Biometrics](#); [BIPA](#); [HousingWire: Solving for fraud, biometrics are the future of mortgage](#) (used with permission). [National Notary Association: Remote Notarization vs. Traditional Notarization](#); [National Notary Association: Remote Notarization: What You Need to Know](#); [National Notary Association: How to Perform a RON](#)

Safeguards Rule

The Federal Trade Commissions (FTC) Standards for Safeguarding Customer Information, also known as the Safeguards Rule, is in place to ensure that mortgage companies, and other financial institutions, maintain safeguards to protect the security of customer information. This Rule was originally passed in 2003, but after public comment, the FTC amended the Safeguards Rule in 2021 to make sure that the Rule “keeps pace with current technology.”

The key changes to the Safeguards Rule were:

- Risk assessment and safeguards. The final rule requires a risk assessment to be in writing and adds specific criteria that must be included in an assessment. It also adds:
 - o Requirements for what must be addressed by the safeguards an institution must design and implement to control the risks identified through a risk assessment, and
 - o Mechanisms intended to ensure the effectiveness of employee training and service provider oversight.

- The final rule requires the designation of a single “Qualified Individual” who is responsible for overseeing and implementing an institution’s information security program and enforcing the program.
 - It also requires the Qualified Individual to provide written reports on the information security program at least annually to the institution’s board of directors or equivalent governing body.
- Small Business Exemption. The final rule exempts financial institutions that collect information on fewer than 5,000 consumers from the requirements of a written risk assessment, incident response plan, and annual reporting to the board of directors.
- Expanded Definition of “Financial Institution.” The final rule amends the definition of “financial institution” to include entities that are “significantly engaged in activities that are incidental to financial activities.” This change means that lenders will be considered financial institutions covered by the Safeguards Rule.

The Federal Trade Commission issued a proposal at the same time as they implemented the updated Safeguards Rule that would require covered financial institutions to notify the FTC within 30 days after discovering a data breach affecting or reasonably likely to affect at least 1,000 consumers.

In 2022, the Federal Trade Commission (FTC) recently amended the Standards for Safeguarding Customer Information Rule, also known as the Safeguards Rule, to require non-bank financial institutions to report data breaches to the FTC. The amendments went into effect on May 13, 2024.

[FTC Amends Safeguards Rule to Require Non-Banking Financial Institutions to Report Data Security Breaches](#)

[Safeguards Rule notification requirement now in effect](#)

[FTC Safeguards Rule: What Your Business Needs to Know](#)

Security Breach Disclosure Requirements

In 2022, many new federal cybersecurity incident reporting requirements and proposals that impact privacy entities in the financial sector were implemented. These reporting requirements are in addition to new standards under the Safeguards Rule for their compliance plans.

In March of 2022, the new Cyber Incident Reporting for Critical Infrastructure Act (CIRCA), requires entities in a critical infrastructure sector (which can include financial institutions) to report to the Cybersecurity and Infrastructure Security Agency (CISA) certain cyber incidents within 72 hours and ransomware payments within 24 hours of the payment.

The 2023 amendment which took effect in 2024 requires financial institutions to notify the FTC as soon as possible, and no later than 30 days after discovery, of a security breach involving the information of at least 500 consumers. This includes non-bank mortgage lenders.

Additionally, Housing and Urban Development issued an update that requires All FHA-Approved lenders to report a Cybersecurity incident with 12 hours to the department.

The Securities and Exchange Commission (SEC) also recently published several proposed rules that would require various regulated entities to disclose certain cybersecurity related incidents.

[Consumer Finance Monitor: Financial Institutions Face Increasingly Stringent Federal Breach Reporting Requirements \(used with permission\); U.S. Cybersecurity and Infrastructure Security Agency \(CISA\)](#)

Financial Privacy or Opt-Out Rule

The Financial Privacy or Opt-Out Rule is the second arm of GLBA and requires that:

“Financial institutions give their customers - and in some cases their consumers - a "clear and conspicuous" written notice describing their privacy policies and practices. When you provide the notice and what you say depend on what you do with the information.”

Each company must put their borrowers in a box; are they a consumer or are they a customer? Depending on which box they are in, the mortgage company may or may not have to give them a privacy notice.

Under the Rule, a "consumer" is someone who obtains or has obtained a financial product or service from a financial institution that is to be used primarily for personal, family, or household purposes, or that person's legal representative. The term "consumer" does not apply to commercial clients, like sole proprietorships. Therefore, if your client is not an individual, or is an individual seeking your product or service for a business purpose, the Privacy Rule does not apply to you.

Examples of "consumer" relationships:

- Cashing a check with a check-cashing company
- Making a wire transfer
- Applying for a loan, whether the loan is actually obtained.

"Customers" are a subclass of consumers who have a continuing relationship with a financial institution. It's the nature of the relationship - not how long it lasts - that defines customers. Even if an individual repeatedly uses your services for unrelated transactions, she may not be your "customer." For example, if an individual uses the ATM at a bank where she does not have an account, those isolated transactions, no matter how frequent, do not make her that bank's customer. She would still be a "consumer" of that bank, however.

A former customer "has obtained" a financial product or service from a financial institution but no longer has a continuing relationship with it. For purposes of your obligations under the Privacy Rule, a former customer is considered to be a consumer.

Examples of "customer" relationships:

- Opening a credit card account with a financial institution
- Leasing an automobile from an auto dealer
- Using the services of a mortgage broker to secure financing
- Obtaining the services of a tax preparer or investment adviser
- Getting a loan from a mortgage lender or payday lender

Regardless of whether your company shares customer NPI, they must give all their customers a privacy notice. They must provide “initial notice” by the time the customer relationship is

established. If this would substantially delay the customer's transaction, the mortgage company may provide the notice within a reasonable time after the customer relationship is established, but only if the customer agrees.

If the mortgage company shares NPI with nonaffiliated third parties outside of the exceptions, the mortgage company also must give their customers:

- An "opt-out" notice explaining the individual's right to direct the mortgage company not to share their NPI with a nonaffiliated third party.
- A reasonable way to opt out.
- A reasonable amount of time to opt out before the company discloses their NPI.

The mortgage company must also give their customers an "annual notice" - a copy of their full privacy notice - for as long as the customer relationship lasts.

Before a mortgage company shares NPI with nonaffiliated third parties, they must give their non-customer consumers a privacy notice, including an opt-out notice. If they don't share information with nonaffiliated third parties, or if the mortgage company only shares within the exceptions, they do not have to give a privacy notice to their consumers.

If the mortgage company is required to provide a privacy notice to their consumers, they may choose to give them a "short form notice" instead of a full privacy notice. The short-form notice must:

- Explain that the mortgage companies' full privacy notice is available on request.
- Describe a reasonable way consumers may get the full privacy notice.
- Include an opt-out notice.

Type of Notice	To Whom	When	Contents
Initial	Customers	Not later than when you establish the customer relationship, unless it would substantially delay the transaction, and the customer agrees	Description of information-collection and sharing practices, and opt-out notice (if you share NPI with nonaffiliated third parties outside of certain exceptions)
	Consumers who are not customers (including former customers)	Before you disclose their NPI to a nonaffiliated third party outside of certain exceptions	Full description of information-collection and sharing practices or "short-form" notice, along with opt-out notice
Annual	Customers	Delivery on a consistent basis at least once in any period of 12 consecutive months for the duration of the customer relationship	Description of information-collection and sharing practices, and opt-out notice (if you share NPI with nonaffiliated third parties outside of certain exceptions)

There is some information sharing that is exempt from the privacy notice requirements. If your company shares information only under these sets of exceptions, they don't need to give their consumers a privacy notice, but they will need to give their customers a simplified initial and, if applicable, an annual privacy notice. Customers and consumers have no right to opt out of these disclosures of NPI.

“The section 14 exceptions apply to various types of information-sharing that are necessary for processing or administering a financial transaction requested or authorized by a consumer. This includes, for example, disclosing NPI to service providers who help mail account statements and perform other administrative activities for a consumer's account. It also includes disclosures to and by creditors listed by a consumer on a credit application to perform a credit check.

Section 15 exceptions apply to certain types of information-sharing, including disclosures for purposes of preventing fraud, responding to judicial process or a subpoena, or complying with federal, state, or local laws. Examples of appropriate information disclosures under this exception include those made to technical service providers who maintain the security of your records; your attorneys or auditors; a purchaser of a portfolio of consumer loans you own; and a consumer reporting agency, consistent with the Fair Credit Reporting Act

If you share information under this exception, you must give your customers - and your consumers if you share their information - a privacy notice that describes this disclosure. However, your consumers and customers do not have a right to opt out of this information sharing.

Section 13 exception covers disclosures for certain service providers and for certain marketing activities. The section 13 exception covers disclosures to third party service providers whose services for you do not fall within the section 14 exceptions. For example, if you hire a nonaffiliated third party to provide services in connection with marketing your products or to market financial products jointly for you and another financial institution, or to do a general analysis of your customer transactions, your disclosure of NPI for these purposes does not fall under the section 14 exceptions. Therefore, you can use the section 13 exception for these types of service providers.

Section 13 exception also applies to marketing financial products or services offered through a "joint agreement" with one or more other financial institutions. The "joint agreement" requirement means that you have entered into a written contract with one or more financial institutions about your joint offering, endorsement, or sponsorship of a financial product or service. This does not apply to any kind of joint marketing you do, but only joint marketing with other financial institutions and only the marketing of financial products or services."

[FTC: How To Comply with the Privacy of Consumer Financial Information Rule of the Gramm-Leach Bliley Act](#)

The Pretexting Rule

The last arm of GLBA is often called the pretexting rule. It is prohibited under GLBA for any person to obtain or attempt to obtain, or cause to be disclosed or attempt to cause to be disclosed to any person, customer information of a financial institution relating to another person:

8. By making a false, fictitious, or fraudulent statement or representation to an officer, employee, or agent of a financial institution.
9. By making a false, fictitious, or fraudulent statement or representation to a customer of a financial institution.
10. By providing any document to an officer, employee, or agent of a financial institution, knowing that the document is forged, counterfeit, lost, or stolen, was fraudulently obtained or contains a false, fictitious, or fraudulent statement or representation.

[15 U.S. Code Section 6281](#)

Cybersecurity Threats & Trends in The Mortgage Industry

Cybersecurity threats are always changing. It's the nature of the beast as technology gets more complex and financial technology companies (fintech) bring new technologies to the market to improve efficiencies and processes for the mortgage industry. With these increases in the use of technology in the mortgage industry, there is an increase of potential threats to borrowers' nonpublic personal information. While this section is not an exhaustive list of the things that could impact your business, it will shed light into some of the more prevalent concerns. It is worth your time to research more and make sure that you are doing everything in your power to protect your borrower's information from potential cyberthreats.

Per the Cybersecurity & Infrastructure Security Agency (CISA):

Cybersecurity is the art of protecting networks, devices, and data from unauthorized access or criminal use and the practice of ensuring confidentiality, integrity, and availability of information.

We all rely tremendously on computers and the internet; communication via e-mail, smartphones, tablets, providing disclosures, moving files through the loan process, and transferring information to third parties, and so much more.

How much of our daily lives revolve around technology? How much of your borrower's personal information is stored either on a computer, smartphone, tablet or on someone else's system?

Per CISA:

There are huge risks to having poor cybersecurity; some are more serious than others. Among these dangers are malware erasing your entire system, an attacker breaking into your system and altering files, using your computer to attack others, or stealing your credit card information and making unauthorized purchases. Even with the best precautions, there is no guarantee that some of these things won't happen to you, but there are steps you can take to minimize the chances.

[CISA Security Tip \(ST04-001\)](#)

Internet of Things (IoT)

The Internet of Things refers to any object or device that sends and receives data automatically through the Internet. This rapidly expanding set of “things” includes tags (also known as labels or chips that automatically track objects), sensors, and devices that interact with people and share information machine to machine.

Examples devices included in the term Internet of Things:

- Smartphones
- Computers
- Printers
- Cameras
- Tablet
- Smart doorbells
- Routers
- Smartwatches
- Smart lights
- Smart locks
- Alarms
- Water Sensors
- Smart Thermostats
- Servers

Though many security and resilience risks are not new, the scale of interconnectedness created by the Internet of Things increases the consequences of known risks and creates new ones. Attackers take advantage of this scale to infect large segments of devices at a time, allowing

them access to the data on those devices or to, as part of a botnet, attack other computers or devices for malicious intent.

Many of the cyberattacks happening are taking advantage of the IoT by using things like denial-of-service attacks (DoS), ransomware and malware to bring down the IoT and obtain sensitive information. The mortgage industry has not been spared from these types of attacks.

How Do I Improve the Security of Internet-Enabled Devices?

CISA published a list of things that can help protect your IoT devices from being vulnerable to cyberattack. Let's take a look at that article:

Without a doubt, the Internet of Things makes our lives easier and has many benefits; but we can only reap these benefits if our Internet-enabled devices are secure and trusted. The following are important steps you should consider making your Internet of Things more secure.

Evaluate your security settings. Most devices offer a variety of features that you can tailor to meet your needs and requirements. Enabling certain features to increase convenience or functionality may leave you more vulnerable to being attacked. It is important to examine the settings, particularly security settings, and select options that meet your needs without putting you at increased risk. If you install a patch or a new version of software, or if you become aware of something that might affect your device, reevaluate your settings to make sure they are still appropriate.

Ensure you have up-to-date software. When manufacturers become aware of vulnerabilities in their products, they often issue patches to fix the problem. Patches are software updates that fix a particular issue or vulnerability within your device's software. Make sure to apply relevant patches as soon as possible to protect your devices.

Connect carefully. Once your device is connected to the Internet, it's also connected to millions of other computers, which could allow attackers access to your device. Consider whether continuous connectivity to the Internet is needed.

Use strong passwords. Passwords are a common form of authentication and are often the only barrier between you and your personal information. Some Internet-enabled devices are configured with default passwords to simplify setup. These default passwords are easily found online, so they don't provide any protection. Choose strong passwords to help secure your device.

Per the Federal Bureau of Investigation (FBI), Cyber actors are using compromised IoT devices as proxies to:

- Send spam e-mails.
- Maintain anonymity.
- Obfuscate network traffic.
- Mask Internet browsing.
- Generate click-fraud activities.
- Buy, sell, and trade illegal images and goods.

- Conduct credential stuffing attacks, which occur when cyber actors use an automated script to test stolen passwords from other data breach incidents on unrelated websites.
- Sell or lease IoT botnets to other cyber actors for financial gain.

Cyber actors typically compromise devices with weak authentication, unpatched firmware or other software vulnerabilities, or employ brute force attacks on devices with default usernames and passwords,

[CISA Security Tip \(ST17-001\)](#); [Department of Homeland Security: Strategic Principles for Securing the Internet of Things](#); [FBI: Cyber Actors Use Internet of Things Devices as Proxies for Anonymity and Pursuit of Malicious Cyber Activities](#)

Ransomware

Ransomware attacks are on the rise. There are often reports on the nightly news highlighting a new attack that has brought down some system. Along with everything from airports to hospitals, financial institutions like mortgage companies are not immune from being targets for cyberattacks.

What is ransomware? Per CISA: Ransomware is an ever-evolving form of malware designed to encrypt files on a device, rendering any files and the systems that rely on them unusable. Malicious actors then demand ransom in exchange for decryption. Ransomware actors often target and threaten to sell or leak exfiltrated data or authentication information if the ransom is not paid. In recent years, ransomware incidents have become increasingly prevalent among the Nation's state, local, tribal, and territorial (SLTT) government entities and critical infrastructure organizations.

According to CISA, cybercriminals use a variety of techniques to infect victims with ransomware, the most common means of infection are:

- Email phishing campaigns.
- Remote Desktop Protocol (RDP)
- Software vulnerabilities

Ransomware can be devastating to an individual or an organization. Some victims pay to recover their files, but there is no guarantee that they will recover their files if they do. Recovery can be a difficult process that may require the services of a reputable data recovery specialist.

Ransomware incidents can severely impact business processes and leave organizations without the data they need to operate and deliver mission-critical services. The monetary value of ransom demands has increased, with some demands exceeding \$1 million. Ransomware incidents have become more destructive and impactful in nature and scope. The economic and reputational impacts of ransomware incidents, throughout the initial disruption and, at times, extended recovery, have also proven challenging for organizations large and small

Since most of you are not IT professionals, we are going to talk specifically about phishing campaigns, because you, as a mortgage professional can be targeted by these malicious actors, and you could unknowingly put your company and your borrower's information at risk simply by clicking on the wrong e-mail.

Phishing is a type of social engineering attack. Social engineers use human interaction to obtain or compromise information about an organization or its computer systems. Pretexting, which we talked about earlier, is also a form of social engineering attack.

Per CISA:

Phishing is a form of social engineering. Phishing attacks use email or malicious websites to solicit personal information by posing as a trustworthy organization. For example, an attacker may send an email seemingly from a reputable credit card company or financial institution that requests account information, often suggesting that there is a problem. When users respond with the requested information, attackers can use it to gain access to the accounts.

Phishing attacks may also appear to come from other types of organizations, such as charities. Attackers often take advantage of current events and certain times of the year, such as

- Natural disasters (e.g., Hurricane Katrina, Indonesian tsunami)
- Epidemics and health scares (e.g., H1N1, COVID-19)
- Economic concerns (e.g., IRS scams)
- Major political elections

- Holidays

Like we said, as technology advances and our reliance on different types of technology occurs, cyber criminals change their tactics. They also may use vishing and smishing. CISA states:

Vishing is the social engineering approach that leverages voice communication. This technique can be combined with other forms of social engineering that entices a victim to call a certain number and divulge sensitive information. Advanced vishing attacks can take place completely over voice communications by exploiting Voice over Internet Protocol (VoIP) solutions and broadcasting services. VoIP easily allows caller identity (ID) to be spoofed, which can take advantage of the public's misplaced trust in the security of phone services, especially landline services. Landline communication cannot be intercepted without physical access to the line; however, this trait is not beneficial when communicating directly with a malicious actor.

Smishing is a form of social engineering that exploits SMS, or text messages. Text messages can contain links to such things as webpages, email addresses or phone numbers that when clicked may automatically open a browser window or email message or dial a number.

This integration of email, voice, text message, and web browser functionality increase the likelihood that users will fall victim to engineered malicious activity.

What are Common Indicators of Phishing Attempts?

- Suspicious sender's address. The sender's address may imitate a legitimate business. Cybercriminals often use an email address that closely resembles one from a reputable company by altering or omitting a few characters.
- Generic greetings and signatures. Both a generic greeting—such as “Dear Valued Customer” or “Sir/Ma’am”—and a lack of contact information in the signature block are strong indicators of a phishing email. A trusted organization will normally address you by name and provide their contact information.
- Spoofed hyperlinks and websites. If you hover your cursor over any links in the body of the email, and the links do not match the text that appears when hovering over them, the link may be spoofed. Malicious websites may look identical to a legitimate site, but the URL may use a variation in spelling or a different domain (e.g., .com vs. .net). Additionally, cybercriminals may use a URL shortening service to hide the true destination of the link.
- Spelling and layout. Poor grammar and sentence structure, misspellings, and inconsistent formatting are other indicators of a possible phishing attempt. Reputable institutions have dedicated personnel that produce, verify, and proofread customer correspondence.
- Suspicious attachments. An unsolicited email requesting a user download and open an attachment is a common delivery mechanism for malware. A cybercriminal may use a false sense of urgency or importance to help persuade a user to download or open an attachment without examining it first.

How Do You Avoid Being a Victim?

- Be suspicious of unsolicited phone calls, visits, or email messages from individuals asking about employees or other internal information. If an unknown individual claims to be from a legitimate organization, try to verify his or her identity directly with the company.
- Do not provide personal information or information about your organization, including its structure or networks, unless you are certain of a person's authority to have the information.
- Do not reveal personal or financial information in email, and do not respond to email solicitations for this information. This includes the following links sent in email.
- Don't send sensitive information over the internet before checking a website's security.
 - Pay attention to the Uniform Resource Locator (URL) of a website. Look for URLs that begin with "https"—an indication that sites are secure—rather than "http."
 - Look for a closed padlock icon—a sign your information will be encrypted.
- If you are unsure whether an email request is legitimate, try to verify it by contacting the company directly. Do not use contact information provided on a website connected

to the request; instead, check previous statements for contact information. Information about known phishing attacks is also available online from groups such as the Anti-Phishing Working Group.

- Install and maintain anti-virus software, firewalls, and email filters to reduce some of this traffic.
- Take advantage of any anti-phishing features offered by your email client and web browser.
- Enforce multi-factor authentication (MFA).

[CISA: Ransomware 101](#); [Ransomware: What It is & What To Do About It](#); [CISA: Ransomware FAQs](#); [CISA Security Tip \(ST04-14\)](#)

Field Trip: Deepfakes

Deepfakes, what are they? According to the Merriam-Webster dictionary, a deepfake is an image or recording that has been convincingly altered and manipulated to misrepresent someone as doing or saying something that was not actually done or said.

Deepfakes are being used around the world to literally put words in someone else's mouth. Take a few moments and follow this link and read this article:

<https://www.forbes.com/sites/jessedamiani/2019/09/03/a-voice-deepfake-was-used-to-scam-a-ceo-out-of-243000/?sh=5e03ef3b2241>

Discussion Questions:

- How is this a threat in the mortgage industry?
- What are some examples of ways this technology could be used to harm your borrower?

[Deepfake Definition](#)

Bank Secrecy Act and Anti-Money Laundering

The Bank Secrecy Act passed Congress in 1970 and established requirements for recordkeeping and reporting by private individuals, banks, and other financial institutions. The BSA was originally designed to help identify the source, volume, and movement of currency and other monetary instruments transported or transmitted into or out of the US or deposited in financial institutions. The statute sought to achieve that objective by requiring individuals, banks, and other financial institutions to file currency reports with the U.S. Department of the Treasury (U.S. Treasury), properly identify persons conducting transactions, and maintain a paper trail by keeping appropriate records of financial transactions.

Since then, BSA/AML has evolved through multiple new laws being passed, the most significant of which is the Uniting and Strengthening America by Providing Appropriate Tools Required to Intercept and Obstruct Terrorism Act of 2001 (USA PATRIOT Act). According to the FFIEC BSA/AML Examination Manual:

Title III of the USA PATRIOT Act is the International Money Laundering Abatement and Anti-Terrorist Financing Act of 2001. The USA PATRIOT Act is arguably the single most significant AML law that Congress has enacted since the

BSA itself. Among other things, the USA PATRIOT Act criminalized the financing of terrorism and augmented the existing BSA framework by strengthening customer identification procedures; prohibiting financial institutions from engaging in business with foreign shell banks; requiring financial institutions to have due diligence procedures and, in some cases, enhanced due diligence (EDD) procedures for foreign correspondent and private banking accounts; and improving information sharing between financial institutions and the U.S. government.

The USA PATRIOT Act and its implementing regulations also:

- Expanded the AML program requirements to all financial institutions.
- Increased the civil and criminal penalties for money laundering.
- Provided the Secretary of the Treasury with the authority to impose “special measures” on jurisdictions, institutions, or transactions that are of “primary money-laundering concern.”
- Facilitated records access and required banks to respond to regulatory requests for information within 120 hours.
- Required federal banking agencies to consider a bank’s AML record when reviewing bank mergers, acquisitions, and other applications for business combinations.

Certain government agencies play a critical role in implementing BSA regulations, developing examination guidance, ensuring compliance with the BSA, and enforcing the BSA. These agencies include the U.S. Treasury, FinCEN, and the federal banking agencies (Board of Governors of the Federal Reserve System (Federal Reserve), Federal Deposit Insurance Corporation (FDIC), National Credit Union Administration (NCUA), and Office of the Comptroller of the Currency (OCC)). Internationally there are various multilateral government bodies that support the fight against money laundering and terrorist financing.

Let’s talk more about what money laundering is. FFIEC states that: Money laundering is the criminal practice of processing ill-gotten gains, or “dirty” money, through a series of transactions; in this way the funds are “cleaned” so that they appear to be proceeds from legal activities. Money laundering generally does not involve currency at every stage of the laundering process. Although money laundering is a diverse and often complex process, it basically involves three independent steps that can occur simultaneously:

- **Placement.** The first and most vulnerable stage of laundering money is placement. The goal is to introduce unlawful proceeds into the financial system without attracting the attention of financial institutions or law enforcement. Placement techniques include structuring currency deposits in amounts to evade reporting requirements or commingling currency deposits of legal and illegal enterprises. Some examples are dividing large amounts of currency into less-conspicuous smaller sums that are deposited directly into a bank account, depositing a refund check from a canceled vacation package or insurance policy, or purchasing a series of monetary instruments (e.g., cashier’s checks or money orders) that are then collected and deposited into accounts at another location or financial institution.
- **Layering.** The second stage of the money laundering process is layering, which involves

moving funds around the financial system, often in a complex series of transactions to create confusion and complicate the paper trail. Examples of layering include exchanging monetary instruments for larger or smaller amounts or wiring or transferring funds to and through numerous accounts in one or more financial institutions.

- **Integration.** The ultimate goal of the money laundering process is integration. Once the funds are in the financial system and insulated through the layering stage, the integration stage is used to create the appearance of legality through additional transactions. These transactions further shield the criminal from a recorded connection to the funds by providing a plausible explanation for the source of the funds. Examples include the purchase and resale of real estate, investment securities, foreign trusts, or other assets.

Penalties for money laundering are severe; someone convicted of money laundering can face up to 20 years in prison and a fine up to \$500,000. Moreover, there are criminal penalties for willful violations of the BSA and for structuring transactions to evade BSA reporting requirements. For example, a person, including a bank employee, willfully violating the BSA or its implementing regulations is subject to a criminal fine of up to \$250,000, five years in prison, or both. A person who commits such a violation while violating another U.S. law, or engaging in a pattern of criminal activity, is subject to a fine of up to \$500,000, ten years in prison, or both. A bank that violates certain BSA provisions faces criminal money penalties up to the greater of \$1 million or twice the value of the transaction. The federal banking agencies and FinCEN, respectively, can bring civil money penalty actions for violations of the BSA.

Institutions Required to Comply with BSA/AML

Institutions that are required to comply with the BSA/AML include:

- Casinos
- Depository Institutions
- Insurance Industry
- Money Services Businesses
- **Mortgage Companies**
- **Mortgage Brokers**
- Precious Metals/Jewelry Industry
- Securities and Futures

Policies and Procedures Minimum Standards BSA/AML

According to the MMC Mortgage Examination Manual BSA/AML Program Examination Procedures, the BSA/AML policies and procedures must, at a minimum, include the following four “pillars:”

1. Policies, procedures, and internal controls based on an assessment of risks associated with products, services, customer types and geographic locations.
2. Designation of a qualified compliance officer responsible for ensuring day-to-day compliance.
3. Ongoing training of appropriate persons concerning their responsibilities under the program.
4. Independent testing and audit functionality to monitor and maintain an adequate program.

31 CFR § 1029.210

Reporting Requirements BSA/AML

BSA/AML requires reporting activities with specific currency limitations.

- **CTR- Currency Transaction Report** is required when funds are in excess of \$10,000 in one business day by a company or individual.
- **MIL-Monetary Instrument Log** is required when case purchases of monetary instruments, money orders, cashier’s checks, and traveler’s checks are valued between \$3,000 to \$10,000.

- **SAR-Suspicious Activity Report** is required for any cash transaction in which the consumer is trying to avoid the limits set forth by the CTR. It is also required when the activities seem suspicious and may be money laundering. It also must be filed for an aggregate of more than \$5,000.
- **FBAR-Foreign Bank Account Report** is required when a US citizen or resident has a foreign bank account with an aggregate value of \$10,000.

SAR Reporting Requirements

Based on the guidance from the MMC examination manual, the mortgage company is required to file a SAR if it knows, suspects, or has reason to suspect a transaction conducted or attempted at the mortgage company:

- Involves funds derived from illegal activity.
- Attempts to disguise funds derived from illegal activity.
- Is designed to evade regulations promulgated under the BSA.
- Lacks a business or apparent lawful purpose.
- Involves the use of the mortgage company to facilitate criminal activity.

The mortgage company must file an SAR if it receives any cash payment of \$5,000 or more and suspects illegal activity. For example, if the borrower is unable to verify the source of the cash down payment, the mortgage company is not required to file a CMT because, technically, the company is not a financial institution. However, if the mortgage company received \$10,000 or more in cash payments, the mortgage company must file an IRS Form 8300 with both the IRS and FinCEN.

FinCEN has established a BSA Electronic Filing System (E-File). The mortgage company should already be registered in the event that they need to file a SAR. This will be a compliance audit violation, because the mortgage company needs to be able to file a SAR anytime there is any suspicious activity. Make sure to do this now:

- Register with FinCEN through the BSA E-Filing System.
- Identify a Point of Contact that represents the mortgage company and will file reports.

The SAR must be electronically filed through the BSA E-Filing System no later than 30 calendar days from the date of the initial incident when a SAR report was triggered.

When filing an SAR report, no one is permitted to inform the consumer of the filing of the report. All reports and supporting documentation must be kept for five years from the date of the report.

Blockchain & Cryptocurrency

In our 2018 continuing education course, we talked about virtual currency. At the time, FinCEN had issued a [Geographic Target Order \(GTO\)](#) that directly applied to Title Companies for real estate transactions that are conducted in cash, check, funds transfer, virtual currency or other forms of direct payment. At the time, we predicted more would come of this and we were right. In 2018, virtual currency was something new and now it's become mainstream. Before we talk

about how this applies to the mortgage industry and money laundering, let's go over some quick definitions.

What is cryptocurrency?

- A cryptocurrency is a form of digital asset based on a network that is distributed across a large number of computers. This decentralized structure allows them to exist outside the control of governments and central authorities.
- Some experts believe that blockchain and related technology will disrupt many industries, including finance and law.
- The advantages of cryptocurrencies include cheaper and faster money transfers and decentralized systems that do not collapse at a single point of failure.
- The disadvantages of cryptocurrencies include their price volatility, high energy consumption for mining activities, and use in criminal activities.

Cryptocurrency can be used for money laundering. Stolen cryptocurrency can also be laundered and cashed out into actual currency. In February 2022, two individuals were arrested for laundering \$4.5 billion in stolen cryptocurrency. Per the Department of Justice's press release:

According to court documents, Lichtenstein and Morgan allegedly conspired to launder the proceeds of 119,754 bitcoin that were stolen from Bitfinex's platform after a hacker breached Bitfinex's systems and initiated more than 2,000 unauthorized transactions. Those unauthorized transactions sent the stolen bitcoin to a digital wallet under Lichtenstein's control. Over the last five years, approximately 25,000 of those stolen bitcoins were transferred out of Lichtenstein's wallet via a complicated money laundering process that ended with some of the stolen funds being deposited into financial accounts controlled by Lichtenstein and Morgan. The remainder of the stolen funds, comprising more than 94,000 bitcoins, remained in the wallet used to receive and store the illegal proceeds from the hacker. After the execution of court-authorized search warrants of online accounts controlled by Lichtenstein and Morgan, special agents obtained access to files within an online account controlled by Lichtenstein. Those files contained the private keys required to access the digital wallet that directly received the funds stolen from Bitfinex and allowed special agents to lawfully seize and recover more than 94,000 bitcoin that had been stolen from Bitfinex. The recovered bitcoin was valued at over \$3.6 billion at the time of seizure.

These individuals stole cryptocurrency with the intent of swapping it into cold hard cash. You might be wondering what this has to do with the mortgage industry. Can your borrower use cryptocurrency to purchase a home? The short answer: Maybe. The subject of cryptocurrency is still a tangled mess of complicated and contradictory guidance.

On July 18, 2022, the Federal Housing Finance Agency (FHFA) launched a new Office of Financial Technology with the goal of "advancing effective risk management as it evaluates fintech developments in the housing finance space." The FHFA also published a request for information seeking public input on "how to facilitate responsible innovation, identify barriers, or changing to implementing fintech into housing finance, support equity for homeowners and renters and increase efficiency and effectiveness in the compliance and regulatory processes."

In the introduction to the RFI, the FHFA noted [President Biden's March 2022 executive order](#). While the executive order focused on cryptocurrency and digital assets, it also more broadly directed agencies to take concrete steps to study and support technological advances and promote equitable access to safe and affordable financial services.

This points to the possibility that the FHFA is going to get more heavily involved with whether your borrower can use their cryptocurrency to purchase their next home. What about Fannie and Freddie? They have two differing opinions.

In Bulletin 2021-36, Freddie Mac addressed cryptocurrency in the mortgage qualification process. They indicated that they were providing guidance “due to the high level of uncertainty associated with cryptocurrency.” In the Bulletin, Freddie Mac outlined updates to their Seller/Servicer Guide, which now includes the following guidance:

- Income paid to the borrower in cryptocurrency may not be used to qualify for the mortgage.
- For income types that require evidence of sufficient remaining assets to establish likely continuance (e.g., retirement account distributions, trust income and dividend and interest income, etc.), those assets may not be in the form of cryptocurrency.
- Cryptocurrency may not be included in the calculation of assets as a basis for repayment of obligations.

- Monthly payments on debts secured by cryptocurrency must be included in the borrower's debt payment-to-income ratio and are not subject to the guide provisions regarding installment debts secured by financial assets.
- Cryptocurrency must be exchanged for U.S. dollars if it will be needed for the mortgage transaction (i.e., any funds required to be paid by the borrower and borrower reserves).

On the other hand, Fannie Mae's Selling Guide states that virtual currency that has been exchanged into U.S. Dollars is acceptable for the down payment, closing costs, and financial reserves provided the following requirements are met:

- There is documented evidence that the virtual currency has been exchanged into U.S. dollars and is held in a U.S. or state regulated financial institution, and
- The funds are verified in U.S. dollars prior to the loan closing.

A large deposit may be from virtual currency that was exchanged into U.S. dollars. The lender must obtain sufficient documentation to verify the funds originated from the borrower's virtual currency account. Virtual currency may not be used for the deposit on the sales contract (earnest money) for the purchase of the subject property.

So, what does this mean for you and your company? This is a new compliance risk! Fannie and Freddie allow it, but do your investors? Do you want to deal with confirming the money was legitimate before it was invested into cryptocurrency and then cashed out? Stay tuned, because we guarantee this will continue to be a hot topic.

DOP: Two Arrested for Alleged Conspiracy to Launder \$4.5 Billion in Stolen Cryptocurrency; FHFA Announces Office of Financial Technology; Investopedia: Cryptocurrency Explained; B3-4.1-04: Virtual Currency; Bulletin 2021-36

Chapter 2 Review

Now that you've completed Chapter 2, let's do a quick review. In this chapter, we discussed cybersecurity including conversation on Gramm Leach Bliley Act and Bank Secrecy Act and Anti-Money Laundering. We also discussed ethical conversation on protecting borrower's information, avoiding and being aware of fraudulent practices in the mortgage industry.

- Mortgage professionals deal with a borrower's nonpublic personal information every day and it is their responsibility to protect that information by:
 - ❖ Following their company's compliance policy; and
 - ❖ Following federal law related to the protection of a borrower's nonpublic personal information.
- Be sure to understand pretexting, ransomware, and other cybersecurity threats.
- Always remember the purpose of Anti-Money Laundering and the Bank Secrecy Act, mortgage professionals are required to take this training every year for a reason!

Chapter 3

Social Media & Advertising Compliance

Learning Objectives for Chapter 3

- ☐ Describe the requirements for advertising under TILA, MAP, and RESPA Section 8
- ☐ Create compliant social media advertising.
- ☐ Understand how to reach out to a state or federal regulatory authority to report a non-compliant advertisement.

Federal Advertising Laws

Advertising is a productive conduit for mortgage professionals to obtain new borrowers. Social media advertising is nothing new, many mortgage professionals and companies use a variety of social media platforms to drum up new business. Social Media is also where mortgage professionals and companies can run into compliance errors in their advertising. In this chapter, we are going to talk about many of the federal laws surrounding advertising. Then we will take that knowledge and apply it to how mortgage professionals and companies can successfully create compliant social media advertising.

TILA

Let's start with the Truth in Lending Act (TILA). It was the first of the federal advertising laws to be passed and has significant implications for how mortgage professionals can advertise.

One of the most drastic compliance rules added to advertising came from TILA. TILA requires the APR to be included in all advertising if a triggering term exists. A lot of people believe that if you advertise the APR, then the interest rate does not need to be included, while accurate, we suggest that if you only have room for one rate, it must be the APR.

The APR must also be disclosed if a trigger term appears in the advertisement. A trigger term is a phrase that represents the features of the loan scenario.

Some trigger terms are:

- 10% down payment
- \$1,000 down
- 80% financing
- Monthly payments less than \$500 on all loan plans
- Pay \$32.11 per \$1,000 borrowed.

- \$850 per month

If any trigger term exists in the advertisement, the ad must also disclose:

- The amount or percentage of any downpayment.
- The number of payments or period of repayment.
- The amount of any payment.
- The amount of any finance charge.

Some examples of terms that do not require the disclosure of the APR include:

- Easy monthly payments
- Low down payments
- Pay bi-weekly.
- Terms to fit any budget.
- Financing available
- FHA or VA loans available

If a mortgage company or professional advertises directly to a borrower, they are required to:

- Advertise only the specific terms the lender can truly offer.
- State the finance charge rate using the term Annual Percentage Rate or APR.
- Specify that the APR might increase after consummation of the loan; the ad must be specific on this detail, for example, on an adjustable-rate mortgage.
- Advertise the APR in conjunction with the simple annual or periodic rate. The APR must be advertised clearly and conspicuously as the other rate.

TILA “clear and conspicuous rule”

Regulation Z requires advertisements relating to credit to present certain information clearly and conspicuously. It includes requirements regarding the proper disclosure of the annual percentage rate and other loan features. If an advertisement for credit states specific credit terms, it must state only those terms that are or will be arranged or offered by the creditor.

Disclaimers can be used to avoid allegations of misrepresentation, but ~~any~~ disclaimers must be “clear and conspicuous” and in close proximity to the applicable statement. Fine print at the bottom of a page is not a valid disclaimer. Accurate information in the text of an advertisement does not provide a remedy to a misleading headline, for instance.

Also included in TILA is the requirement that anything advertised must **actually be available**. If you are advertising a specific interest rate or program, that interest rate and the program must be available to a reasonable number of qualified borrowers.

Regulation Z states that if the advertiser provides information on a table or schedule located on a different page from the main advertisement, the main advertisement must refer to the page the table or schedule is on.

 [12 CFR 1026.24; Regulation Z](#)

MAP Rule

The Mortgage Acts and Practice Rule, or MAP Rule, was created in 2009 to prohibit misrepresentation in commercial communication about any term(s) of a mortgage credit product. The FTC used to control the MAP Rule, but control was swapped to the CFPB. It’s good to note here that the CFPB can enforce the MAP Rule based on **individual violations**.

Commercial communication refers to any written or oral statement, illustration, or depiction, whether in English or any other language, designed to affect a sale or create interest in purchasing goods or services. Social media advertisements are indeed commercial communications. **A quick way to remember the MAP Rule is no material misrepresentations are allowed in advertisements.**

According to the Rule, you must avoid misrepresenting:

- Fees
- Costs
- Obligations
- Loan Conditions
- Product Availability
- The amount of cash the consumer will receive or the out-of-pocket payment that will be required at closing.
- The existence, number, amount, or timing of any minimum or required payments.
- Whether the loan is a reverse mortgage or non-recourse loan, and any amount that must be paid to retain the home when the borrower moves or dies.
- Specific info on taxes and insurance, like:

- o Amounts, payments, or other requirements related to taxes or insurance.
- o Escrow requirements – including the amount needed to fund the escrow, cushions, monthly escrow payments.
- o Any taxes and insurance premiums that must be paid at or before closing.
- o Types of insurance that must be obtained.
- A false association
 - o Associated with the borrower’s current servicer.
 - o Government association/affiliation
- Debt Consolidation
 - o Effectiveness of the loan to help the consumer resolve difficulties in paying debts
 - o Misrepresentations that any loan can reduce, eliminate, or restructure debt.
 - o Misrepresentations that the loan may result in a waiver or forgiveness in whole or in part of the consumer’s existing obligation
 - o Misrepresentations concerning debts or costs that are incorporated into the loan amount.
- Whether there are any government benefits (tax benefits!)
- That the loan is
 - o Endorsed
 - o Sponsored by or
 - o Affiliated with any government or other program.

The MAP Rule also has extensive record keeping requirements. Copies of all advertisements are required to be kept for two years after the last use.

RESPA Section 8

RESPA Section 8 states that:

No person shall give, and no person shall accept any fee, kickback, or other thing of value pursuant to any agreement or understanding, oral or otherwise, that business incident to or part of a settlement service involving a federally related mortgage loan shall be referred to any person. Any referral to a settlement service is not a compensable service.

RESPA does allow for “normal promotional and educational activities” that are NOT conditional upon referral of business and does not defray the cost. Whether a particular item or activity meets the conditions in Regulation X for “normal promotional and educational activities” depends on the facts and circumstances.

For example, you host a one-time-only drawing for a mini basketball set (backboard, rim, net, and ball). You include an announcement of the drawing in an email or on social media to all previous customers and all real estate agents in the city, summarizing your services and

providing your contact information. The entries to the drawing are automatically made for every previous customer and realtor in the city, regardless of whether the prior customer or realtor has made or will make a referral to you. You also include a drawing entry submission form on your website.

The drawing is more likely to meet the conditions for a “normal promotional and educational activity” under Regulation X because 1) the drawing entry is not conditioned on referrals and 2) the prize would not defray expenses, as the basketball set is not an expense that a person would otherwise incur.

Conversely, if you are having a drawing in which the announcement and promotion emails or social media posts are sent **only** to select borrowers or real estate agents who are given drawing entries for each referral they gave, this is not a “normal promotional or educational activity.” This would be a violation of Regulation X.

The facts and circumstances indicate the opportunity to win the mini basketball set is conditioned on the referral of business, given that the persons in the drawing pool are only those persons who made referrals and that the number of entries is based on the number of referrals. As a reminder, this may implicate a RESPA Section 8(a) violation.

What about co-advertising with another service provider? Yep, co-advertising is addressed under RESPA Section 8. If you want to advertise jointly with another company or individual – you must pay proportionally. For example, in open house fliers, the front side is the house, and the back side is the loan, it’s very clearly 50/50. If the open house flier is 75% about the house and you have a banner at the bottom, you’re only getting 25%, you should be paying 25%, not 50%.

If you pay more than your portion, there could be an assumption that you are giving that service provider something for a referral, especially if they have referred business to you before or you’re expecting something in return.

Another potential RESPA section 8 issue is using the term preferred Lender on builder signage. It is prohibited for a builder to require a borrower to use a specific lender or loan officer. They are allowed to have a preferred lender or preferred loan officer, but they cannot force their borrowers to use them.

If the builder has a lender that they trust, and they give them preferred lender status and no money exchanged, that’s acceptable. If they’re paying you or someone else to be the preferred lender and it’s part of a Marketing Service Agreement (MSA) then that would be unacceptable.

Marketing services agreements, or “MSAs,” are agreements that commonly involve an arrangement where one person (or entity) agrees to market or promote the services of another and receives compensation in return.

12 CFR § 1024.14(a)(b)

Other Laws that Govern Advertising

ECOA prohibits discrimination and discouragement, and as you can imagine, both can occur in advertisements. Be sure to send out advertisements to everyone in the city or county that you work in – failing to advertise in lower-income areas or areas that are primarily of one race over another can be considered discrimination and discouragement. For example, when using direct mailers, please send them to everyone in your city or county, and do not leave out an area

because they are lower income, that's discrimination. Be sure to be inclusive in the faces that appear in the advertisements that are sent. Failing to include diversity in advertising could also be construed as discriminatory and discouraging.

The Unfair Deceptive Abusive Acts and Practices Rule (UDAAP), also prohibits the use of deceptive, unfair, or abusive language in advertising.

The SAFE Act plays a small part in advertising. It requires that a mortgage professional's NMLS ID# appears in all marketing material!

These three laws need to be considered when drafting and creating advertising.

It is also essential to consider how advertisements sometimes elude government affiliation. Advertisements cannot look as though the mortgage professionals or the company they work for is affiliated with or endorsed by a government agency. While government programs insure or guarantee certain mortgages, the private lenders that make these loans are not government entities and are not affiliated with the U.S. government.

For example, one mailer sent to nearly 200,000 consumers advertising a mortgage company's reverse mortgages had an eagle resembling the Great Seal of the United States. Furthermore, the header read, "GOVERNMENT LENDING DIVISION" and "Housing and Recovery Act of 2008 Eligibility Notice." This type of advertising is problematic for ECOA and UDAAP.

Federal Communications Commission: Ringless Voicemails Update

While not directly related to social media, we felt it was important to make students aware of this change by the Federal Communications Commission (FCC) in 2022. In 2022, the Federal Communications Commission issued a declaration clarifying that delivering “ringless voicemails” to someone’s cell phone requires the consent of the consumer.

The Telephone Consumer Protection Act (TCPA), which protects consumers from unwanted robocalls, prohibits making any non-emergency call using an automatic telephone dialing system or an artificial or prerecorded voice to a wireless telephone number without the prior express consent of the called party. The Commission today has clarified that ringless voicemail is a form of robocall and is illegal if the caller did not have the consumer’s prior express consent.

[FCC Press Release](#)

State Laws & Additional Notes

Federal advertisement requirements set the basis for what is required, but state laws may add another layer of regulations. A mortgage professional could be 100% compliant under TILA, MAP, and RESPA but still have a violation under a state statute-

Additional State regulations may also apply to recordkeeping requirements. We mentioned that the MAP Rule requires records to be kept for two years, but many states have longer recordkeeping requirements for advertisements. So, whether you’re keeping records for print material, or social media, following your state’s rules for recordkeeping, you may keep your social media posts for longer than the two-year requirement.

It is also easy to think that if an advertisement complies with TILA, it follows federal advertising law, but this is false. An advertisement can be compliant with TILA and still break MAP or UDAAP or RESPA, or ECOA!

Case Study: CFPB fines company \$1million and Bans them from the Industry for Misleading & Deceptive Advertising

In February 2023, the CFPB issued an enforcement action against a mortgage company penalizing them \$1 million dollars and banning them from the industry for illegal advertising practices.

Per the CFPB, this company tricked military families about the government's role in sending the advertisements or providing the loans; deceived borrowers about interest rates and key terms; and falsely misrepresented loan requirements and lied about projected savings from refinancing. It did not help either that this company was a repeat offender – having committed similar violations in 2015.

Specifically, the CFPB states that this company sent advertisements that misrepresented that they were, or was affiliated with, the VA or the FHA, that the VA or FHA sent the notices, or that the advertised loans were provided by the VA or FHA.

Military families or others who view such advertisements may decide to purchase the advertised mortgage based on the trust they have in the government agencies. The company's advertisements illegally disclosed a simple annual interest rate more conspicuously than the annual percentage rate, illegally advertised unavailable credit terms, and used the name of the homeowner's current lender in a misleading way. Consumers who view such advertisements may be misled about the terms being offered or mistakenly believe their current lender is sending the advertisement; and

The company's advertisements misrepresented that the benefits available to those who qualified for VA or FHA loans were time limited.

Additionally, the company's advertisements misrepresented that military families could obtain VA cash-out refinancing loans without an appraisal and without incurring the cost of an appraisal, that an appraisal was not a condition of qualifying for VA cash-out refinancing loans, and that no minimum credit score and no income verification were required to qualify for VA cash-out refinancing loans.

Finally, the company's advertisements misrepresented the amount of monthly payments, the annual savings under the advertised loans, and the cash available in connection with the advertised loans.

This plays into what we are talking about in this chapter – be aware of what you're putting out there in your advertising! It can get you into big trouble and this recent enforcement definitely lets us know that the CFPB is serious about protecting consumers from misleading and deceptive advertising practices.

[CFPB Press Release](#)

Creating Compliant Social Media Posts

Social media is a powerful tool, but as we've alluded to, compliance violations in social media advertising can be problematic for some mortgage professionals and mortgage companies. According to the CFPB, most compliance violations fall into four categories:

- Misrepresentations about government affiliation, like ads containing official-looking seals or logos.
- Inaccurate information about interest rates, like ads promoting low rates that may mislead consumers about the terms of the product actually offered, or advertising rates that are not generally available.
- Misleading statements concerning the costs of reverse mortgages, like ads claiming that a consumer will have no payments in connection with the product, even though they are generally required to pay tax and insurance payments.
- Misrepresentations regarding the amount of cash or credit available to a consumer, like ads suggesting that a consumer has been pre-approved to receive a certain amount of money when refinancing.

Here is a list of additional examples of deceptive ads:

- Suggesting with a VA loan, that the rate being offered was part of an "economic stimulus plan" that will expire shortly.
- Ads offering a very low "fixed" rate, without discussing significant loan terms.
- Ads guarantee approval and offering very low monthly payments, without discussing the significant conditions of these offers.

What if someone puts non-compliant information into a comment or says you improperly denied them a loan? You can start with social media accounts that allow you to control comments on your posts. You can maintain control on Facebook by turning off comments for your posts. This allows you to post your messages and allows others to share them, while controlling content seen on your page.

If the mortgage professional or company has a large enough team, that team can monitor Facebook and hide or delete non-compliant comments. Be careful with this approach- if people think you're deleting all negative feedback they may just post more. You may want to post something like, "We reserve the right to hide comments that may violate mortgage lending advertising laws," plus a short description of what that means.

LinkedIn also allows you to disable comments on your posts. You can also set up more than one page on LinkedIn. This is helpful if you run campaigns for different types of borrowers.

Ensure all your pictures look professional, and the backgrounds align with your brand guidelines. You might think a picture of your dog water-skiing is great, but a professional headshot or your logo is probably a better choice.

Instagram also allows you to disable comments on your posts and is the preference for Millennials and Gen Z over Facebook. Many lenders don't choose to use Twitter because you can't prevent or delete comments. Their business model of free speech is a great fit for other

consumer product companies but may not be suitable for lenders who must comply with strict communication guidelines.

Websites catering to-communities are growing, especially in urban areas. A good example is Nextdoor.com. Nextdoor.com is like Facebook for over 235,000 neighborhoods in the U.S. It includes a real estate section similar to Realtor.com or Zillow; users can look at homes for sale and see ads for service providers, including mortgage lenders. Mortgage professionals can control their content, showcase specific information, and add content- Mortgage professionals can use this social media platform to start participating with the community in their neck of the woods.

What are some other dos and don'ts when you post on Social Media?

Do:

- Post happy client testimonials, with permission.
- Post client closing announcements, with permission.
- Post new mortgage product announcements.
- Explain mortgage glossary terms.
- Share charity events.
- Share market stats.
- Share inspirational or funny quotes.
- Share holiday messages.
- Share remodeling projects.
- Provide tools like rent payment vs mortgage payment calculators.
- Post consistently- (example: 1-2 X/day on most social media platforms is sufficient. Too often is annoying, not often enough is not going to give you traction)
- Share realtor listings but remind people to see the house or make an offer.
- Talk to your manager, compliance department or attorney if you have questions.

But Don't

- Forget to ask your client's permission.
- Forget to tag clients and realtors in your post.
- Quote interest rates, APR, or other specific mortgage terms.
- Include payment amounts.
- Make claims of reducing debt
- Comment on likelihood of approval
- Use superlatives, like: "best", "lowest", "most competitive" or "unbeatable."
- Use "fixed"

- Use “no costs” or “no fees.”

- Include number of payments or down payments amounts without including all terms required by TILA.
- Include the amount of any finance charge without including the terms required TILA.
- Quote facts, figures, graphs, or statistics without sourcing them.

We have provided a quick advertising marketing review checklist for you to review, this can be helpful when developing advertisements to ensure that all the boxes are checked. As a disclaimer, this is not protection from a violation and does not include state statutes requirements.

ADVERTISING/MARKETING REVIEW CHECKLIST				
GENERAL REQUIREMENTS	N/A	YES	NO	COMMENTS
Company Name*				Required all advertisements
Corporate Address				Required some states, see second tab
Corporate Phone Number				Required some states, see second tab
Corporate NMLS ID*				Required all advertisements
Corporate Website Address				
Branch Address				Not required
Branch Phone Number				Not required
Branch NMLS ID				Not required
Loan Originator Title (BM, MLO or LO)				Not required
Loan Originator NMLS ID				Required if name is listed.
Loan Originator Email Address				Not required
Equal Housing Opportunity logo*				Required
Are the advertisements distributed to the general public, such as publicly facing, broadly reaching websites?				If not, do they target specific consumers or groups? If yes, discuss with Compliance.
Joint Marketing: Expenses must be split on a pro rata basis and tracked (see below)				
FEDERAL REQUIREMENTS/PROHIBITIONS	N/A	YES	NO	COMMENTS
ECOA and Regulation B (15 USC Section 1691; 12 CFR Part 202) prohibit credit discrimination based on race, color, religion, national origin, sex marital tatus, age or the fact that an individual receives public assistance.				Note: Answer MUST be NO.

Does the advertisement distinguish between borrowers based upon any of these categories?				
Does the advertisement have any of the following "Triggering Terms" •The \$ or % of down payment; •The # of payments or period of repayment; •The amount of any payment; and •The amount of any finance charge.				
If yes to any of the above, does the advertisement state all of the following terms? •The \$ or % of downpayment; •The terms of repayment, which reflect the repayment obligations over the full term of the loan, including any balloon payment; •The "APR," using that term, and, if the rate may be increased after consummation, that fact. •Disclaimer- "Based on terms available as of {Insert Date} subject to change without notice. Contact_____ Representative for additional information regarding terms shown above."				Maintain records of how APR was calculated
If a rate of finance charge was stated, was it stated as an APR?				Note: Answer MUST be YES.
Is the APR stated more conspicuously than any rate?				Note: Answer MUST be YES.
If an APR will increase after consummation, is a statement to that fact made?				Note: Answer MUST be YES.
Does the advertisement clearly disclose all material limitations or conditions on the terms or availability of products or services, such as: 1. special rates for a limited time period (teaser rates); 2. expiration date for terms that apply only during an introductory period; 3. rate resets that could cause significant increases in payments (ARM); 4. material prerequisites for obtaining particular products, services, or benefits (e.g., discounts, refunds or rebates); 5. non-amortizing or less-than-fully amortizing loan terms (I/O); 6. balloon payments; or 7. pre-payment penalties?				
Does advertisement avoid using fine print, separate statements, or inconspicuous disclosures to correct potentially misleading headlines?				Note: Answer MUST be NO.
Must contain the verbiage "This is to NOT be construed mortgage loan approval"				Note: Answer MUST be YES.
STATE REQUIREMENTS/PROHIBITIONS	N/A	YES	NO	COMMENTS
Is any statement known, or should be known, to be untrue or misleading?				Note: Answer MUST be NO.
Does the advertisement contain a seal, emblem, insignia, trade or brand name that could interpreted or construed as implying any federal, state or government connection, approval or endorsement?				Note: Answer MUST be NO.

If the advertisement includes the name, trade name, logo or tagline of the consumer's current lender, does the advertisement clearly and conspicuously state that the person is not sponsored by or affiliated with the lender and the solicitation is not authorized by the lender, in close proximity to and in the same or larger font size as the first and most prominent use of the name, including on an envelope?				Note: Answer MUST be YES.
If an advertisement includes the consumers loan number or loan amount, does the advertisement clearly and conspicuously state that the person is not sponsored by or affiliated with the lender, the solicitation is not authorized, and the loan information was not provided by the lender, in close proximity to, and in the same or larger font as the first and the most prominent use of the consumer's loan information, including on an envelope?				Note: Answer MUST be YES.
If the loan is subject to the Guidance on Non-traditional Mortgage Product Risks, are all the applicable terms included in the advertisement?				Note: Answer MUST be YES.
If rates, charges, or costs of a loan are advertised, is the information stated fully and clearly, so as to prevent misunderstanding?				Note: Answer MUST be YES.
Are the loan terms actually available at the time of advertising?				Note: Answer MUST be YES.
Is the advertisement a 'blind' advertisement? (For example, contains only a phone number, PO box, or fictitious name?)				Note: Answer MUST be NO.
Does the ad include any representation that an individual who is solely a loan processor or underwriter can or will perform any activities of a loan originator?				Note: Answer MUST be NO.
RESPA CO-MARKETING RULES (Only use this when you are marketing with another party i.e. Real Estate Agent)				
What percent of the space is used by the Mortgage Company?				
Did the Mortgage company pay only their proportionate amount of the fair market cost?				Note: Answer MUST be YES.
Are you giving the other party a thing of value beyond your proportionate share of the advertisement?				Note: Answer MUST be NO.
Are you defraying the expense that would otherwise be incurred by someone who is in the position to refer borrowers to you?				Note: Answer MUST be NO.

Do you adjust the compensation paid under an arrangement based on capture rate or the percentage of referrals that convert to actual clients?				Note: Answer MUST be NO.
Is the co-marketing general in nature or only to those with whom the other party already has a relationship?				Should be general, for exceptions contact Compliance.
Does the co-marketing party provide you with warm or hot leads or just the contact information?				Must only be contact information

If you're beginning your social media journey, it's a good idea to engage with your compliance department early, understand each website's control features, and think about emerging sites to complement your marketing strategy.

Compliant v. Noncompliant Advertisements

We've learned a lot about advertising and federal laws, now we need to apply what we learned by looking at some advertisements.

Can you point out what they did wrong?



MLO HUGO

Yesterday at 4:45am · 🌐

My Company ABC Mortgage has the best rates on 30-year fixed rate mortgages in town. GUARANTEED



👍🤔 112

21 Comments 10 Shares

👍 Like

➦ Share

View more 16 Comments



Write a comment...



Terms & Conditions

Refinance Rates

2.5% (2.6% APR)

No Hidden Fees, Points or Closing Costs!

Zip Code:

Disclosures

The example loan rate of 2.5% for a 30-year \$150,000 5-year Adjustable Rate Mortgage (ARM) for purchase and refinance loans is generally based on the following criteria; a borrower with good to excellent credit and average income seeking a loan for a single family, owner occupied one unit dwelling with 30% down payment (or 70% loan to value ratio). The Annual Percentage Rate (APR) is 2.6%

***\$150,000, \$225,000, \$300,000 mortgage with payments as low as \$592, \$889, \$1185. Example assumes a 30-year adjustable rate mortgage (ARM) with a rate of 2.5%. Annual Percentage Rate (APR) of 2.6% and up to 2% loan origination/discount points due at closing. Rates and APRs may vary depending on loan details, such as points, loan amount, loan-to-value, your credit, property type, and occupancy. The example assumes a credit score of 780 or greater with a loan to value (LTV) of 70% or less on a primary residence. After 5 years, the interest rate and payment will adjust every year. The potential interest on the example loan after 5 years could be about 4.11% based on an ARM index of 1.184% (LIBOR index) and an ARM margin of 2.25%. The corresponding monthly payment at 4.11% would be \$150,000, \$225,000, \$300,000 mortgage with payments as low as \$726, \$1088, \$1451.



DID YOU KNOW?

You can refinance your home with **NO** closing costs.

Read how we can help

Other Costs Associated with the No-Closing-Cost Refinance

You can choose between two different options with a no-closing-cost refinance; either an increased interest percentage or a higher loan balance. Not every lender offers both types of no-closing-cost refinances, so make sure your lender can offer you the option you want.



MLO Marcus · Follow
Salt Lake City, UT



356 likes

MLO Marcus There is so much to fear in the housing market right now due to misinformation & miseducation. I'm here to help!

"I can't afford to buy right now because of interest rates." I hear you, I really do. Rising rates are scary and can make home-buying seem like it's not worth it.

Here's the real deal. Rising rates don't make it impossible to buy. Rising rates simply limit how much you can afford.

Want an example? 2 years ago we purchased a home for \$250,000 at a 3.1% rate. Our mortgage payment was \$1,300. Today a \$200,000 home will cost you \$1,300 or more.

How can you be smart in this housing market? If you have any money saved up for a down payment + closing costs, buy the home! Your first home doesn't have to be your dream home. In a few years, when your needs change, you can sell that home & profit the equity you've earned.

A bonus bit of goodness about this housing market = sellers are more flexible than they have been in years. Less buyers are out there making the housing market less competitive & sellers more willing to provide financial assistance to buyers.

... more

[View all 16 comments](#)



Add a comment...

6 days ago



NO Down Payment

Up to 100% financing available! No down payment required to purchase a home with a VA home loan– as long as the home appraises for more than the cost of the home.

NO Mortgage Insurance

Private Mortgage Insurance is normally required on any loan that isn't purchased with a down payment of 20% or more. One of the best features of a VA loan is that you won't make mortgage insurance payments even if you finance 100% of the loan.

Lower Monthly Payments

Since 1944 VA loans have been insured by the federal government, which can mean lower risk for lenders and lower interest rates for borrowers. VA home loans are also assumable which means when you sell your home it can be an attractive selling point.



U.S. Department
of Veterans Affairs



 **Smiley Mortgage Inc.**

Date the rate, marry the home! Don't let the current rates keep you from buying your dream home. Reach out to one of our trusted loan officers today to learn more about how you can save on future closing costs through our Loyalty Refinance Program.

Like · Comment · 9 minutes ago · 🌐

👍 4 people like this.





Loyalty Refinance PROGRAM

Purchase your dream home today and receive a Smiley Mortgage Loyalty Refinance Discount when rates drop again.

***up to \$2,000 off refinance closing costs**

If a client locks their rate on a purchase loan that closes in 2022, they are deemed eligible for the Loyalty Refinance Program. The Loyalty Refinance must be claimed by locking a new rate between 120 days and 36 months from the purchase closing date. Refinance loan must be on the same subject property as the initial loan. The Loyalty Refinance Program is eligible on conventional, FHA, VA, and USDA purchase loans. Renovation, construction, and non-conforming purchase loans are ineligible. Smiley Mortgage will cover the following fees through a \$2,500 lender credit: underwriting fee, tax transcript fee, fraud check fee, commitment fee (only applicable on FHA), and first appraisal fee. Offer may not be redeemed for cash or credit and is nontransferable. Offer cannot be retroactively applied to any loans. Offer may not be used with any other discounts. This offer is subject to changes or cancellation at any time at the sole discretion of Smiley Mortgage. Additional restrictions and conditions may apply. This is not a commitment to lend and is contingent on qualification per full underwriting guidelines. Refinancing may cause finance charges to be higher over the life of the loan. Smiley Mortgage Company, Inc. is a corporation licensed by the Indiana Department of Financial Institutions (DFI). For complete licensing information visit <http://www.nmisconsumeraccess.org/EntityDetails.aspx/COMPANY12345>. Equal Housing Lender NMLS # 123456



Get CASH
from your Home and
NEVER pay it back!

FIND OUT HOW A REVERSE MORTGAGE CAN HELP
YOU PUT MORE MONEY IN YOUR POCKET!

Receive a Walmart
Gift Card with your
Application!

\$200
Walmart
Gift Card

CALL TODAY TO LEARN MORE
1-800-123-4567

ASPIRE
MORTGAGE

CFPB Source: [NMP: Walking the Line: Compliance and Social Media in Today's Mortgage Marketplace \(used with permission\)](#)

Chapter 3 Review

Now that you've completed Chapter 3, in this chapter, we discussed advertising, specifically compliance with federal laws related to advertising. We also provided some best practices and a checklist to assist you with making your own compliant advertisements.

- Mortgage professionals need to be careful not to violate RESPA or any other advertising laws when they advertise.
- Be sure to keep trigger terms away from all advertisements.

Chapter 4

Fair Lending

Learning Objectives for Chapter 4

- ☐ Explain requirements when using complex algorithms in lending decisions.
- ☐ Examine how using algorithms can lead to digital redlining in both lending decisions and advertising/marketing.
- ☐ Forecast how new rulemaking by the CFPB may impact small lenders with the new AVM requirements.
- ☐ Discuss the new Uniform Appraisal Dataset (UAD) Aggregate Statistics Data File published by FHFA.
- ☐ Interpret Limited English Proficiency (LEP) requirements.

Fair Lending and Important Terms

Before we dive into what's going on right now with fair lending, let's refresh our memories about what fair lending means and discuss some important terms that we will be using throughout this chapter.

Fair lending is unbiased treatment and granting equal access to credit to anyone who wishes to apply for and obtain a loan. If you have a conversation with someone or have a belief that they probably won't qualify, you can't discourage them from applying; this would be discriminatory. There are specific laws designed to prevent discrimination against protected groups of individuals.

As a reminder, our three laws that pertain to Fair Lending in play here are:

1. **ECOA (Reg B -1974)** - This Act deals with fair lending and discrimination. It protects nine classes from discrimination: Race, color, religion, sex, national origin, marital status, age, public assistance, and the exercise of rights under the Consumer Credit Protection Act.
2. **Fair Housing Act (1968)** – This Act also deals with fair housing and discrimination. It protects seven classes from discrimination: Race, color, religion, sex, disability, familial status, and national origin or ancestry. It also deals with disparate treatment and impact.
3. **HMDA (Reg C -1975)**– This Act gathers data to serve the housing needs of the community, assists in distributing public investments, and identifies discriminatory lending practices such as redlining, reverse redlining, blockbusting, and disparate treatment and impact.

The two terms we frequently discuss when we talk about fair lending are disparate impact and disparate treatment.

Disparate Treatment occurs when one protected group is treated differently from another similarly situated group, and non-discriminatory factors can't fully explain the inconsistencies in treatment. It is either overt discrimination, or there is comparative evidence of discrimination.

Overt Evidence of Disparate Treatment occurs when a mortgage professional **openly discriminates on a prohibited basis**. It is a blatant statement of discrimination. This typically occurs through verbal statements by mortgage professionals but could also occur through written advertisements and other materials published by the mortgage professional. For example, if an advertisement makes a statement that discourages applications from a specific protected class, the advertisement could be considered disparate treatment.

An example of overt discrimination is a mortgage company that has a written policy stating anyone aged 21-27 can only have a loan under \$150,000, while anyone over 30 automatically qualify for \$200,000.

Comparative Evidence of Disparate Treatment occurs when a protected class applicant is treated **less favorably than other applicants**. It is often **not intentional** (though it could be). The differences in treatment are not fully explained by legitimate non-discriminatory factors, and no evidence is required to show that the treatment was motivated by prejudice or that the creditor intended to discriminate against a person.

This form of disparate treatment often occurs when a lender allows discretion in the underwriting process that leads to inconsistencies. When all underwriting discretion is eliminated (such as is the case with some automated underwriting models), fair lending risk from comparative evidence of disparate treatment is significantly reduced.

An example of comparative evidence is if two borrowers have the same credit file, yet one is White, and the other is Hispanic, and the Hispanic applicant receives a higher interest rate.

Disparate Impact occurs when what seems like a neutral policy or practice is applied equally to all applicants, but the policy or practice adversely affects a protected group.

An example is a lender who will only take applications for loan amounts above \$300,000. Upon review of files, it is determined that several protected groups were adversely impacted by this policy, which was not necessarily intended to be discriminatory, but the result is that the company assists less minority borrowers.

Comparative Analysis is a method used by examiners to compare protected class applicants with control group applicants.

For example, a comparative analysis might compare the best denials versus the worst approvals. In comparing the denials that were borderline, but were not approved, with the files that barely got approved, auditors can determine whether inconsistencies occurred and whether those inconsistencies adversely affected a protected group. Auditors may also compare fees or credit terms in similarly situated borrowers.

Part of HMDA's purpose is to identify potential discriminatory lending patterns while attempting to determine whether a financial institution's policies are creating disparate treatment or disparate impact.

HMDA was implemented to identify when **redlining or blockbusting** was occurring. With HMDA's data, **redlining and reverse redlining** can be identified in lending institutions' data.

Redlining is an unethical practice in which financial institutions, or even individual loan officers, make it extremely difficult or impossible for residents of a particular neighborhood to borrow money, gain approval for a mortgage, take out insurance, or gain access to other financial services because of a history of high default rates. Redlining typically occurs in poor inner-city neighborhoods. In the case of redlining, an individual's qualifications and creditworthiness are not considered as they should be only the location of the property is considered.

Reverse Redlining is the opposite; it occurs when a financial institution lends specifically in poor inner-city neighborhoods to charge them more than a comparable White consumer.

If you were to draw a circle around a specific area on a map, and then refuse to lend there, that would be redlining. Reverse redlining occurs when a lender targets minority consumers in a specific area; not to deny them loans, but to take advantage of a particular group, such as charging them more than would be charged to a similarly situated White consumer.

Social Media Advertising & Fair Lending

In Chapter 3, we discussed compliance pertaining to advertising laws and how to create compliant social media advertisements. In addition to the types of violations mentioned in Chapter 3 regarding the content of advertisements, there are many questions about how social media companies, like Meta (formerly Facebook) show advertisements to their audience and the potential fair lending issues associated with their methods.

This Fair Lending issue with Facebook has been ongoing for years:

- 2018 – HUD alleged FHA violations by Facebook.
- 2019 - Facebook settled a lawsuit stemming from the 2018 complaint made by the National Fair Housing Alliance and several other consumer advocacy groups.
 - In the resolution of one of those complaints against Facebook, they agreed to remove age, gender, and zip code targeting for housing, employment, and credit-related advertisements.
- In 2022, the Department of Justice announced a settlement with Facebook to resolve alleged Fair Housing Act violations arising from their targeted advertising system.

We'll get to the "settlement" outcome shortly, but let's dive a little deeper into the DOJ's complaint.

In their 2022 complaint, the DOJ alleges that the changes Facebook made in response to earlier complaints and lawsuits were **simply not enough** – the complaint alleges that Facebook continues to engage in discrimination in violation of the Fair Housing Act in three ways:

1. Trait-based targeting
2. Look-alike targeting
3. Delivery determination

Let's look at each one.

1. **Trait-based targeting** involves encouraging advertisers to target ads by including or excluding Facebook users based on Fair Housing Act protected characteristics that Facebook, through its data collection and analysis, attributed to those users.

By enabling advertisers (or the technology companies they rely on) to curate information for consumers based on detailed data about them, including habits, preferences, financial patterns, and where they live, there is a risk that this curation may result in digital redlining or steering. Likewise, when Internet-based marketing relies on artificial intelligence (AI) and machine learning (ML) technologies, the potential for discrimination **may increase**.

Facebook's advertising practices initially drew attention when it was revealed that the company permitted advertisers to exclude groups of Facebook users with selected personal characteristics from viewing particular advertisements on the social media site. Facebook's technology effectively allowed advertisers to show advertisements to certain users while excluding others based on sex or age, or on interests, behaviors, demographics, or geography that related to or were associated with race, national origin, sex, age, or family status.

[The Federal Reserve: Consumer Compliance Outlook](#)

Let's say you're putting together an advertising campaign on Facebook, and you decide to tailor that advertisement to:

- Anyone older than 18 (age)
- People who have enough income to qualify, (income) and
- You want people in a specific part of town or neighborhoods to receive your FB ad (location).

You are tailoring your advertisement to specific traits, and you're redlining at the same time. The new term for this type of advertising, is **digital redlining**.

2. Another aspect of the DOJ's complaint is **look-alike targeting**. This practice involves a **machine learning algorithm** that advertisers could use to find Facebook users who "look like" a specific advertiser's audience, based in part on Fair Housing Act-protected characteristics.
 - a. For example, if you like dogs, you might choose to post pictures of you and your dog. Facebook's algorithms could then target you as a person who likes dogs and would therefore be targeted to see more ads related to dog toys and dog treats.

Per Meta's own [Business Help Center](#):

A lookalike audience is a way your ads can reach new people who are likely to be interested in your business because they share similar characteristics to your existing customers.

A lookalike audience uses an existing [Custom Audience](#) you select for its primary [source audience](#) for your advertising campaign. To create a lookalike audience, the system leverages information such as demographics, interests, and behaviors from your **source audience** to find new people who share similar qualities. When you use a lookalike audience, your ad is delivered to that audience of people who are similar to (or already "look like") your existing customers.

3. The last piece of this puzzle is delivery determinations. According to the DOJ, this practice also involves applying a machine learning algorithm to help determine which subset of an advertiser's target audience would receive a particular ad.

Facebook's advertisement delivery practices determine which users will see a particular advertisement, regardless of the advertisers' own preferences, and using user data that include sex and close proxies for other protected characteristics which has the effect of classifying users by protected characteristics.

In layman's terms, HUD alleged that Facebook used their users' sex and race to determine whether or not they should see an advertisement.

As a result, these algorithms may potentially raise fair lending risks and render some advertisements invisible to certain users, disproportionately impacting users based on protected characteristics, such as race and sex. Indeed, an academic study of Facebook’s advertisement delivery practices demonstrated just that, finding “previously unknown mechanisms that can lead to potentially discriminatory advertisement delivery, even when advertisers set their targeting parameters to be highly inclusive.”

The study’s authors published groups of advertisements on Facebook, where advertisement features were varied to observe how changing a feature would affect the demographics of the audience of a particular advertisement. They found that the delivery of a particular advertisement may be skewed for many reasons including the content of the advertisement itself, the images contained in the advertisement, and how advertisement images are classified by Facebook. According to their results, an advertisement “can be delivered to vastly different racial and gender audiences” based solely on the advertisement’s creative content.

[The Federal Reserve: Consumer Compliance Outlook](#)

Many people rely solely on social media platforms to get information about what’s going on in the world, so if some FB ads are hidden, they may miss out on important information that could ultimately benefit their life.

The DOJ states that through Facebook’s internal ad design parameters, their ad delivery system engaged in both:

- Intentional discrimination
- Conduct that had a disparate impact based on Fair Housing Act-protected characteristics.

Here are the terms of the FB/DOJ Settlement.

- Facebook is required to stop using the “look-alike” advertising tool.
- They are to develop a new system for housing ads to address disparities.
- They are to remove any targeting options for housing advertisers.
- They must pay a civil penalty of \$115,054, which, according to the DOJ, is the “maximum penalty available under the Fair Housing Act.”

[DOJ v. Facebook Settlement Agreement](#); [Ballard Spahr Compliance Finance Monitor \(cited with permission\)](#).

Complex Algorithms Used in Lending Decisions

Algorithm: A process or set of rules to be followed in calculations or other problem-solving operations, especially by a computer. -**Oxford Dictionary**

Complex algorithms aid in many mortgage-related decision-making processes. In some cases, the algorithm may even make “the decision.”

For example, Automated Underwriting Systems (AUS), like Loan Product Advisor (LP), and Desktop Underwriter (DU) algorithms are part of our everyday work life.

MEC Student Question: What's one of the main algorithms we have in our personal life?

Sample answers:

When you Google a question, their algorithm will bring the most popular sites up first. Using a completely proprietary computation, Google ranks the websites based on the number of keywords or combinations of words and the relevance of the question being asked. Google then provides the top results and ranks them based on the user's profile. This is a great example of a "complex algorithm" because the results can differ for every user.

1. TikTok
2. Pinterest
3. Twitter
4. Instagram
5. EVEN LinkedIn

Using algorithms to help with mortgage credit decisions could be helpful on many levels for mortgage professionals and your clients. The purpose of adding algorithms to credit decisions was to remove the human aspect and inherent bias, but there are still some kinks to be worked out.

Software developers and software programs are built for the mortgage industry based on the specific parameters that have been set up, like credit ratings, lender guidelines, appraisal values, and many other loan dynamics.

However, some regulators are concerned that the input may have some built-in discrimination factors causing a *disparate impact*. Lenders rely on the software and current algorithms to make the magic happen and tell us if the loan is approved or denied. However, the lender is ultimately responsible for ensuring that fair lending laws are adhered to and that borrowers are treated equally and clearly demonstrate how the lending decision was finally derived.

The more techie we get, the more detached we get from our clients and even the loan itself, which could include loan denials.

People want information faster and easier, and more simplified with fewer steps, but as we adjust to these desires, we need to be ensured that we're not building discrimination into the system. If a loan is denied, we must know *exactly* why they were denied, rather than simply saying they were denied because "AUS" said so. We have to know the exact factors used to make any decision. **Technology is not perfect.**

Most of the speculation and information surrounding the use of complex algorithms and their impact on fair lending is purely theoretical at this point; there are no recent enforcement actions taken related to issues with the use of complex algorithms, but it is being discussed from a rulemaking and legislative perspective.

For example, in 2022, the CFPB released [a circular](#) that addresses adverse actions and the use of complex algorithms in an effort to educate the industries that they regulate about ECOA and the use of complex algorithms in decision-making.

There is concern that mortgage companies relying heavily on complex algorithms can make it hard for them to identify those specific reasons for denying credit or taking adverse actions. Even if they struggle to understand the algorithm decision, the mortgage company is denying the borrower. The mortgage company is still required to comply with the adverse action requirements under ECOA. The adverse action notice requirements of ECOA apply equally to all credit decisions, regardless of the technology used to make them. Thus, ECOA and Regulation B do not permit mortgage companies to use complex algorithms if it means that they cannot provide specific and valid reasons for adverse actions. ***We must be able to determine why the application was denied. If the algorithm isn't clear, then it is nearly impossible to defend your decision to decline the loan because you simply don't know why it was denied.***

As we said, this is a common theme, and many different entities are making statements and discussing this issue. For example, Patrice Alexander Ficklin, the CFPB Fair Lending Director, recently made the comment that she is:

"...skeptical of claims that advanced algorithms are the cure-all for bias in credit underwriting and pricing."

Patrice Alexander Ficklin CFPB Fair Lending Director

 CFPB-Credit Decisions Based on Complex Algorithms; CFPB Circular 2022-03 May 26, 2022

New Rules for Automated Valuation Models (AVMs)

An automated valuation model (AVM) is a term for a service that combines mathematical or statistical modeling with databases of existing properties and transactions to calculate real estate values. The majority of AVMs compare the values of similar properties at the same point in time...

AVMs usually include the tax assessor's value, all pertinent information on the property in question—such as its sales history—and an analysis of the sales of like-kind properties.

[Investopedia](#)

In the Dodd-Frank Wall Street Reform and Consumer Protection Act (Dodd-Frank Act), Congress directed the Consumer Financial Protection Bureau (CFPB) to develop regulations for quality control standards for automated valuation models (AVMs).

Dodd Frank defines an AVM as ***“any computerized model used by mortgage originators and secondary market issuers to determine the collateral worth of a mortgage secured by a consumer’s principal dwelling.”***

As an alternative to an actual appraisal, some companies are using AVMs more often.

Currently, AVMs must meet quality standards designed to:

1. Ensure a high level of confidence in the estimates produced by automated valuation models.
2. Protect against the manipulation of data.
3. Seek to avoid conflicts of interest.
4. Require random sample testing and reviews.
5. Account for any other such factor that the agencies determine to be appropriate.

Student Poll/Question-AVMs:

How many of you work for companies that are leaning on AVMs more often?

AVMs are utilized more often than you think. Zillow, Redfin, Trulia, and Realtor.com all use their own proprietary AVMs in determining the values they give. These companies use a combination of public records and data that they have collected through their webpages to determine their AVMs. There are also commercial AVM products. [Fannie Mae](#) and [Freddie Mac](#), both have AVM tools available for commercial use. They use their own loan data to help determine AVMs.

AVMS are based on existing data; they are only as accurate as the information being used to determine the value. If the information is inaccurate, old, or incorrect, the AVM might not be as reliable as a regular appraisal.

Bringing AVMs into the fair lending conversation can be especially helpful when it comes to appraisal value in minority census tracts. Based on a wide range of data collected from a variety of sources, some appraisals have had bias built into the final report, and the overall valuation and discrimination have been verified. Using this data, the CFPB believes that there is a possibility that the AVM models being built are using discriminatory data, which could also then provide inherent discrimination and an overall lower valuation in minority census tracts.

Per the CFPB:

“Moreover, like algorithmic systems generally, there are concerns that AVMs may reflect bias in design and function or through the use of biased data and may introduce potential fair lending risk.”

According to the CFPB, the increased use of AVMs may require implementation of stricter compliance management systems that would identify and prevent violations of appraisal discrimination. The CFPB is currently working towards additional potential rules for AVMs. They issued an “Outline of Proposals and Alternatives Under Consideration” in 2022.

Before the CFPB can move forward with any new rulemaking, they are required to organize a review panel because there is a reasonable chance these rules could have a significant economic impact on a substantial number of small companies.

Think about it from this perspective: the new rules could easily create the need to pay for new computer programs, hire more people to manage the changes, or maybe there would be a new review/audit event required that would create a financial burden on small companies. They may not have the assets to implement what will potentially be required.

[!\[\]\(24ad95c5308fe5a8b9cead501603337c_img.jpg\) CFPB AVM Rule Making](#) [!\[\]\(47f61cea8a99ee81b535cdf64123e4e1_img.jpg\) CFPB AVM Report](#)

Property Appraisal and Valuation Equity (PAVE) and New Uniform Appraisal Dataset (UAD)

The Property Appraisal and Valuation Equity (PAVE) is a task force focused on many different components of appraisals. PAVE created a 5 step Action Plan. We talked about this in our 2022 CE course. Do any of you remember?



The PAVE plan was “developed to close the racial wealth gap by addressing mis-valuations for families and communities of color.” There were several action items related to appraisal discrimination.

PAVE is working towards:

1. Ensuring that government oversight and industry practice further valuation equity.
2. Combating valuation bias through education and training.
3. Ensuring equity in valuations by making available high-quality data.
4. Creating a comprehensive approach to combating valuation bias through enforcement and other efforts.

Per PAVE:

Researchers have observed a market value gap between majority-Black and majority-White neighborhoods for decades. On average, homes in majority-Black neighborhoods are valued at less than half of those in neighborhoods with few or no Black residents. [Statistical analyses](#) show that accounting for neighborhood and property characteristics and amenities—such as the age of the property or its proximity to public transportation—does not explain the entire disparity. Recent research has identified appraisals as one of the drivers of the gap.

[New research from Freddie Mac \(2021\)](#) states that 12.5 % of purchase appraisals in predominantly Black neighborhoods and 15.4 % in predominantly Latino neighborhoods result in a value below the contract price, compared to 7.4% of appraisals in predominantly White neighborhoods. This research corroborates prior observations that a neighborhood's average [appraised property value tends to decrease as the share of historically marginalized populations increases](#).

Recently, a [study of appraisal commentary](#) (the free-form narrative section of an appraisal report, reflecting the appraiser's reasoning for the property valuation opinion) revealed that appraisers sometimes make racial and ethnic references.

For example, the study found that one appraiser wrote that a majority-White area was “not especially diverse ethnically,” and another appraiser noted that residents of a “predominantly Hispanic” neighborhood have “assimilated their cultural heritage” into the neighborhood.

PAVE was formed to help with such problems and they're diligently working on many others. One of the specific action steps included creating a database of appraisal information about datasets.



To that end, in October of 2022, the FHFA announced that the database is set up and available for practitioner consumers and mortgage professionals to utilize. These two websites are the UAD Aggregate Statistics Data File and the UAD Aggregate Statistics Dashboards.

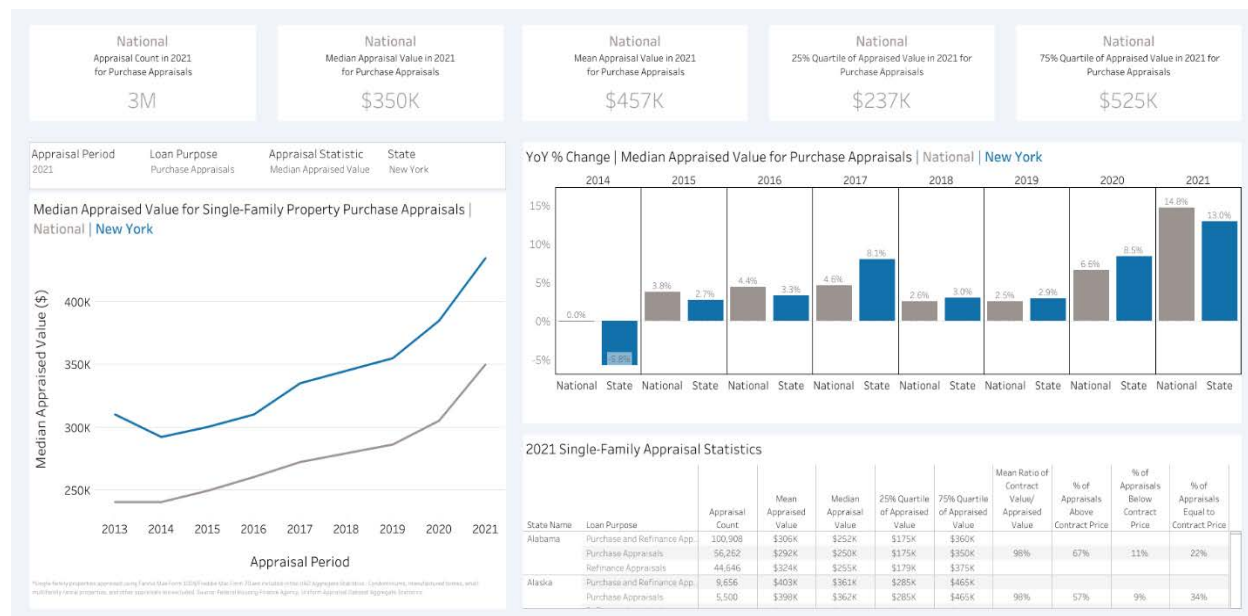
The UAD Aggregate Statistics Data File and UAD Aggregate Statistics Dashboards give stakeholders and the public new access to a broad set of data points and trends found in appraisal reports. Additionally, the appraisal statistics may be grouped by neighborhood characteristics and geographic levels (national, state plus the District of Columbia and Puerto Rico, Metropolitan Statistical Areas (MSAs) or Metropolitan Divisions, county, and tract). Of note, the UAD Aggregate Statistics Data File is intended for users capable of using statistical software to extract and analyze data.

In contrast, the UAD Aggregate Statistics Dashboards are for users of all types and are designed to provide user-friendly access through customized maps and charts.

FHFA's Division of Research and Statistics used 47.3 million UAD appraisal records collected from 2013 through the second quarter of 2022 on single-family properties to create a data file of UAD aggregate statistics in a manner that protects borrower privacy. Each UAD appraisal record includes information reported by appraisers on the Uniform Residential Appraisal Report (URAR). The current version of the URAR for single-family homes is Fannie Mae Form 1004 and Freddie Mac Form 70.

FHFA Press Release

There is still some concern that the data collected and presented already has bias and discrimination based on the historical data included in the database. It is yet to be determined how this data will be used and the impact it may have on the mortgage industry.



The UAD tool allows you to view historical data, specific state and county locations, and compares national with state specific information about appraisals. This data can show a lot of helpful information about what's going on with appraised values across the country. It can be used to look at your individual state and see what appraised values are doing now, and you can also go all the way back to 2013!

For example, the mean appraisal value for purchase appraisals was \$457,000 in 2021. In 2013, it was \$240,000! That's a substantial difference!

Several entities are using this data to look at many different factors. For example, the FHFA recently used this UAD data set to look at how the COVID-19 Pandemic has impacted the size of houses purchased. Popular press and initial research suggest a growing preference for more space when working at home. With the UAD Aggregate Statistics Advanced Analytics Dashboard, we determined there was no broad movement toward larger homes; in fact, smaller homes accounted for a slightly larger share of newly purchased homes in 2022 compared to 2013. The data was even able to break down where smaller homes changed in their share of appraisals.

To analyze changes during the pandemic, we compute how much the share of newly purchased homes under 1,200 square feet changed in the second quarter of 2022 compared to the last quarter of 2019. In 75 of the 100 largest Metropolitan Statistical Areas (MSAs), the share of newly purchased homes under 1,200 square feet increased during this time. However, the size of the increase varies substantially among different MSAs.

Table 1 shows where the share [amount or number of] of smaller homes is increasing and decreasing the most. Panel (a) lists the MSAs with the largest increases in the share of smaller purchase appraisals. These MSAs are in the lower Midwest and Northeast, while the areas with the largest decreases are mainly in coastal cities. Overall, areas with lower population growth over the past decade tended to have larger movement toward smaller houses during the past two years.

Panel (b) shows MSAs with the largest declines in the share of smaller homes. Unsurprisingly, areas with especially densely populated city centers such as New York, Washington, D.C., and the San Francisco Bay Area are among the areas with the most substantial decreases in the share of appraised smaller homes. This result may suggest that the pandemic caused movement toward larger homes in these markets or may reflect that modern homes (newly built and situated) have shifted toward a different style of attached townhome that is slightly bigger and has neighbors living closer together than single-family detached starter homes from prior decades. Either way, this shift is not seen in the majority of MSAs.

Table 1: Where are the Share of Appraisals for Smaller Homes Increasing and Decreasing?

*(a) Top 10 MSAs or the Largest Increase in Share of Appraisals for Single-Family Properties
under 1,200 sq. ft., 2019Q4-2022Q2*

Rank	MSA	Change in Share of Homes <1200 Square Feet
1	Detroit-Dearborn-Livonia, MI*	4.12
2	Warren-Troy-Farmington Hills, MI*	4.02
3	Camden, NJ*	3.74
4	Baltimore-Columbia-Towson, MD	3.72
5	Albany-Schenectady-Troy, NY	3.69
6	Akron, OH	3.69
7	Louisville/Jefferson County, KY-IN	3.66
8	Richmond, VA	3.42
9	Greensboro-High Point, NC	3.40
10	Allentown-Bethlehem-Easton, PA-NJ	3.37

*(b) Bottom 10 MSAs or the Largest Increase in Share of Appraisals for Single-Family Properties
under 1,200 sq. ft., 2019Q4-2022Q2*

Rank	MSA	Change in Share of Homes <1200 Square Feet
100	Urban Honolulu, HI	-5.65
99	Oxnard-Thousand Oaks-Ventura, CA	-1.95
98	San Jose-Sunnyvale-Santa Clara, CA	-1.28
97	New York-Jersey City-White Plains, NY-NJ*	-1.14
96	Salt Lake City, UT	-1.12
95	Worcester, MA-CT	-1.02
94	Cambridge-Newton-Framingham, MA*	-0.99
93	Washington-Arlington-Alexandria, DC-VA-MD-WV*	-0.98
92	Sacramento-Roseville-Folsom, CA	-0.91
91	Oakland-Berkeley-Livermore, CA*	-0.74

It'll be interesting to see how this information can be used to pinpoint discrimination, as well as how it can provide other important insights into the mortgage industry.

In April 2024 the FHFA stated that “*Appraisal gaps persist between white and both Black and Hispanic/Latino majority neighborhoods, but updated data indicate a decreased gap following actions by stakeholders and federal, state, and local agencies, including the release of the PAVE Action Plan. More analysis is needed to determine whether this is a causal relationship.*” An updated dataset was released in September 2024.

🌐 [UAD Aggregate Statistics Dashboards](#); [UAD Aggregate Statistics Data File](#); [UAD](#)

[Aggregate Statistics; FHFA Blog: Have Property Valuation Inequalities Diminished in Black and Hispanic/Latino Neighborhoods?; UAD Aggregate Statistics Top 100 Metro Areas Dashboard](#)

DOJ Redlining Initiative & Recent Enforcement

In October of 2021, the Department of Justice launched its Combatting Redlining Initiative. The initiative represents the Department's most aggressive and coordinated enforcement effort to address redlining. Redlining is prohibited by both the Fair Housing Act and the Equal Credit Opportunity Act which we discussed earlier.

In that announcement, Attorney General Merrick Garland stated:

“Lending discrimination runs counter to fundamental promises of our economic system,” said Attorney General Merrick B. Garland. “When people are denied credit simply because of their race or national origin, their ability to share in our nation’s prosperity is all but eliminated. Today, we are committing ourselves to addressing modern-day redlining by making far more robust use of our fair lending authorities. We will spare no resource to ensure that federal fair lending laws are vigorously enforced and that financial institutions provide equal opportunity for every American to obtain credit.”

Redlining, a practice institutionalized by the federal government during the New Deal era and implemented then and now by private lenders, has had a lasting negative impact. For American families, homeownership remains the principal means of building wealth, and the deprivation of investment in and access to mortgage lending services for communities of color have contributed to families of color persistently lagging in homeownership rates and net worth compared to white families. The gap in homeownership rates between white and Black families is larger today than it was in 1960, before the passage of the Fair Housing Act of 1968.

This Initiative, which will be led by the Civil Rights Division’s Housing and Civil Enforcement Section in partnership with U.S. Attorney’s Offices, will build on the longstanding work by the division that seeks to make mortgage credit and homeownership accessible to all Americans on the same terms, regardless of race or national origin and regardless of the neighborhood where they live. The Initiative will:

- Utilize U.S. Attorneys’ Offices as force multipliers to ensure that fair lending enforcement is informed by local expertise on housing markets and the credit needs of local communities of color.
- Expand the department’s analyses of potential redlining to both depository and non-depository institutions. Non-depository lenders are not traditional banks and do not provide typical banking services but engage in mortgage lending and now make the majority of mortgages in this country.
- Strengthen our partnership with financial regulatory agencies to ensure the identification and referrals of fair lending violations to the Department of Justice.
- Increase coordination with State Attorneys General on potential fair lending violations.

The first enforcement action under this initiative was against a national bank. Specifically, the complaint alleges that, from 2014 to 2018, the Company engaged in unlawful redlining in Memphis by avoiding predominantly Black and Hispanic neighborhoods because of the race,

color, and national origin of the people living in, or seeking credit for properties in, those neighborhoods. The complaint also alleges that Company's branches were concentrated in majority-white neighborhoods, that the bank's loan officers did not serve the credit needs of majority-Black and Hispanic neighborhoods, that Company's outreach and marketing avoided those neighborhoods, and that Company's internal fair-lending policies and procedures were inadequate to ensure that the bank provided equal access to credit to communities of color.

The department opened its investigation after one of the Company's regulators, the OCC, referred the matter. The company has fully cooperated in this investigation and amicably resolved the allegations.

"Company purposely excluded and discriminated against Black and Hispanic communities," said Director Rohit Chopra of the Consumer Financial Protection Bureau (CFPB). "The federal government will be working to rid the market of racist business practices, including those by discriminatory algorithms."

"Home ownership is the foundation of economic success for most American families," said Acting U.S. Attorney Joseph C. Murphy Jr. for the Western District of Tennessee. "Fair lending practices required by federal law — and the enforcement of those laws — ensure a better future for all Americans. Our office believes that enforcement actions of this type are essential to fair lending system that benefits everyone, and we will continue to prioritize these cases."

"The OCC has had a long history of strong partnership with the Justice Department's Housing and Civil Enforcement Section of the Civil Rights Division, referring potential fair lending violations and sharing our extensive examiner, economist and legal findings, as we did in the Company matter," said Acting Comptroller of the Currency Michael J. Hsu. "Today's announcement is important because it signifies the unified and unmitigated focus that each of our agencies has placed on the enforcement of the Fair Housing Act and the Equal Credit Opportunity Act. Our collective efforts are critical to addressing the discriminatory lending practices that create and reinforce racial inequity in the financial system."

Under the proposed consent order:

- The company will invest \$3.85 million in a loan subsidy fund to increase credit opportunities for current and future residents of predominantly Black and Hispanic neighborhoods in the Memphis area; dedicate at least four mortgage loan officers or community lending specialists to these neighborhoods; and open a loan production office in a majority-Black and Hispanic neighborhood in Memphis.
- The company will devote \$400,000 to developing community partnerships to provide services to residents of majority-Black and Hispanic neighborhoods in Memphis that increase access to residential mortgage credit.
- The company will devote at least \$200,000 annually to advertising, outreach, consumer financial education, and credit repair initiatives in and around Memphis.
- The company will pay a total civil money penalty of \$5 million to the OCC and CFPB.
- The company has already established a Fair Lending Oversight Committee and designated a Community Lending Manager who will oversee these efforts and closely consult with the bank's leadership.

Since that initial announcement, the DOJ has made strides to enforce both the ECOA and the Fair Housing Act and has come down hard on redlining. As of October of 2023, the initial has secured over \$107 million in relief for communities of color nationwide that have experienced lending discrimination by banks or other mortgage lending businesses. Since 2021, the Department has secured 10 settlement agreements with banks and mortgage lending institutions to provide credit opportunities to communities of color in Houston, Memphis, Philadelphia, Camden, Wilmington, Newark, Los Angeles, Columbus, Tulsa, Rhode Island, and Jacksonville. These agreements have provided millions of dollars to redlined communities and have helped to make homeownership a reality for families of color who have been unfairly denied access to credit.

There are a couple of continued trends that are being pointed out in these enforcement actions. The first is that oftentimes, the companies know that there is an issue, and they just aren't fixing it. The second is that oftentimes, there is evidence of discrimination in employee or manager emails – like disparaging descriptions of specific neighborhoods or overt animosity towards protected groups.

Assistant Attorney General Clarke offered guidance to lenders on how to avoid redlining practices based on the DOJ's past two years of experience:

- Engage with regulators and promptly implement any recommendations following a fair lending examination.
 - Lenders that ignored regulators' recommendations that could have made a difference in identifying and addressing redlining risk are more often subject to investigation by the DOJ.
- Understand the full scope of the communities where the institution lends.
 - Some lenders could have proactively identified risk if they had stepped back to determine whether there were communities of color adjacent to their lending areas that they could have reasonably served.
- Engage with community groups that have insight into and experience the credit needs of local communities of color.
 - Community groups are critical partners in connecting lenders to potential borrowers, as some of these groups provide services that create pathways to home ownership, such as credit counseling and matched savings programs.
- Ensure that the institution's compliance management system accurately measures redlining risk.
 - The DOJ frequently sees institutions relying on insufficient metrics that give them a false sense of security.

Information from community credit needs assessments and discussions with community organizations should be used to refine the institution's internal fair lending monitoring program.

- In February 2022, the DOJ joined the Consumer Financial Protection Bureau

(CFPB), the Department of Housing and Urban Development, and prudential regulators in an interagency statement encouraging creditors to explore opportunities to develop special purpose credit programs (SPCPs) to better expand access to credit. SPCPs can be an effective way to help mitigate redlining risk.

- o Over the last 24 months, the DOJ has closed investigations without further enforcement action when it is clear that the lender promptly addressed redlining risk that it or its regulator identified — not as a reaction to an imminent referral to the DOJ — but because the institution was proactive in its efforts to do better.

In remarks by the Attorney General at the time of this most recent settlement, he indicated that the Justice Department had over two dozen active investigations into redlining across the country. Stay tuned for more enforcement actions over the coming months and years.

[DOJ Press Release; Announcement of the New Redlining Initiative; Attorney General Remarks; Assistant Attorney General Remarks](#)

Additional redlining settlements include:

A Bank – Toms River, New Jersey (Sept. 31, 2024) - \$15 million

A Bank– North Carolina/Pennsylvania (Feb. 13, 2024) - \$12 million

A Bank – Los Angeles, California (January 12, 2023) - \$31 Million

As a result of these combined enforcement efforts, you'll notice there have been some significant financial penalties against both financial and non-depository institutions for discrimination and redlining. Let's look at two cases. Although the first case is a little older, it is the only case against a mortgage lender, not a bank.

Case Study #1: Mortgage Company in Philadelphia

The enforcement actions are taking into consideration additional information about the entity that is included in their findings for redlining, including the ethnicity of the staff members, the location of branch offices, the HMDA data, and local census information.

In addition to large fines, these businesses are required to make staff changes, open new branch office locations, and make investments into programs that promote fair lending.

In this case, in a joint effort between the DOJ and the CFPB, they issued a complaint against a mortgage company in Philadelphia. This mortgage company also engaged in redlining in the Philadelphia metropolitan area. This resolution is the first redlining settlement that the Justice Department has reached with a non-bank lender and the second largest redlining settlement in the department's history.

The complaint filed in federal court today alleges that from at least 2015 to 2019, the mortgage company failed to provide mortgage lending services to neighborhoods of color in the Philadelphia metropolitan area, that its offices were concentrated in majority-White neighborhoods, and that its loan officers did not serve the credit needs of neighborhoods of color. The complaint also alleges that loan officers and other employees sent and received work e-mails containing racial slurs and referring to communities of color as “ghetto.”

Penalties:

- The mortgage company will invest over \$20 million to increase credit opportunities in neighborhoods of color in the Philadelphia metropolitan area.
 - o Invest at least \$18.4 million in a loan subsidy fund for residents of neighborhoods of color in the Philadelphia metropolitan area.
 - o \$750,000 for development of community partnerships to provide services that increase access to residential mortgage credit; \$875,000 for advertising and outreach.
 - o \$375,000 for consumer financial education.
- The mortgage company no longer operates a lending business. It will contract with another lender to provide loan subsidies and services to the “redlined” communities.
- The mortgage company will ensure that the lender employs at least four mortgage loan officers dedicated to serving neighborhoods of color in and around Philadelphia, Camden, and Wilmington; maintains at least four office locations in those neighborhoods; and employs a full-time manager of community lending who will oversee the continued development of lending in neighborhoods of color in the Philadelphia metropolitan area.
- The mortgage company will also pay a civil money penalty of \$4 million.

Access to credit helps provide opportunities to build wealth. Mortgage professionals have the obligation of encouraging applicants to complete the loan application and not discouraging them. Discouraging applicants from applying for a loan is discrimination.

 [DOJ Press Release](#)

Case Study #2: A Jacksonville, FL Bank

One most recent enforcement action taken by the DOJ in October of 2023, was against a bank operating out of Jacksonville, Florida.

The resolution with Company was filed today in the U.S. District Court for the Middle District of Florida, along with the Department’s complaint, and is subject to court approval. The Department’s complaint alleges that, from 2016 through 2021, Company avoided providing mortgage services to majority-Black and Hispanic neighborhoods in Jacksonville and discouraged people seeking credit in those communities from obtaining home loans. Company’s home mortgage lending was focused disproportionately on white areas of Jacksonville while other lenders generated applications in majority-Black and Hispanic neighborhoods at three times the rate of Company. Although Company operates 18 branches in Jacksonville, Company has never operated a branch in a majority-Black and Hispanic neighborhood in the city.

The neighborhoods that the Department alleges Company redlined in Jacksonville are some of the same neighborhoods that were first redlined by Home Ownership Loan Corporation maps in the 1930s.

Combating modern day redlining is one of the most important strategies for ensuring equal economic opportunity today, said Assistant Attorney General Kristen Clarke of the Justice Department’s Civil Rights Division. “By taking on

the discriminatory lending practices of banks and mortgage companies, we are helping to ensure that more Black, Hispanic, and other communities of color are able to buy a home, generate wealth, and fulfill the American Dream. This settlement marks a new pinnacle in our efforts to bring an end to redlining and provides tangible relief to communities that have been starved of access to credit for far too long.”

“For far too long, redlining has negatively impacted communities of color across our country,” said U.S. Attorney Roger B. Handberg for the Middle District of Florida. “Today’s agreement with Company represents the first redlining case brought by the Department of Justice in the state of Florida and signals a step forward for Black and Hispanic communities in Jacksonville that were previously denied access to economic resources for generations. This settlement means that Company will provide financial remedies to Jacksonville’s underserved communities, and it demonstrates our commitment to guaranteeing equal access to housing and credit resources for all Americans.”

Under the consent order, which is subject to court approval, Company will invest \$9 million to increase credit opportunities for communities of color in Jacksonville. Specifically, Company will:

- Invest \$7.5 million in a loan subsidy fund that will be made available to residents of majority-Black and Hispanic neighborhoods and those seeking credit in those communities.
- Invest \$900,000 for advertising and outreach targeted toward the residents of these neighborhoods.
- Invest \$600,000 to develop community partnerships to provide services that increase access to residential mortgage credit.
- Open a new branch in a majority-Black and Hispanic neighborhood in Jacksonville.
- Ensure that at least three mortgage loan officers are dedicated to serving majority-Black and Hispanic neighborhoods.
- Retain a consultant to assess the bank’s compliance management system as it pertains to redlining risk.
- Employ a full-time Director of Community Lending who will oversee the continued development of lending in majority-Black and Hispanic neighborhoods in Jacksonville.

The Company is working cooperatively with the Department to address the credit needs of residents in majority-Black and Hispanic neighborhoods in Jacksonville. Beyond the agreement, the Company has committed to expanding its lending services to underserved communities across its markets.

 [DOJ Press Release](#)

Limited English Proficiency (LEP)

Fair housing means providing potential borrowers with clear communication regardless of their primary language. Consequences of poor communication can be perceived as bias or

discrimination. In the LEP world, Language access means how well we communicate with our borrowers who do not speak English as their primary language. Language access is a top priority, especially when it comes to providing access and equity in homeownership.

Limited English Proficiency or LEP has been an ongoing topic in our continuing education for multiple years. In 2021, the CFPB 's announcement stated:

Currently, many LEP consumers are not fully integrated into the financial marketplace, despite being a significant portion of the U.S. population (approximately 25.5 million individuals out of 326.7 million). Due to language access issues, LEP consumers face unique challenges in learning about and accessing financial products, services, and education tools; understanding and completing key financial documents; managing bank accounts; and resolving issues with financial products and institutions. For example, financial disclosures and written documents are generally not available in non-English languages.

The guidance provides information to mortgage companies on how they can provide more access to credit by offering consumers information in other languages other than English. The CFPB Guidance goes into more detail on how to protect the mortgage company from ECOA and UDAAP violations.

Mortgage companies should have an LEP policy in place that is applicable to the communities they serve. Mortgage companies should be:

- Conducting an internal assessment to determine if any current staff are fluent in other languages.
- Conducting an external assessment in the areas in which they are licensed to determine the languages that would be most beneficial to potential applicants.
- After collecting the language data, it is time to start the process of identifying the written materials that will be available, and in which languages.
- Finally, it is important to establish a translation process and develop standards to ensure consistency and accuracy in all translated documents.

The CFPB's guidance also stated that, when developing a company's LEP plan, there are some important factors they should be considering or tools that may be helpful to utilize:

- **Language selection** using the U.S. Census Data to determine the languages that are most likely to be used in their area.
- **Determine what products and/or services** they will be able to provide in the language selected.
- **Determine if the LEP program** will have an in-house program or a third-party translation service.
- **Develop policies and procedures** that will provide quality and accuracy in the interpretation translation practices. This also includes a back-translation procedure to ensure the accuracy of the translation. If the mortgage company has the resources, having a central point of contact who would administer the LEP program could be beneficial.

- **Training staff** on the intricacy of an LEP program and what is expected from them to remain compliant.
- **State specific requirements.** 31 states have some form of LEP policy in place. Every mortgage company needs to determine what is required by the state(s) and then follow their guidelines to be compliant.

As a mortgage professional, you need to service your entire community.

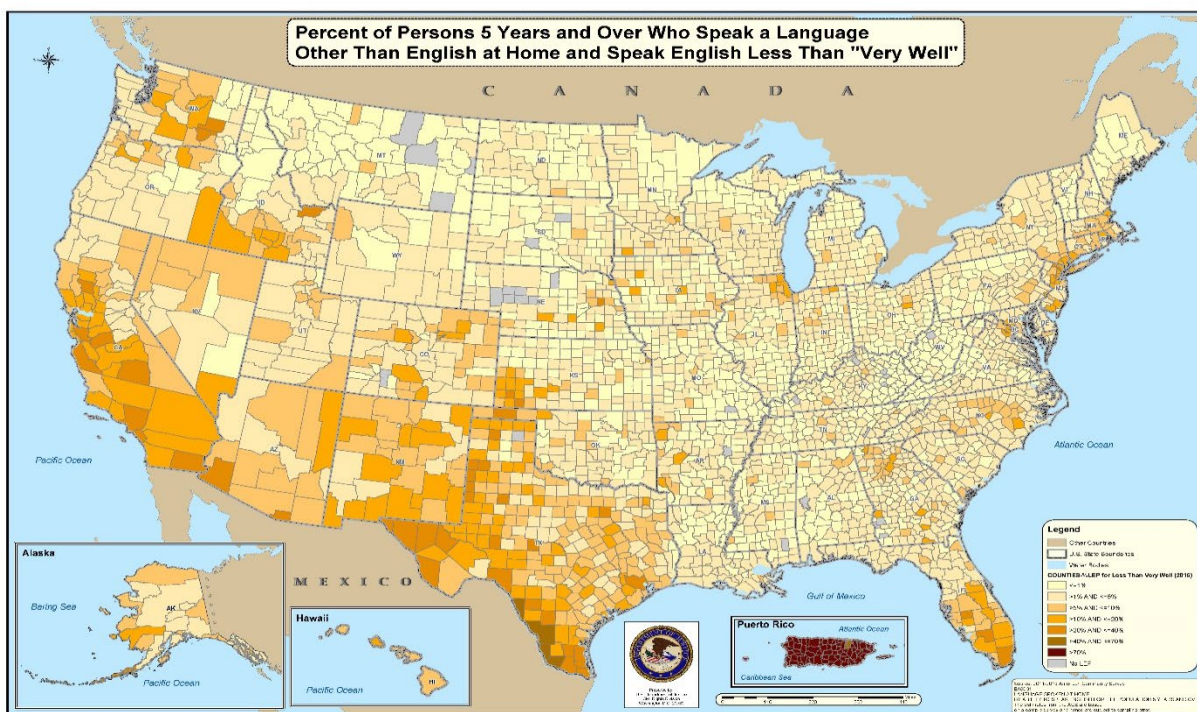
1. What resources are available to you to help your LEP borrowers?
2. Does your company have an LEP policy and a variety of resources already available to you?
3. Does your compliance department have some tools you could use?

If your company does not have an LEP program set up, feel free to use these links yourself and pass them along to your compliance department to get the ball rolling.

1. LEP.Gov
2. [Mortgage Translations Home](http://MortgageTranslationsHome)
3. [More CFPB Resources](http://MoreCFPBResources)

Let's talk about each of these resources and how you (and your compliance department) can use them to help your LEP borrowers. Part of knowing how to help your LEP borrowers is to determine the language(s) spoken in the areas you serve. LEP.gov can help with that.

The LEP.GOV website <https://www.lep.gov/> provides resources and mapping tools to determine the languages.



The Civil Rights Division's Language Map App is an interactive mapping tool that helps users determine the concentration of and languages spoken by LEP individuals in a community. Click on your state or county to identify the number or percentage of LEP persons, download language data, or visually display LEP maps for presentations.

The FHFA's Mortgage Translation website is a resource available to you and the public for translated documents and more.



Lastly, the CFPB has so many additional resources that can help you and your borrower navigate the lending process. The resources include:

- [COVID-specific materials](#) to address questions about credit and debt management, student loan repayment, mortgage relief options, scams, banking tips, economic stimulus relief, and other topics. You can also find a [video explaining mortgage forbearance options](#) subtitled in Spanish.
- [Multilingual Glossaries](#) of over 1,200 financial words and terms in English, Spanish, and Chinese, and will soon be available in Korean and Vietnamese.
- [Your Money, Your Goals financial empowerment toolkit](#), which is currently available in English and Spanish and can enable you to help people in a variety of specific financial areas of their lives, like credit, spending decisions, debt repayment plans, income, and bills.
- [Equal Credit Opportunity Act brochures](#) explaining consumers' protections against lending discrimination. The brochure is currently available in English and [Spanish](#), and will soon be available in Chinese, Vietnamese, Tagalog, Korean, French Creole, Arabic, and Russian.
- [Financial Wellbeing Scale](#), available in English and Spanish. This is a 31-page guide to

help people understand their financial world and how they are doing. This would be a great link to send to your borrowers to assist them toward financial success.

- [Newcomer's guides to managing money](#), available in English and Spanish.

[CFPB Announcement](#); [CFPB Statement Regarding the Provision of Financial Products and Services to Consumers with Limited English Proficiency](#); [CFPB More Resources](#); [FHFA: Mortgage Translations Home](#); [LEP.GOV](#).

Fannie Mae and Freddie Mac Require Language Preference Data to be Collected.

Supplemental Consumer Information Form

The purpose of the Supplemental Consumer Information Form (SCIF) is to collect information on homeownership education and housing counseling and language preference to help lenders better understand the needs of borrowers during the home buying process.

Borrower Name (First, Middle Last, Suffix): _____ Agency Call No. _____

Homeownership Education and Housing Counseling

Homeownership education and housing counseling programs are offered by independent third parties to help the Borrower understand the signs and symptoms of homeownership.

Has the Borrower completed homeownership education (group or web-based classes) within the last 12 months? ☐ NO ☐ YES

IF YES: (1) When formal was it? (Check the most recent) ☐ Attended Workshop in Person ☐ Completed Web-Based Workshop

(2) When provided to? _____

If a HUD-approved agency, provide Housing Counseling Agency ID #: _____

For a list of HUD-approved agencies go to: https://www.hud.gov/program_offices/housing/ohc

If not a HUD-approved agency, or unsure of HUD approval, provide the name of the Housing Education Program: _____

(3) Date of Completion: ____/____/____

Has the Borrower completed housing counseling (customized counselor-to-counselor) within the last 12 months? ☐ NO ☐ YES

IF YES: (1) When formal was it? (Check the most recent) ☐ Face-to-Face ☐ Telephone ☐ Internet ☐ Hybrid

(2) When provided to? _____

If a HUD-approved agency, provide Housing Counseling Agency ID #: _____

For a list of HUD-approved agencies go to: https://www.hud.gov/program_offices/housing/ohc

If not a HUD-approved agency, or unsure of HUD approval, provide the name of the Housing Counseling Agency: _____

(3) Date of Completion: ____/____/____

Language Preference

Language Preference – Your loan transaction is likely to be conducted in English. This question requests information to see if communications are available to assist you in your preferred language. Please be aware that communications may NOT be available in your preferred language.

Optional: Mark the language you would prefer, if available.

☐ English ☐ Chinese ☐ Korean ☐ Spanish ☐ Tagalog ☐ Vietnamese ☐ Other: _____ ☐ do not wish to respond

(If you select "Other", please specify: _____)

Your answer will NOT negatively affect your mortgage application. Your answer does not mean the Lender or Other Loan Participants agree to communicate or provide documents in your preferred language. However, it may be helpful to you or direct you to persons who can assist you.

Language assistance and resources may be available through housing counseling agencies approved by the U.S. Department of Housing and Urban Development. To find a housing counseling agency, contact one of the following Federal government agencies:

- U.S. Department of Housing and Urban Development (HUD) at (800) 568-4287 or https://www.hud.gov/program_offices/housing/ohc
- Consumer Financial Protection Bureau (CFPB) at (855) 411-7272 or <https://www.consumerfinance.gov/real-estate/housing-counselors>

Supplemental Consumer Information Form
Fannie Mae/Freddie Mac Form 1103
3/2022

Another tool that may help identify language preferences is the implementation of the **SCIF Form 1103**, as of March 2023. This is an addendum to the 1003.

Requesting this information from clients through the initial application process may help clients feel more comfortable responding freely. As a loan officer, if you know ahead of time which language a client would prefer to communicate in, you could orchestrate a plan to suit their request.

The SCIF form 1103 is being added to the application to help professionals have the information they need about their clients so they can assist them better with homeownership education, housing counseling, and language preferences.

The Supplemental Consumer Information Form (SCIF/Form 1103) will be required for new conventional loans sold to Fannie Mae and Freddie Mac with application dates on or after **March 1, 2023**. This requirement will help facilitate the collection of homeownership education, housing counseling, and **language preference information**.

[FHFA Language Access](#)

[Form 1103 Information Required](#)

Affordable Housing Using the Down Payment Assistance Programs (DPAs) as a Fair Lending Tool

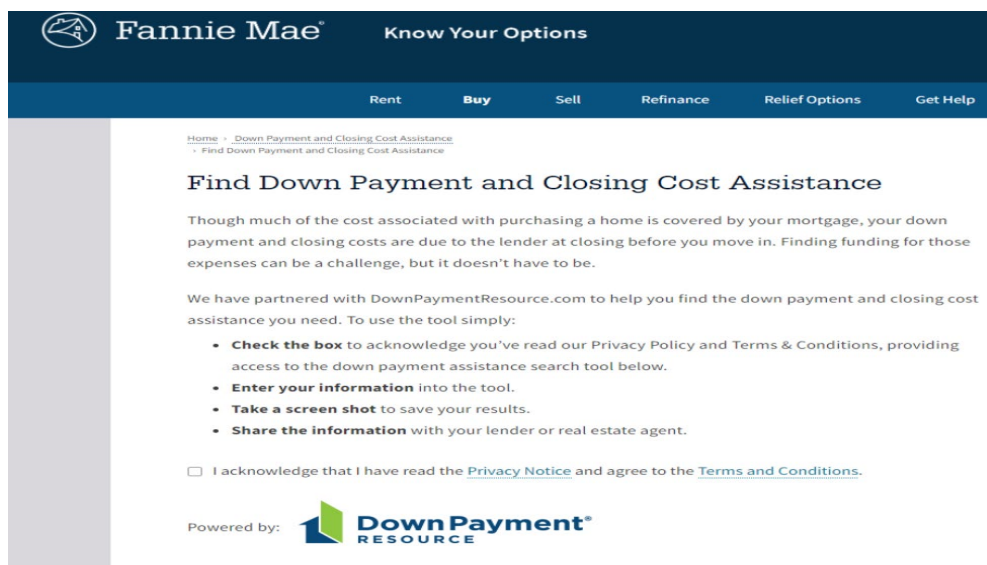
There are a variety of Down Payment Assistance programs (DPAs) available across the United States. Some are state or county run programs, and some are non-profit organizations that provide down payment assistance to borrowers who qualify.

There have been discussions stating that if the mortgage professionals are not providing a borrower who may qualify under the DPA program that opportunity to use it, it could be considered discrimination on behalf of the lender.

If the program is available and the borrower qualifies, but the mortgage professional fails to provide this product, and borrower no longer qualifies for the mortgage, you have not provided the borrower with every opportunity to access credit to purchase a home.

Several of the larger financial institutions have developed internal down payment assistance programs. Borrowers will use the creditor who can provide them with the most options when it comes to bringing in less money for closing costs, which may include the down payment. As mortgage professionals, it behooves you to learn about every loan program available to you. And, even if YOU don't have access to a program, you should learn about it anyway. There may be instances, like with the reverse mortgage, when your clients should at least be presented with different options.

In October 2022, Fannie Mae announced a new tool that borrowers can use to see if they qualify for a Down Payment Assistance program. By entering in their personal information, they can see if the property location and the borrower can qualify for a down payment assistance program.



The Down Payment Assistance Resource provided a video explaining the down payment assistance programs available and the details on how they work and how to qualify the borrower using the DPA programs.

[!\[\]\(3361a69eadaeb264cf6a51739d2518d0_img.jpg\) Down Payment Assistance Resource](#) (cited with permission); [Fannie Mae Down Payment Resource](#)

Freddie Mac has down payment assistance resources available at [!\[\]\(88c219f0311903581e21b213e11a0f99_img.jpg\) DPAOne](#).

Finally, the National Council of State Housing Agencies also has resources available to help you find programs around the country.

[!\[\]\(b0d56cb79d1b20912a7500f085c61cef_img.jpg\) NCHSA Housing Help](#).

Chapter 4 Review

Congratulations, you've completed Chapter 4. In this chapter, we discussed how complex algorithms are used in lending decisions and advertising/marketing materials. We gave an overview of redlining and digital redlining and how they will both continue to be an enforcement directive by the CFPB. We discussed appraisals and how automated valuations models determine the impact on fair housing. Lastly, we discussed the updates to the Limited English Proficiency (LEP) requirements for mortgage professionals.

Quick Reminders from Chapter 4

- Complex algorithms affect many different aspects of fair lending in the mortgage industry, including advertising, decision making, and automated valuation models.
- Redlining and digital redlining remain a priority for fair lending enforcement.
- LEP and Language access are evolving fair lending issues that you can be aware of and assist your borrowers with.

Chapter 5

Reverse Mortgages

Learning Objectives for Chapter 5

- ☐ Describe the history of the HECM and reverse mortgages.
- ☐ Understand how a reverse mortgage works.
- ☐ Relate key definitions related to reverse mortgages.
- ☐ Outline the qualification requirements for HECMs.
- ☐ Restate the things to avoid when submitting a HECM file.

Introduction

This chapter was created with the help of HECM expert Jason Sobh. Jason Sobh was born in Lebanon and immigrated to the US in 1976. He has a degree in finance with a minor in real estate. In 2006, he transitioned his business to 100% Home Equity Conversion Mortgages.

When asked why he chose reverse mortgages, he said:

In the early 2000s, my boss gifted me a book about reverse mortgages. The more I read the book, the more I realized my background knowledge in finance, mortgage insurance, and real estate gave me an edge to dive into this field. After a few chapters, I realized that this was the right direction for me to take! Mortgage life insurance saved homeowners from losing their homes. Reverse mortgages help homeowners to stay at home.

History of Reverse Mortgages

It might come as a surprise to many, but the reverse mortgage product was initially created in 1961. In 1987, Congress passed the FHA insurance bill called the Home Equity Conversion Mortgage. In 1988, The Department of Housing and Urban Development (HUD) gained the authority to insure reverse mortgages through the FHA when President Ronald Reagan signed the reverse mortgage bill into law.

In 1994, Congress began requiring lenders to disclose to borrowers the total annual loan costs (TALC) at the start of the application process. This allowed borrowers the chance to compare lender prices and shop around. In 1996, the reverse mortgage program was adjusted to allow for loans on residences that have up to four units, as long as the borrower occupies one unit as the primary residence.

1998 marked the year that the HECM became a permanent option. In 2000, HUD announced an increase in origination fees to either two percent of the maximum claim amount or \$2,000. In 2001, HUD and the American Association of Retired Persons (AARP) teamed up to begin testing and training approved counselors.

In 2004, the FHA implemented rules for HECM refinancing, also known as HECM to HECM (H2H). In 2005, the first HECM refinances were made. In 2006, the national loan limit of \$417,000 was established.

Jason Sobh calls 2008 and 2010 the volcano eruption years in reverse mortgages as they became a very popular product. In 2009, the HECM for Purchase was introduced (H4P). Moving into 2009, Congress increased the HECM loan limit to \$625,500. 2009 also saw borrower proceeds being reduced when the FHA lowered principal limits for HECMs by 10%. In 2010, HUD introduced a new reverse mortgage option called the HECM Saver. Also in 2010, FHA increased Mortgage Insurance Premiums (MIPs) from 0.25% to 1.25% per year. In 2014, HUD introduced the Reverse Mortgage Jumbo and, from 2014-2015, many new guidelines and the Financial Assessment were implemented.

As we all know, from 2017 till now, loan limits continue to increase annually. This also affects the amount that can be borrowed on HECMs. Currently, the national loan limit for HECMs is \$822,375. One last piece of current HECM history is the end of the London Interbank Offered Rate (LIBOR) index for use in adjustable interest rate HECMs. Since 1961 to the present day, the reverse mortgage has developed significantly, and there is no end in sight.

How a Reverse Mortgage Works

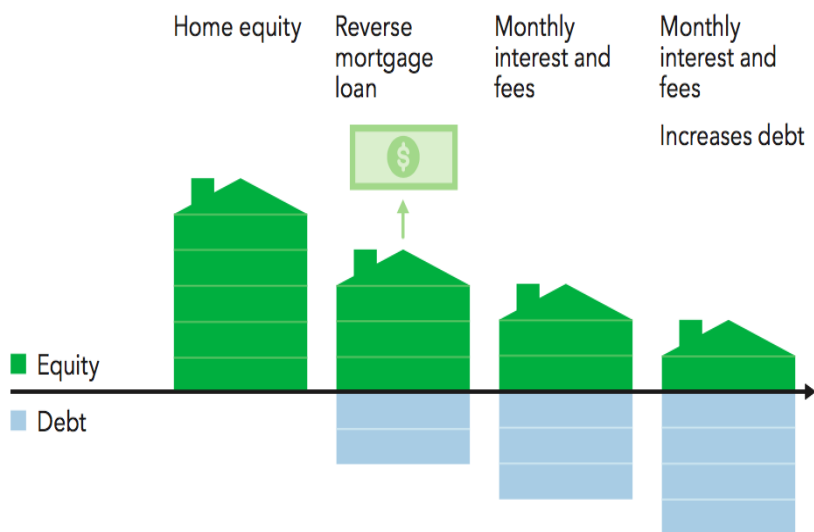
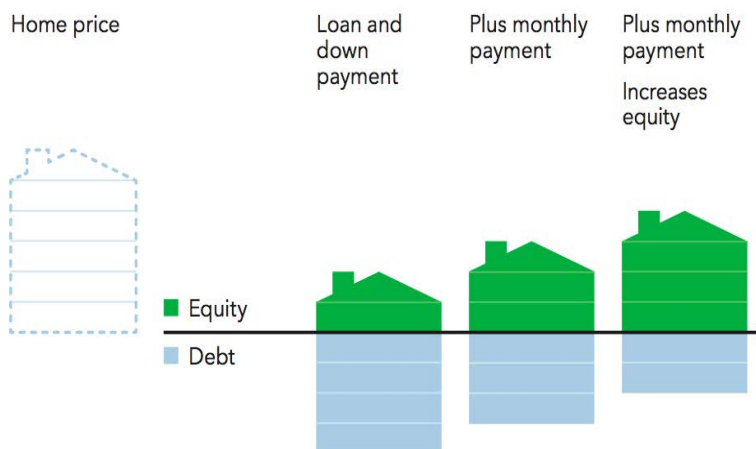
Reverse mortgages tend to be a source of confusion for many, as there are quite a few misconceptions about how a reverse mortgage works. Reverse mortgages take the equity that has accumulated over time in an elderly borrower's home and pay it back to them through either installment payments, lines of credit, or in a lump sum.

Per the CFPB, "With a reverse mortgage, you borrow money using your home as a guarantee for the loan, as you would for a traditional mortgage.

Unlike a traditional mortgage, a reverse mortgage is repaid when the borrowers no longer live in the home. Although you won't make monthly mortgage payments, you'll need to continue to pay property taxes and homeowner's insurance and keep your house in good condition. Because interest and fees are added to the loan balance each month, your loan balance goes up – not down – over time. As your loan balance increases, your home equity decreases. Reverse mortgage borrowers must be age 62 or older. Borrowers usually use the loan to help pay for living expenses. "

Traditional mortgages

With a traditional mortgage, you usually borrow money to pay for the home at the time of the purchase, and pay it back over time. With each payment, you build your equity and your loan balance goes down.



The installments that the elderly borrower receives during the reverse mortgage come from the negative amortization of the loan. The lender of the reverse mortgage will make payments to the borrower based on the built-up equity in the home.

Typically, reverse mortgages do not require the borrower to make

any payments until the borrower dies, sells the home, or moves out permanently.

If the borrower dies, there are a few options regarding how the reverse mortgage may be satisfied:

- The borrower's estate/heirs may sell the home and pay off the reverse mortgage.
- The borrower's estate/heirs may pay off the reverse mortgage and keep the property.
- The borrower's estate/heirs may surrender the property to the lender of the reverse mortgage.

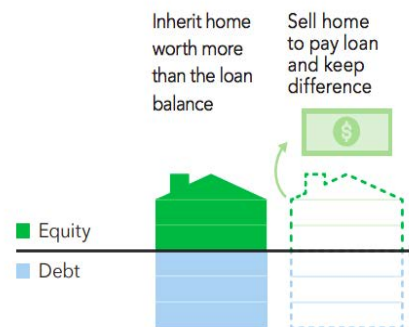
The borrower's estate/heirs may have up to a year (depending on the lender/Note) from the borrower's death to determine how they would like to proceed with the handling of the property. If a borrower already has a traditional mortgage, some of the money that is borrowed from the HECM will be used to pay off the current mortgage. If they owe a lot on their current mortgage, they may not have much, or any, money from the reverse mortgage left to spend on other things. The benefit would be that they would free up the money they've been paying monthly on their current mortgage to use for other purposes.

What happens to my home when I pass away?

When the last remaining borrower passes away, the loan has to be repaid. Most heirs will repay the loan by selling the home.

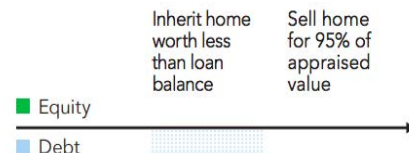
How does it work when the loan balance is less than the home value?

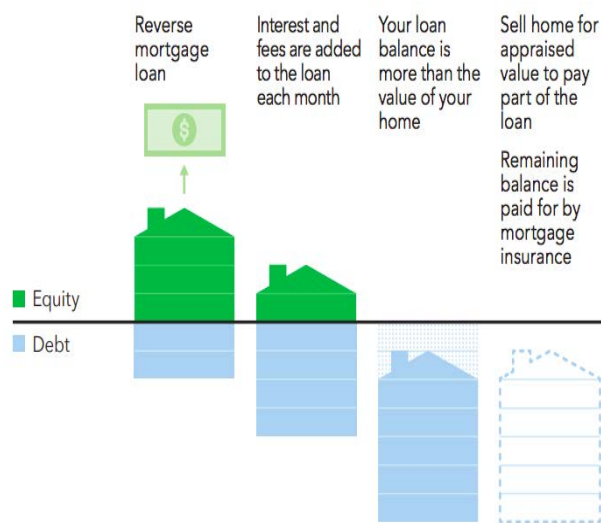
Your heirs will use the loan proceeds to repay the loan and keep the difference.



How does it work when the loan balance is more than the home value?

Your heirs won't have to pay more than 95% of





There is no prohibition to a borrower who would like to sell their home if they have a reverse mortgage. If the borrower's reverse mortgage balance is less than what the home is worth, the sale of the house will work like any other sale of the house; the house will be sold, and the profit will be used to pay off the reverse mortgage.

If the balance of the reverse mortgage is more than the value of the borrowers' home, the borrower does not have to pay the difference. When the borrower sells their home for the appraised fair market value, mortgage insurance pays the remaining balance of the loan.

[CFPB Reverse Mortgage Discussion Guide](#)

[Census Bureau: What Happens When Older Adults Struggle to Make Ends Meet?](#)

[HUD: Home Equity Conversion Mortgages for Seniors](#)

Borrower Requirements

The borrower must meet the following requirements to be eligible for a HECM reverse mortgage:

- Be 62 years or older.
- Own property outright, paid-down a considerable amount, or have a good amount of equity.
- Occupy the property as their principal residence.
- Not be delinquent on any federal debt (i.e., federal tax liens or any other federal debt)
- Have financial resources to continue to make ongoing property insurance payments, taxes, and homeowner's association dues, plus regular maintenance.
- Participate in a consumer information session given by a HUD-approved HECM counselor.
- Single-family home or 2-4-unit home with one unit occupied by the borrower.
- HUD-approved condominium project
- Individual condominium units that meet FHA single unit approved requirements
- Manufactured home that meets FHA requirements
- The borrower must meet the following financial requirements:

- o Income, assets, monthly living expenses and credit history will be verified.
- o Timely payment of real estate taxes, hazard, and flood insurance premiums will be verified.

 HECM



HUD Program

Types of Payment Options for a Reverse Mortgage

During the origination process, the borrower will decide what type of payment plan they choose to take with their HECM. There are five payment options available on a HECM, including:

- **Tenure**: The borrower receives monthly payments from the lender if the borrower lives in, and continues to occupy, the home as a principal residence. Payments will stop when the last borrower or surviving spouse passes away or leaves the home.
- **Term**: The borrower receives monthly payments for a fixed period (Example: 20-year term: The borrower receives monthly payments for 20 years).
- **Line of Credit**: The borrower can make withdrawals (up to a set maximum amount) at the borrower's discretion.
- **Modified Tenure**: A combination of tenure and a line of credit options.
- **Modified Term**: A combination of the term and line of credit options.

For fixed interest rate mortgages, the borrower will receive the single disbursement lump sum payment plan.

 [HECM HUD Program](#)

Determining the “Principal Limit”

One of the first questions a borrower will generally ask is, “How much can I borrow?” That number is called **the principal limit**. The borrower's age, the interest rate and margin on the loan, and the equity in the borrower's home determine the loan's principal limit.

When determining the value of the home or the amount of equity that the borrower has, the guidelines say to take the lesser of the appraised value, the HECM FHA Mortgage limit which is currently \$1,149,825, or the sales price (only applicable for HECM purchases).

For example, an older borrower, with a sizeable amount of equity and a lower interest rate, will have a higher principal limit than a younger borrower with a lower priced home and higher interest rates.

 [CFPB Reverse Mortgage Discussion Guide](#)

HECM Costs

Borrowers can pay for most of the costs of a HECM by financing them and having them paid from the proceeds of the loan. Financing the costs means that they do not have to pay them out of their pocket. On the other hand, financing the costs reduces the net loan amount available to the borrower.

The HECM loan includes several fees and charges, which includes mortgage insurance premiums (initial and annual), third party charges, origination fees, interest, and servicing fees.

The borrower will be charged an initial mortgage insurance premium (MIP) at closing. The initial MIP will be 2%. Over the life of the loan, they will be charged an annual MIP that equals 0.5% of the outstanding mortgage balance.

Lender Fees

1. **Mortgage Insurance Premium:** The borrower will incur a cost for FHA mortgage insurance. The mortgage insurance guarantees that the borrower will receive expected loan advances. The borrower can finance the mortgage insurance premium (MIP) as part of their loan.
2. **Third-Party Charges:** Closing costs from third parties can include an appraisal, title search and insurance, surveys, inspections, recording fees, mortgage taxes, credit checks, and other fees.
3. **Origination Fee:** The borrower will pay an origination fee to compensate the lender for processing their HECM loan. A lender can charge the greater of \$2,500 or 2% of the first \$200,000 of their home's value, plus 1% of the amount over \$200,000. HECM origination fees are capped at \$6,000.
4. **Servicing Fee:** Lenders or their agents provide servicing throughout the life of the HECM. Servicing includes sending the borrower their account statements, disbursing loan proceeds, and making certain that the borrower keeps up with loan requirements, such as paying real estate taxes and hazard insurance premiums. Lenders may charge a monthly servicing fee of no more than \$30 if the loan has an annually adjusting interest rate or has a fixed interest rate. The lender may charge a monthly servicing fee of no more than \$35 if the interest rate adjusts monthly. At loan closing, the lender sets aside the servicing fee and deducts the fee from the borrower's available funds. Each month, the monthly servicing fee is added to the borrower's loan balance. Lenders may also choose to include the servicing fee in the mortgage interest rate.

Third Party Fees

Like traditional mortgages, borrowers typically pay some one-time upfront costs at the beginning of the loan. While they can pay these costs out of pocket, borrowers typically choose to pay for them using loan proceeds. This means that while they don't have to bring money to the closing it will reduce the amount of money they get to use for other things.

1. **Title search/Title Insurance**
2. **Survey**
3. **Inspection**
4. **Recording Fees**
5. **Property Taxes**

 **HECM HUD Program**

Advice from an Expert

Jason Sobh, our reverse mortgage expert, put together his top ten most important questions to ask any borrower who is potentially looking for a reverse mortgage.

- Are you 62 years or older?
- What is your address?
- Is the house you're looking to refinance your primary residence?

- Do you have a co-owner or a co-borrower?
- Who is on the title or deed?
- What do you think your home is worth?
- How is your credit history?
- Are you delinquent on your property taxes or homeowners' insurance?
- Do you generally pay your bills on time?
- Is your home a condominium or manufactured home?

All these questions will really narrow down whether this potential borrower can even qualify for a HECM. Always remember, with multiple borrowers, that the principal limit is determined by the age of the youngest borrower, so be sure to get those birthdates up front.

A few tips and tricks from Jason:

- Be diplomatic when asking for age; some people can get offended!
- Always ask up front for the birthday, especially in multiple borrower situations.
- Don't feel like you must ask for the Social Security number upfront, when you're just putting together a proposal.
- Stress to the borrower that the HECM program is an FHA insured program; some borrowers think that it's too good to be true!
- Remember that you are a licensed MLO and that you are there to help seniors!

Jason also wanted to inform us of the issues that pop up most often once a loan has been submitted to underwriting. Pay attention to these issues upfront to avoid these conditions coming back and stalling the loan:

- The most important things to make sure the underwriter has are:
 - o The Financial Assessment items, including:
 - Proof of income
 - The borrower's Social Security income if they are receiving it; not including it can delay the loan
 - Social Security benefit letter that shows the amount the borrower is receiving or will receive.
 - SS benefit statement (Form SSA 1099) to show previous year's income.
 - Most recent bank statement showing the receipt of the Social Security income (All pages, including blank pages)
 - o Mortgage statement (if any)
 - o Current homeowners' insurance declaration page
 - o Pension or retirement letter that includes how long the income will continue.

- The most common things Jason sees that cause a condition:
 - o Missing signature on the 1099 application
 - o Missing income on the 1099 application
 - o Missing unsigned pages in the application
 - o Misspelled name or address in the counseling certificate
 - o Unsigned and undated counseling certificate
 - o Missing addendum to counseling certificate.
 - o Missing counseling certificate and the accompanying addendum. Without those, you cannot order a case number, and without a case number, you cannot order an appraisal.
 - o Additional types of income like employment income, self-employment income, rental income, annuity income, 401K/IRA income, or other types of income can sometimes cause conditions. Be sure to document them well and review the HECM Financial Assessment and Property Charge Guide for those specific documents that are required!
- The most common roadblocks to approval that Jason sees are:
 - o Late payments shown on credit reports.
 - Always be sure to include a letter of explanation on these.
 - o Different names and previous addresses (a letter of explanation is needed)
 - o Homeowners Association payment history for the last 24 months
 - Missing one or two months can delay the process or cause a condition.

Let's take a closer look at some specific real-life stories of some homeowners who have benefited from the reverse mortgage program.

The Foreclosure Story

Two borrowers, both in their 80s, were exploring a conventional mortgage option, but they were declined because their income and debt ratios did not allow them to qualify for a mortgage. They also had late payments on their current mortgage and large medical bills they could not afford. In poor health and with mounting debt, they reached out to the reverse mortgage expert to see if anything could be done to help them out of this terrible situation.

When the reverse mortgage expert met with the homeowners to discuss reverse mortgage proposals, things got much worse. The homeowners had received a letter from the county saying the home was going up for auction in just a couple of weeks.

"The borrowers were in tears, saying at our age, we are going to lose our home, and we have no place to go!"

With the permission of the borrowers, the reverse mortgage expert contacted the attorney who was proceeding with the foreclosure to discuss the options and stop the foreclosure.

The attorney said he was familiar with the reverse mortgage program, and if he had a copy of the reverse mortgage application, he would see if he could delay the auction. He also shared the foreclosure costs to be included in the reverse mortgage payoff details.

While this reverse mortgage was not an easy one, with many letters of explanation regarding the extenuating circumstances with the health issues and the medical bills, they got the all-clear to close (CLC) with a life expectancy set aside (LESA).

The borrowers were eternally grateful to stay in their home with no more mortgage payments, property tax bills, or homeowners' insurance payments (they are all paid with the LESA). One of the borrowers called the reverse mortgage expert an "Angel."

The Divorce Story

A borrower was in tears when she called the reverse mortgage expert because she needed help understanding the reverse mortgage options. She was behind on her mortgage payments, and her husband had recently left her to live with his new girlfriend. She did not want to sell; she loved her home.

She agreed to meet with him, at which time he reviewed all possible options with the homeowner: (a) Do a reverse mortgage, pay off the mortgage, and agree to pay the soon to be ex-husband his share of the equity; (b) Sell the home and try to buy another home with a reverse mortgage; (c) Pay off the soon to be ex-husband when he signed and filed a quit claim deed to the property.

She settled on option (a) as the best choice, but only if the husband would cooperate. This is where it gets more complicated, since both had filed for divorce, and both had their own attorneys who would all need to agree on this option, as well. Surprisingly, the attorneys agreed (maybe because their fees of \$40,000 each would also be included).

After getting a court order to proceed with the reverse mortgage and all parties agreed to put a reverse mortgage on the property, the husband did sign and file a quit claim deed to the property for the wife.

The borrower was able to stay in her home and not have to worry about mortgage payments again. The divorce was finalized several months later.

The Children's Story

Two weeks before Christmas, the reverse mortgage expert was working with a couple from California explaining the reverse mortgage programs and the options available to them.

The borrowers' current mortgage payment was a little over \$1,200 per month, and most of their Social Security went just to pay the mortgage. The property had a mechanics lien on it that they had not been able to pay off, so the reverse mortgage option seemed to be the only solution.

Later, the borrowers asked the reverse mortgage expert to meet with them and their children to explain what would happen if the parents took out a reverse mortgage. The reverse mortgage expert agreed and met with the children and their spouses.

The reverse mortgage expert asked permission from the potential borrowers to share all the information with all those present and discuss the available options. They agreed, and they went over all the hardships currently being faced and the potential benefits of a reverse mortgage.

This is when the 28-year-old son started yelling that this was going to take away “my home,” which opened a can of worms with the rest of the family. After both a family discussion and a private talk with the 28-year-old son, they all could see the benefits for their parents and agreed to support the reverse mortgage solution.

The borrowers set up a Living Trust to support the needs of the borrowers and all their children.

Conclusion

Let’s look at one final note from Jason:

The reverse mortgage is a unique and special FHA program geared to help seniors 62+. The main common questions borrowers ask me most of the time are: Does the lender own my home? What happens to my home after I/we die? Are my children responsible for this loan? What are my responsibilities? When you answer these kinds of questions, you will get this response... It’s too good to be true!!! Remember, as a loan officer, your job is to educate and help borrowers.

Jason recommends that anyone who is looking to expand their business through the HECM program read the HUD Booklet “Use your Home to Stay at Home”.

Chapter 5 Review

Congratulations on completing Chapter 6.

Let's do a quick overview of the topics covered in this chapter to make sure you understand how this information impacts mortgage companies and mortgage professionals.

- History of the HECM loan program
- How a reverse mortgage works
- Qualifying the borrowers
- Real life reverse mortgage stories
- Expert advice from Jason Sobh

Quick Reminders

- HECMs have been around and evolved since 1961!
- Remember that borrowers have to be 62 years or older and must either own their home or have significant equity!
- Borrowers do have to meet certain FHA requirements related to financial health!
- Always remember to have a clean and complete file to avoid delaying the process, just like with any other loan!
- Finally, the HECM program is there to help seniors use their home to stay at home, so be kind and answer their questions. You could really make a difference in their lives!

Chapter 6

Adjustable-Rate Mortgages (ARMs) & Other Recent Program Updates

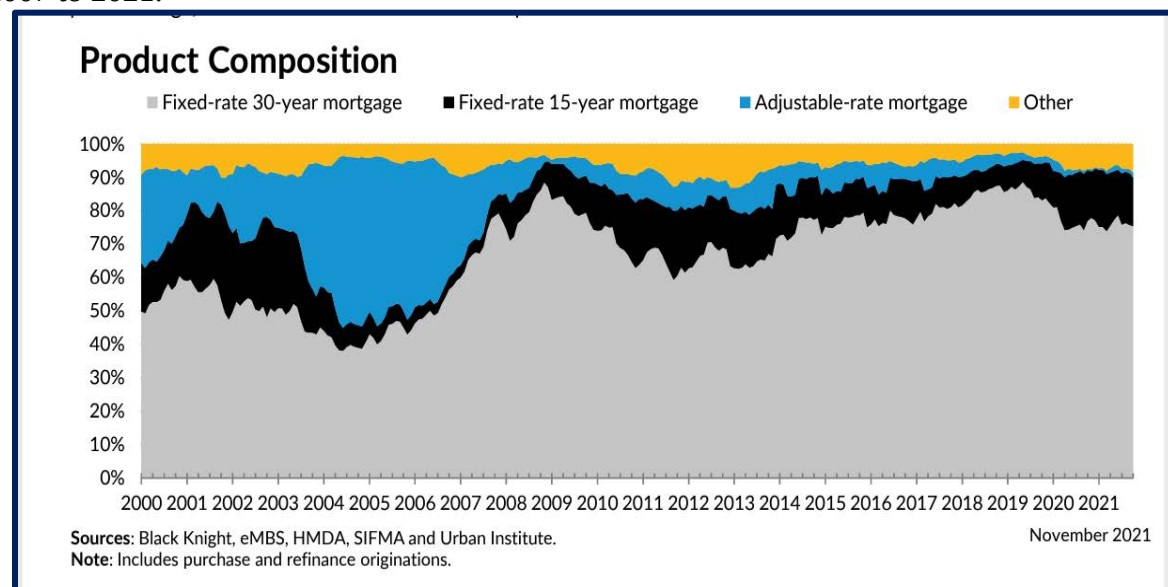
Learning Objectives for Chapter 6

- ☐ Relate the reasons why ARMs might make sense for some borrowers.
- ☐ Describe the parts of an ARM.
- ☐ Understand the general qualifications for ARMs.
- ☐ Identify potential issues with seller contributions and buydowns in this high-interest-rate market.
- ☐ Evaluate the new updates from around the industry and what they could mean for your borrowers.

Why The ARM?

The adjustable-rate mortgage (ARM) has been an underused product in the past ten years. With record low interest rates in 2020 and 2021, the fixed-rate mortgage was king. Looking at the product composition from 2000-2021, you'll notice how much of the market fixed-rate mortgages have taken up, both 15- and 30-year terms, while the market for ARMs shrank substantially from 2007 to 2021.

The creation of Qualified Mortgage Rule (QM) and Ability to Repay Rule (ATR) and some of the other laws apply to ARMs and have lowered the risk of having an ARM.



Some think ARMs are a more predatory loan, but that's not necessarily the case. ARMs are offered by Fannie Mae and Freddie Mac and must meet the same QM and ATR standards of any other fixed-rate products. They are riskier in a sense; the interest rate can change but borrowers are held to the same qualifying standards (even more stringent requirements in some instances), than borrowers with a fixed-rate mortgage. 2022 was a unique experience for many mortgage professionals. Some MLOs have struggled with where or how to drum up new business or help their borrowers who are still in the market to purchase or refinance. One option may be an ARM.

Looking at the Primary Mortgage Market Survey (PMMS), you can see the difference in interest



rates between the 30-year and the 5/1 arm. The difference is over 1%! In addition to lower rates, putting them in an ARM may make sense because of the borrower's situation. Maybe they only plan to be in the house for 2-3 years, for instance.

[Freddie Mac Primary Mortgage Market Survey; Housing Finance At A Glance: Urban Institute](#)

ARM Basics

Let's review how an ARM works. An ARM is a loan with an interest rate that will change throughout the life of the loan. Over time, the borrower's monthly payments

may go up or down. ARMs have two distinct periods: the **initial period** and the **adjustment period**.

1. **Initial period:** Also known as the **fixed-rate period**, the interest rate doesn't change. The **initial period** can range from six months to 10 years. The most common ARM terms have an initial period of 5, 7, or 10 years.
 - a. The **note rate** is the interest rate during that initial period.

After the initial period, most ARMs adjust. Simply put, when the loan is set to adjust, the interest rate may change, based on the index it is tied to.

2. **Adjustment period:** All ARMs have adjustment periods that determine when and how often the interest rate can change. The adjusted rate is based on the borrower's individual loan terms and the current market.

Two pieces of information make up the adjustable rate on an ARM: the index and the margin. The index plus the margin is the **fully indexed rate** or the rate that determines the borrower's payment for that adjustment period. Let's break this down further. The margin is a fixed number, usually between 2-3%, but can vary by product. The index is a moving target and is tied to a specific index. The most common indexes used are:

- Secured Overnight Finance Rate (SOFR)
 - o The only type of ARM accepted by Fannie Mae and Freddie Mac
 - o Replaced LIBOR (see below)
- Constant Maturity Treasury (CMT)
 - o It is still popular with depositories and correspondent lenders.
- London Interbank Offered Rate (LIBOR)
 - o The LIBOR is phasing out and is no longer being originated, but you might see it on a refinance.
- Federal Cost of Funds (COFI), Cost of Saving Index (COSI), and Prime (most common for HELOCs)

Understanding Secured Overnight Financing Rate:

In 2017, The Alternative Reference Rates Committee (AARC) selected the SOFR as its preferred alternative to U.S. dollar LIBOR.

SOFR is a broad measure of the cost of borrowing cash overnight, collateralized by U.S. Treasury Securities in the repurchase agreement (repo) market.

LIBOR is a series of interest rates intended to reflect banks' average cost of short-term, wholesale unsecured borrowing. It is currently used in many financial products worldwide, from derivatives to mortgages, to bonds, to corporate loans. It is currently calculated for five currencies and in seven "tenors" or lengths of time -like three-month or 12-month LIBOR.

Each business day, a panel of banks for LIBOR in each currency (16 banks for USD LIBOR) submits their estimates of the cost to borrow in wholesale unsecured funding markets. For each tenor, the upper and lower quartiles are removed, then the rest is averaged to determine the LIBOR rate for that day.

Changes in how banks fund themselves have caused the volume of transactions underlying LIBOR to decline considerably. Today, the market for unsecured wholesale term borrowing by banks is not sufficiently active, with a relatively small number of transactions underpinning LIBOR. LIBOR is sustained through "expert judgment," which means panel banks submit estimates of their borrowing costs with little actual borrowing activity to validate them.

In 2014, global regulators highlighted the financial stability risks associated with overreliance on LIBOR. In response, national working groups in jurisdictions worldwide—like the ARRC—were convened to support a transition away from LIBOR (and other LIBOR-like rates) by identifying robust alternative interest rate benchmarks anchored in deep, active markets. In 2017, those efforts were accelerated when the Financial Conduct Authority (FCA), the UK government body that regulates LIBOR, stated that it had exerted considerable effort persuading panel banks to continue submitting to LIBOR and that it brokered a voluntary agreement with the remaining panel banks to continue submissions through the end of 2021. In April 2020, following the outbreak of COVID-19, the FCA reaffirmed that timeline announcing that the central assumption that firms cannot rely on LIBOR being published after the end of 2021 has not changed and should remain the target date by which all firms should be prepared for LIBOR to be unusable.

The Libor is no longer used, but the history is still valuable to understand.

 [AARC: SOFR Starter Kit Part 1](#); and [Part 2](#)

Let's do two quick examples of ARM adjustments:

- (1) 30-day SOFR 4.75% + Margin 3.00% = 7.75%. New interest rate will be 7.75%.
- (2) 1-year CMT is 4.00% + Margin 3.00% = 7.00%. The new interest rate will be 7.00%.

There are different types of ARMs. The names of the ARMs indicate the duration of the initial period and how often in a year the rate can adjust during the adjustment period. For example, the most common type of ARM is the 5/1 ARM. This ARM has a fixed rate for five years and then adjusts once per year for the life of the loan.

The most common types of ARMs on the market currently are:

6. 5/6, 7/6, and 10/6 SOFR ARMs
 - a. Fixed for 5, 7, and 10 years; then adjusted every 6 months.
 - b. These are Fannie/Freddie ARM options.
7. 5/1, 7/1, and 10/1 CMT ARMs
 - a. Fixed for 5, 7, and 10 years; then adjust yearly.

In addition, most ARMs have a rate cap structure. These caps prevent the interest rate from increasing or decreasing by a certain amount. There are three common types of caps:

- Initial cap – Limits how much the borrower's interest rate can adjust at the first adjustment.
- Periodic cap – Limits how much the rate can increase from one adjustment period to the next.
- Lifetime cap – Limits how much the borrower's rate can increase or decrease over the life of the loan.
- The floor is the margin unless otherwise indicated.

The most common type of **cap structures** in today's ARM programs are:

- 2/1/5 for 3/6 and 5/6 SOFR ARMs
- 5/5 for 7/6 and 10/6 SOFR ARMs
- 2/2/6 for 1/1, 3/1, and 5/1 CMT ARMs
- 5/2/5 for 5/1, 5/5, 7/1, and 10/1 CMT ARMs

Let's say the borrower is looking at a 5/1 ARM with a 5/2/5 cap structure. This means, starting in the sixth year, after the borrowers' initial period expires, their rate can increase a maximum of 5 percentage points (the first "5") above the initial interest rate. Every year thereafter, their rate can adjust to a maximum of 2 percentage points (the second number, "2"), but their interest rate can never increase more than 5 percentage points (the last number, "5") over the life of the loan.

 [Freddie Mac: Considering an Adjustable Rate Mortgage?](#); [MGIC Training: Getting Comfortable with ARMs \(again\) \(used with permission\).](#)

Fannie Mae and Freddie Mac Guidelines & Pricing

Looking at an eligibility matrix will give us a good idea of how ARMs differ from LTV and Loan Level Price Adjustments (LLPAs) requirements, and from their fixed-rate mortgage counterparts.

Standard Eligibility Requirements - Desktop Underwriter Version 11.0		
Excludes: High LTV Refinance, HomeReady, HomeStyle Renovation, and Manufactured Housing		
Transaction Type	Number of Units	Maximum LTV, CLTV, HCLTV
Principal Residence		
Purchase Limited Cash-Out Refinance	1 Unit	FRM: 97% ⁽¹⁾ ARM: 95%
	2 Units	FRM/ARM: 85%
	3-4 Units	FRM/ARM: 75%
Cash-Out Refinance	1 Unit	FRM/ARM: 80%
	2-4 Units	FRM/ARM: 75%

The biggest difference is the **down payment requirement**. Though it stays the same for two and three-to-four-unit properties on a purchase or limited cash-out refinance, you'll notice the down payment requirement is slightly more on the one-unit purchase or limited cash-out refinance yet is the same as a cash-out refinance. So, for those concerned that qualifying for an ARM requires more money down or more equity in the property, that is not always the case.

In the following two charts, second home and investment properties, the down payment is the same for ARMs and fixed rates.

Second Homes		
Purchase	1 Unit	FRM/ARM: 90%
Limited Cash-Out Refinance		
Cash-Out Refinance	1 Unit	FRM/ARM: 75%
Investment Property		
Purchase	1 Unit	FRM/ARM: 85%
	2-4 Units	FRM/ARM: 75%
Limited Cash-Out Refinance	1-4 Units	FRM/ARM: 75%
Cash-Out Refinance	1 Unit	
	2-4 Units	FRM/ARM: 70%

The same goes for second homes and investment properties; a borrower can choose an ARM on a purchase of a second home and not have to put any more money down or have any more equity than if they were doing a fixed-rate mortgage. With the details noted in the eligibility matrix, it's clear that Fannie thinks ARMs have a similar risk factor to fixed-rate mortgages.

As we talked about earlier, the ARMs available through Fannie Mae and Freddie Mac are 3/6, 5/6, 7/6, and 10/6 SOFR ARMs. The cap structures vary between 2/1/5 and 5/1/5.

Special NOTE: You must qualify your borrower based on the ARM you're putting them in, at the highest rate the borrower could "end up with."

Example: If the borrower has an ARM with a fully indexed rate of 4.75% at the beginning of the loan, and they have a 5/1/5, you must qualify them based on a 9.75% rate.

Here are Fannie’s requirements:

Qualifying Interest Rate Requirements	
Transaction Type	DU and Manual Underwriting
Fixed-rate mortgages	Note rate
ARMs with initial fixed-rate period of three years or less	The maximum interest rate that could apply during the first five years after the first payment is due.
ARMs with initial fixed-rate period of five years	Greater of - the maximum rate that could apply during the first five years after the first payment date (note rate plus first rate change cap), or - the fully indexed rate
ARMs with an initial fixed-rate period of greater than five years	Greater of the note rate or the fully indexed rate

In terms of Loan Level Price Adjustments (LLPAs), the only time there is an additional price adjustment of 0.250% on an ARM, per Fannie’s LLPA Matrix, is if the LTV is over 90.01%.

Fannie allows ARMs on many different products:

- Standard purchase, limited cash-out, and cash-out refinances
- HomeStyle Renovation
- Manufactured housing.
- HomeReady; and
- High LTV refinance

We’ve talked mostly about Fannie Mae ARMs at this point, so let’s look at Freddie Mac. Everything is the same for Freddie Mac; the only difference is that Freddie Mac requires 5% down, unlike Fannie Mae, which would accept 3% down based on their qualifying guidelines. For more on this [click here](#).

PURCHASE AND "NO CASH-OUT" REFINANCE MORTGAGES (Fixed-Rate and ARMs)	
Property Type	Maximum LTV/TLTV/HTLTV ratio
1-unit <u>Primary Residence</u>	95%
2-unit <u>Primary Residence</u>	85%
3- and 4-unit <u>Primary Residences</u>	80%
Second home	90%
1-unit <u>Investment Property</u>	85%
2- to 4-unit <u>Investment Property</u>	75%

CASH-OUT REFINANCE MORTGAGES (Fixed-Rate and ARMs)	
Property Type	Maximum LTV/TLTV/HTLTV ratio
1-unit <u>Primary Residence</u>	80%
2- to 4-unit <u>Primary Residence</u>	75%
Second home	75%
1-unit <u>Investment Property</u>	75%
2- to 4-unit <u>Investment Property</u>	70%

ARMs are available on many Freddie Mac programs:

- Home Possible® Mortgage options
- Financed Permanent Buydown
- Construction conversion mortgages, renovation mortgages, and mortgages secured by manufactured homes.
- Manufactured homes
- ARMs are secured by investment properties.
- CHOICEHome® eligible ARMs
- CHOICERenovation® mortgages
- GreenCHOICE Mortgages®
- Super Conforming mortgages

[Fannie Mae: Eligibility Matrix](#); [Fannie Mae: Standard ARM Plan Matrix](#); [Fannie Mae Selling Guide: B3-6-04](#); [Fannie Mae: LLPA Matrix](#); [Fannie Mae Selling Guide: B2-1.4-02](#); [Freddie Mac: SOFR Indexed ARMs](#)

Mortgage Insurance (MI)

As a mortgage professional, you might be thinking, “But if we do a 95% LTV on an ARM, the mortgage insurance will be higher than on a fixed-rate mortgage, which will negate the savings on the interest, right?” Wrong.

Per MGIC, mortgage insurance premiums are the same for fixed-rate loans and ARMs with an initial fixed period of five years or more. MI on fixed-rate mortgages is determined by the LT, and credit score of the borrower. When pricing ARMs with an initial fixed period of **seven years or more**, the only difference is that the mortgage insurance rate is based on the ARM’s **note rate**.

 [MGIC Training: Getting Comfortable with ARMs \(again\) \(used with permission\).](#)

Borrower Considerations

Now that you have a better understanding of ARMs and their guidelines, how would you know if an ARM is right for your borrower?

A good place to start is by asking some questions about their short- and long-term goals.

For instance:

1. How long do they plan to own the home?
2. How important is keeping the payment the same?
3. Are they comfortable with the risk of their payment increasing?
4. What’s the maximum rate they’d feel comfortable facing?
5. Is it likely that their income will increase? Any chance it decreases?
6. Do they anticipate any major expenses: tuition, new car, medical bills, etc.?
7. Do they like or dislike the idea of an ARM and how it works?
8. What are their feelings about the current fixed-rate interest rates versus an ARM interest rate? (show them both interest rate options)?

Other Updates From Around the Industry

Our industry is ever evolving. Let’s look at a few of the updates. Make sure you have access to current mortgage news and that you take time to read about, listen to, and basically keep up with the changes.

FHFA – Validation and Approval of FICO 10T and VantageScore 4.0 Credit Score Models

In October of 2022, there was big news on the New VantageScore 4.0 and FICO 10T credit score models. Let’s look at the FHFA’s Factsheet on this announcement:

On October 24, 2022, the Federal Housing Finance Agency (FHFA) announced the validation and approval of both the FICO 10T and the VantageScore 4.0 credit score models

for use by Fannie Mae and Freddie Mac (the Enterprises). After a multiyear transition period, lenders will be required to deliver loans with both scores when available.

Currently, Fannie and Freddie use Classic FICO, a model that they have required [the mortgage industry to use] for nearly 20 years. In 2014, FHFA, Fannie and Freddie, began an effort to modernize the credit score model requirements, and in 2018, Congress required FHFA to create a process for validating and approving credit score models. The validation and approval of FICO 10T and VantageScore 4.0 is the result of a long effort by FHFA, Fannie and Freddie, to further support accuracy, innovation, and inclusion in credit score models.

As a result of FHFA's announcement, lenders, investors, and other industry stakeholders, as well as borrowers and first-time homebuyers, can expect:

- 1. **More Accurate Credit Scores:** Part of the evaluation of new credit score models included extensive testing to ensure that any validated and approved models met the necessary accuracy standards to treat borrowers fairly and to protect the safety and soundness of the mortgage market. Both FICO 10T and VantageScore 4.0 met those standards. •*
- 2. **More Inclusive Credit Scores:** While both Enterprises have already taken steps to expand equitable access to credit, such as enhancements to their underwriting systems, both FICO 10T and VantageScore 4.0 include new payment history information such as rent, utilities, and telecom payments when available.*

3. Enhanced Safety and Soundness in the Housing Market: Promoting accuracy and newer innovative credit score models in the housing finance system will ultimately lead to better outcomes for borrowers, lenders, and the Enterprises. Additionally, because both FICO 10T and VantageScore 4.0 are more accurate than Classic FICO, the mortgage market will be provided with an improved view of risk from two different credit score models.

On October 24, 2022, FHFA also announced that the Enterprises will **require two**, rather than three, credit reports from the national consumer reporting agencies. This change to the Enterprises' credit report requirements is expected to reduce costs and encourage innovation, without introducing additional risk to the Enterprises.

FHFA and the Enterprises expect that implementation of FICO 10T and VantageScore 4.0 will be a multiyear effort. FHFA and the Enterprises are committed to working with stakeholders to ensure a smooth transition to VantageScore 4.0 and FICO 10T and to the new credit report requirements, with a key priority being to reduce unnecessary cost and complexity.

Until this point, Fannie and Freddie have mostly used what they call the 'Classic FICO.'

The FICO® Score was introduced in 1989. It revolutionized the credit application process by enabling credit issuers to give qualified borrowers quick approvals on loans, credit cards, and in-store financing programs.

As you'd expect, for any decades-old system, the FICO® Score has seen many updates since its introduction. It has also spawned multiple specialized spinoff versions designed for specific industries. Today, there are at least 16 versions, or models, of the FICO® Score, which is used by 90% of top lenders. The most widely used versions are FICO Score 9 and Score 8. These are used by Experian, Equifax, and TransUnion.

What is the major difference between the Classic FICO credit scoring models and the new FICO 10T and Vantage Score 4.0? **Trended Data**. Per Experian:

Definition of Trended Data

By analyzing historical payment information, lenders can determine if a consumer is consistently paying more than the minimum payment, has a demonstrated ability to pay and shows no signs of payment stress. It can conversely identify if a consumer is making only minimum payments and has increasing payment stress.

Knowing how a consumer uses credit, or pays back debt over time, can help lenders offer the right products and terms to increase response rates [your borrower taking you up on the offer or quote], determine up-sell and cross-sell opportunities, prevent attrition, identify profitable customers, avoid consumers with payment stress and limit loss exposure. Using a consumer's historical payment information provides a more accurate assessment of future behavior, which in turn, helps effectively manage changes in risk, predicts in-the-market timing or balance transfer activity, and provides additional insight for other lending strategies.

VantageScore 4.0 uses **machine learning technology**, meaning that computers learn from

financial data, identify patterns, and generate credit scores automatically. Machine learning is giving consumers more credit access than ever before—and giving lenders more opportunities to serve them. It also includes trended credit data. This means that it uses consumer credit behavior ***over a period of time instead of via a sample snapshot.***

FICO 10T uses FICO's version of VantageScore trending data. Per FICO:

Scores that don't use trended data typically use the most recently reported month of data to drive certain components of the score, such as the most recently reported balance and/or credit limit on an account.

By contrast, with FICO Score 10 T the "trended data" considers a longer historical time frame (the previous 24 months or longer) of the balance and/or credit limit to get a more refined view of your credit risk.

The trended data allows the credit scoring model to determine what the "trend" is: are the balances trending up, down, or staying the same?

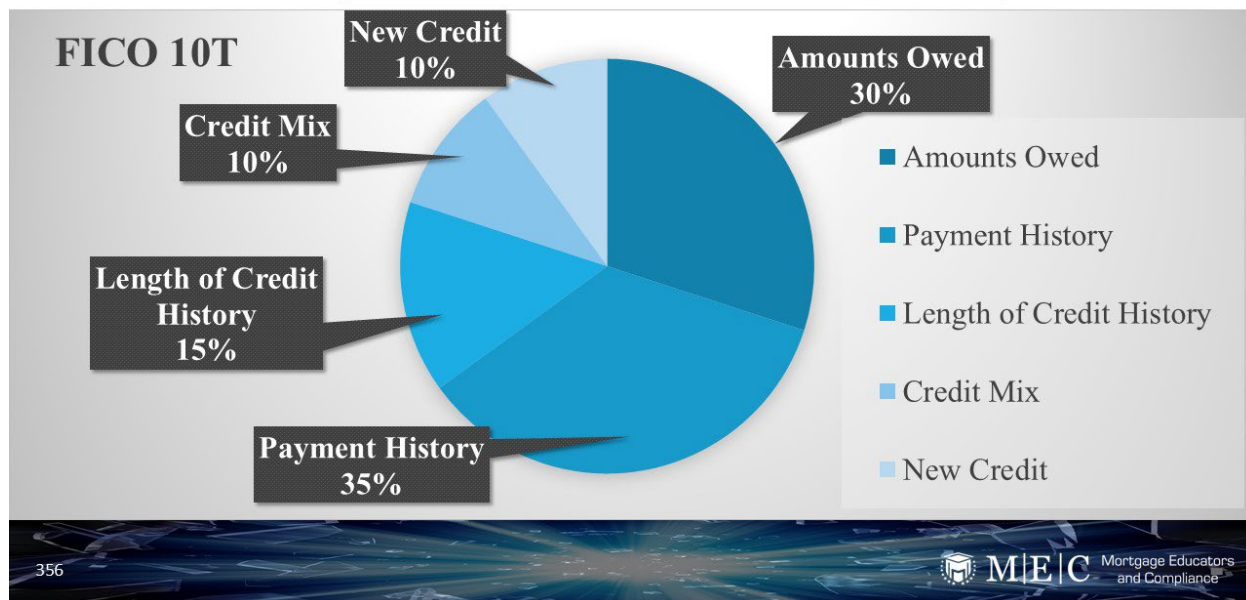
Someone whose balances are trending up may be at a higher risk than someone whose balances are trending down or staying the same.

Each of the two credit scoring models use different score ranges and terminology to describe a borrower's credit. Let's compare:

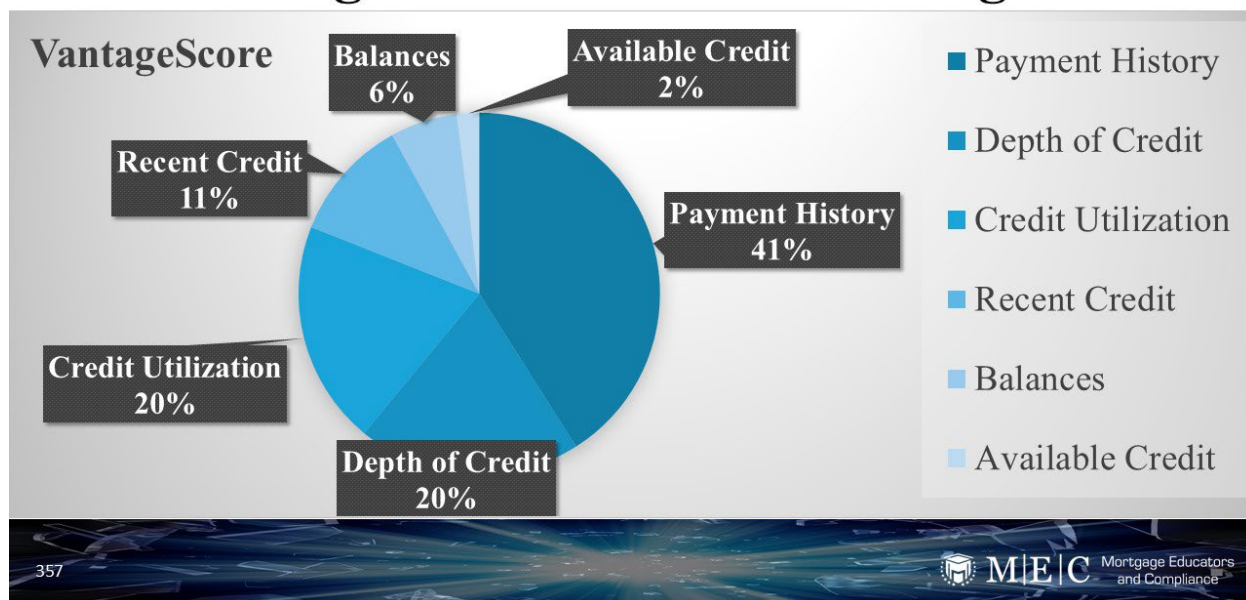
Score Range For Vantage 4.0	Score Range for FICO 10T
781-805 – Superprime	800 plus – Exceptional
661-78- - Prime	740-799 Very Good
601-660- Near Prime	670-739 - Good
300-600 - Subprime	580-669 – Fair
	Less than 580 – Poor

Each of the credit scoring models uses different determining factors and weigh factors differently. Let's compare:

VantageScore v. FICO 10T Weights



VantageScore v. FICO 10T Weights



In February of 2024, the Federal Housing Finance Agency (FHFA) announced that this transition was delayed and is now expected to occur in the 4th quarter of 2025.

[FHFA Announcement](#); [The Complete Guide to Your VantageScore](#); [myFICO Education](#); [Experian: What is Trended Data?](#); [FHFA Announces Key Updates for Implementation of Credit Score Requirements](#).

CFPB Nonbank Registry

The CFPB's [Nonbank Registration Regulation \(12 CFR 1092\)](#), issued on June 3, 2024, provided for the creation of a nonbank registry. This nonbank registry collects information about certain publicly available agency and court orders and facilitates CFPB supervision. Nonbank companies are required to register with the CFPB when they have become subject to certain final public orders imposing obligations on them based on alleged violations of specified consumer-protection laws. Nonbank companies subject to the CFPB's supervisory authority also generally must provide an annual attestation from a senior executive(s) regarding the company's compliance with the order(s).

[CFPB Nonbank Registry](#)

Fannie Mae Updates

Specifically, from Fannie Mae, a few other things have come out in 2024 that we want to make you aware of:

First Generation Home Buyer Loan

Together with Freddie Mac, Fannie Mae created a first-generation homebuyer loan definition with the intent of helping establish an industry standard to foster growth, adoption, and greater utilization of programs in the conventional mortgage market. A first-generation homebuyer loan is one in which each borrower meets the following requirements:

- Is purchasing the subject property,
- Will reside in the subject property as a principal residence,
- Has had no ownership interest (sole or joint) in another property during the last three years preceding the note date of the loan, and

One of the following must also apply:

- No parent of the borrower has had an ownership interest (sole or joint) in a property in the last three years preceding the note date of the loan.
- The borrower has aged out of foster care, or
- The borrower has become emancipated. Emancipate means to free someone from restraint, control, or the power of another, especially from bondage. It can also mean to release someone from the care and responsibility of their parents.

FNMA Rent Credit with Purchase Option

The current Fannie Mae policy states that rent credit, which is determined by calculating the difference between the market rent and the actual rent paid for the last 12 months, can be credited towards the downpayment or minimum borrower contribution under a documented rental/purchase agreement. This policy update permits more than 12 months' rent credit to be used as long as all other requirements are met. Additionally, FNMA expanded the documentation requirements to include:

- Rent verification documentation, including bank statements or other reasonable methods

evidencing the rental payments over the term of the agreement; and

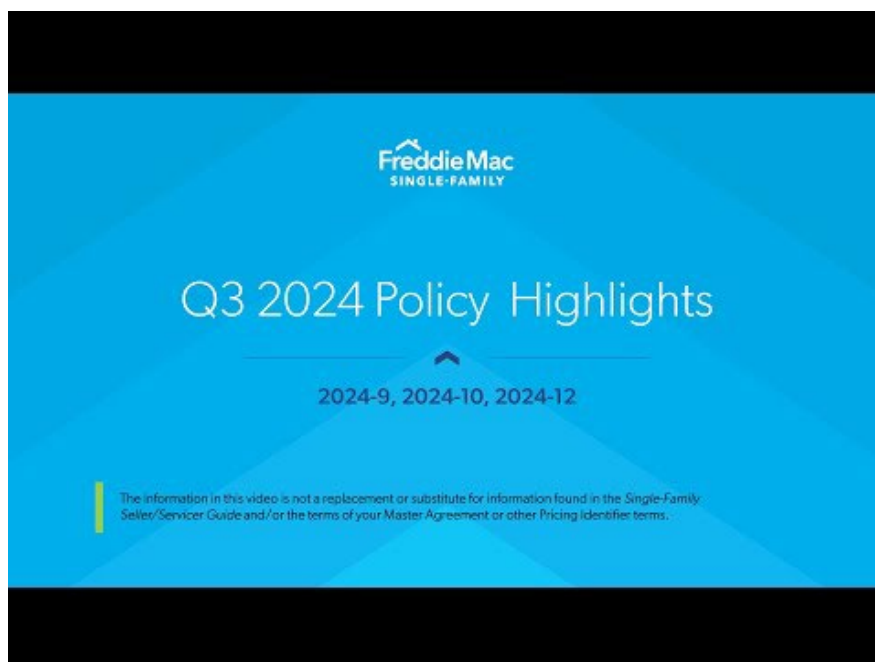
- Minimum terms outlined in the rental/purchase agreement.

Additional FNMA Updates

- Expanded value acceptance for attached & detached condos.
- Clarified 7 & 10 Yr ARMS must be qualified at the note rate (not high priced/higher priced)
- Manufactured home cash out extended to 30 years
- Expanded non-traditional credit to include rent, privately held mortgage loans and real estate taxes
- For business owners with less than 25% ownership, Lenders are not required to analyze business tax returns if provided but can use the proportionate share on the K1. The K1 income can only be used if verified it was distributed and business has adequate liquidity.

 [Fannie Mae Selling Guide \(SEL-2024-03\)](#)

Freddie Mac Update



FHA Updates

You should remember that the MIP basis points on FHA loans was decreased in 2023. That was because Federal law requires that the Mutual Mortgage Insurance Fund balance be at 2% of all outstanding FHA mortgages. In November of 2022, it was at 11%. VA funding fees were reduced for the same reason.

The major change in 2024 for FHA loans related to the 203k Limited, which increased to \$75,000. The Limited 203(k) is used for minor remodeling and non-structural repairs, there is no minimum rehabilitation cost.

 [SFH FHA INFO 2024-44](#)

2025 Conventional Loan Limits

As always, the Federal Housing Finance Agency (FHFA) has updated the conventional loan limits for 2025. They are as follows:

1. Loan Limit for one-unit properties will be \$??????, an increase of \$79,000 from \$766,550 in 2024.
 - a. Two unit: \$????????
 - b. Three unit: \$????????
 - c. Four Unit: \$????????
2. Special statutory provisions establish different loan limits for Alaska, Hawaii, Guam, and the U.S. Virgin Islands. In these areas, the baseline loan limit will be \$???????? for one-unit properties.

 FHFA Press Release

Now that you've completed Chapter 6, let's discuss what we covered. In this chapter, we covered the basics of adjustable-rate mortgages, including guidelines from Fannie Mae and Freddie Mac, we also discussed some updates like the FICO 10T and VantageScore 4.0.

- An ARM can be a great option for certain borrowers during high-interest rate times, and there are quite a few pros to offering it to borrowers.
- Be sure to ask all the right questions to ascertain whether an ARM is a good fit for your borrowers.
- Always keep up to date on new products and programs or changes entering the market. Some changes may have excellent benefits for your borrowers!
- Be aware of the changes coming with the new FICO 10T and Vantage 4.0 Credit Scoring Models.